

Nestle India (NESTLEIND)

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Good Food, Good Life

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Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"): Transcript Earnings Call with Analysts/ Investors on Unaudited Financial Results for the second quarter and half year ended 30th June 2022 held on 28th July 2022

Dear Madam/ Sir,

Further to our letter BM:PKR:41 :22 dated 28th July 2022, submitting presentation made to the Analysts/ Investors at the Earnings

Call held on 28th July 2022 and intimating uploading of presentation , audio/video recording and transcript of the Earnings Call

on the website of the Company, please find enclosed transcript of the Earnings Call on Unaudited Financial Results for the second quarter and half year ended 30th June 2022 held on 28th July 2022, in terms of Regulation 30 of the Listing Regulations ,

for your information and records.

The transcript is also being uploaded on the website of the Company at the weblink:<https://www.nestle.in/investors/analystsmeet>

://www.nestle.in/investors/analystsmeet

This is for your information and further dissemination .

Thanking you,

Yours very truly,

NESTLE INDIA LIMITED

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B.MURLI '1/_

GENERAL COUNSEL & COMPANY SECRETARY

Encl.: as above

Regd. Office: 100 / 101, World Trade Centre, Barakhamba Lane, New Delhi -110 001

Nestlé India Half -Year Earnings Call

July 28, 2022

Nestlé India Speakers /Participants:

Mr. Suresh Narayanan: Chairman & Managing Director

Mr. David McDaniel: Executive Director - Finance & Control and Chief Financial Officer

Mr. B Murli: Director - Legal and Company Secretary

Mr. Sanjay Khajuria: Director - Corporate Affairs
Mr. Shashank Kumar Nair, Senior Manager – Corporate Communications

Shashank Nair : Hello, everyone. Welcome to the Nestlé India Half -Year Earnings Call. I am Shashank Kumar Nair, Senior Manager – Corporate Communications, Nestlé India.

I have with me today my senior colleagues from the Nestlé India Management Team:

- Mr. Suresh Narayanan: Chairman & Managing Director
- Mr. David McDaniel: Executive Director - Finance & Control and Chief Financial Officer
- Mr. B Murlu: Director - Legal and Company Secretary
- Mr. Sanjay Khajuria: Director - Corporate Affairs

Now, before we get started , let me first read out the standard disclaimer:

1. Except for the historical financial information contained herein, this presentation may contain statements which reflect Management's current views and estimates and could be construed as forward - looking statements. You are cautioned not to place undue reliance on these forward -looking statements, which holds only as of the date.
2. The future involves uncertainties and risks that could cause actual results to differ materially from the current views being expressed.
3. Potential uncertainties and risks include but are not limited to factors such as change in general economic, political, or market conditions, commodities and currency fluctuations, competitive product and pricing pressures, industrial relations, and regulatory developments.
4. Significant disruptions in the operations due to unforeseen events (including as a result of the spread of the disease)
5. Volume and Mix and Organic Growth (OG) are basis Nestlé Internal Reporting Standards.
6. Figures are regrouped / reclassified to make them comparable.
7. Calculations are based on non -rounded figures.
8. 'Analytical data' are best estimates to facilitate understanding of business and NOT meant to reconcile reported figures.
9. Answers to Questions may be given based on generally available information in public domain.
10. No person is authorised to give any information or to make any representation not contained in and not consistent with this presentation and, if given or made, such information or presentation must not be relied upon as having been authorised by or on behalf of Nestlé India Limited.

As per the agenda today, we will have a presentation followed by the question -and-answer session.

Once the presentation is complete, I would invite you to exercise the "raise hands" option on MS teams. Once you have raised hands during the Q&A session my team will enable your mic when you are first in queue. I would request you to please then unmute yourself and state your name and organization before proceeding with your question. In the interest of accommodating as many questions as possible, we would be grateful if your questions are brief in nature. As per practice, the entire proceedings are being recorded and will be uploaded on our website www.nestlé.in .

I will now request Mr. Narayanan to please take over and make his presentation.

Suresh Narayanan : Thank you, Shashank, and good afternoon, ladies and gentlemen, good evening to those of you joining from different parts of the world. I do hope that this finds you all safe and secure at this time and in good health. The title of what I will be sharing with you today is in some sense reflecting of what the organization stands for – unwavering

commitment ; a commitment to India, to the consumer and to the future. Resilient journey ; we have been through a lot, seen a lot and are prepared to also see more in the future . Promising horizons ; there are initiatives, there are changes and there are welcome steps that are being taken by the organization in order to embrace the future more secularly and more dynamically.

So, without much ado, let me take you through some of the key takeaways last time , just to keep to the manner in which we've had conversations in the past. Sustainable volume led growth, remember that 7 ye

ars ago the strategy that was enunciated by the Company was the 'penetration led volume growth '. If there is no penetration there is no volume, there is no growth, there is no sustainability of the future results of the Company . That was the simple mantra and the simple motto that we took. This really meant one clear philosophy of the Company, that we will not be sitting on the hubris of the market shares , but we will be looking at the humility of the penetration task ahead and that's what will define us as a Company, and that's really what we have been trying to pursue in all these years. Secondly, strong value growth across both rural and urban India. This has led to a sustainable performance in terms of top line and bottom line despite the vagaries and despite the circumstances that face us . Innovation continues to be an engine of growth because this Company is all about multiple brands, multiple offerings and multiple stages of life and really giving a bouquet of variety, nutrition, and salience at different points of time.

We implemented the future ready plans for our people, we talked about it last time and implications of that, we are strongly committed to, and we shared the transformation using data & analytics in our journey forward to make ourselves a more professional, a more agile, a more adaptive and a more anticipatory organization , that is quick in taking decisions based on professional information and data at all points in time.

Sustainable initiatives at the core of being the force for good - For us sustainability is not a fashion, it is not a board room conversation, it is an intrinsic part of our business. Note, that I do not talk here about the term ESG, I talk about the term sustainability which is more all-encompassing, and which is more meaningful in the manner we conduct our businesses. And finally, we talked about the n, which has exacerbated now immediate concerns in inflation while the long -term looked promising. So , these were the 8 messages that I left you with the last time. What is it that we will be talking about today? We will be talking about the financial highlights of the first half performance and the results have just been declared a couple of hours back today, as you know. I will be talking about the Purina pet care business and what is it that is exciting and what is it that is welcomed about this business and also on the horizon, some other initiatives that hopefully will power the engine as we go forward.

So, let us go with the financial highlights of the first half . The sales in overall terms, the consolidated sales have improved by 12.7 percent and double -digit growth , definitely. If you look at the last 22 quarters for which you have the information on Domestic sales 17 out of the 22 quarters have been double digit. Four quarters have been very high single digit almost double digit. And only one quarter which is quarter 2 of 2020 when we were struck by the first blow of the pandemic, we recorded a growth of 2.6 percent. So , growth has remained an intrinsic mantra of this Company and that is what you see with this 12.7 % . However as I'll come to it little bit later to give you more granularity, the forces of inflation have clearly been much larger than what we are normally used to. I dare say quite extraordinary in the last couple of months and that clearly has made a small dent as far as profits are concerned. So , our profit from operations have come down in the first half by about 2.9 percent, net profit by 2.7 percent and therefore , as a

consequence, earnings per share by 2.7 percent. This is not to despair the business model, but this is to highlight what it is that we have done during this quarter in order to protect our engine of growth.

One thing that all of you know from experience and since you have been tracking businesses for a long, long time, growth is what

ensures

a sustainable result. Anything multiplied by zero is zero. So, if you have zero growth, you can have the highest margins and yet you will have a rather putrid result. And that is the belief we have got in inflationary times, it is most important for an organization, for a corporation to protect its engine for growth. It is not managing for the quarter, it is managing for the long term and as you know very well Nestlé is a long-term company, we are not a short-term company we are not here for a quarter, we have been here for over a hundred years. So, sustained volume and mix-led growth in a steep inflationary context is the result that has been achieved so far. The CAGR in the last five years has been 8.1 percent in terms of volume and mix, you can see the volume evolution on the right, on a quarter-to-quarter basis also positive. And the core objective of the organization was to protect the engine of growth so that penetration-led volume growth continues to happen in our business. The day this stops ladies and gentlemen is the day we will have trouble with our growth model.

The first half have seen a value growth of 13.3 percent. This 13.3 percent has a consumer price impact of 6.3 percent, which means that the volume growth has been about 7 percent. In CAGR terms this has given us the result in the 2017 to 2022 period of 9.7 percent. I do reiterate the point clearly, if the growth engine is weakened, the future is compromised. That is the result and that is the lesson we have learnt over years. I draw your attention to the right-hand side of the chart that tells you the quarter-on-quarter performance. Quarter 1 2022, on domestic sales and quarter 1 for 2022 on domestic sales on a sequential basis. You will see that going up from 10.2 percent to 16.4 percent.

What's heartening is to know not just that the human being is healthy overall but how strong is his ECG and ECG is measured in our business by the texture of sales across different markets and across different income segments and across different populations. If you take mega cities, which are over 4 million in population, these were adversely affected as you can see from the graph in 2021 because of the pandemic having a serious impact an adverse impact in terms of markets, distribution, and various other aspects. We see that normalising today. In fact, the Google measures and other measures of mobility are showing that despite the fact that the pandemic may not be entirely out of the country we still have learnt a mechanism to cope with it and certainly in mega cities that is happening, and you see that playing out in terms of growth as well. You see our growth is on the uptake in mega cities. The same is happening in metros, that is those cities between a 1 million to 4 million population. Once again, the growth numbers are in double-digit. Once again, there is an uptake in the last couple of months. What is even more heartening and I remember last time I talked about our 'Rurban' strategy: the question that you asked me was - that this company is an urban company what it is doing in semi-urban & rural markets, and we said that market is getting prepared because the aspiration and availability had to match. Those are bearing fruits for us, you see the town class 1 which is those towns with less than 10 lakhs population, they are growing also handsomely by double-digit.

The town class 2, which is below 6 lakhs population, small-town India, or Bharat as we call it, is also growing handsomely in double digits. And what is most heartening, and I know that I speak of a base in the rural markets - for us, ladies and gentlemen, the rural markets are also doing well. Villages and the villages that we cover, remember the objective of this Company is to cover a hundred and twenty thousand villages

with more than 2000 population. We have covered

70,000 – 80,000 of

these villages. We are seeing uptick happening in terms of our sales 9 percent, 15 percent, 30.7 percent. There has been an engine of growth, and if we continue with good monsoon, as is the hope, then we can look forward to some exacerbation of some of the commodity cost hopefully, but also a demand generation that will be fairly encouraging for the Company. So, the overall growth 13.3 percent first half, 6.3 percent on pricing, 7 percent on volume. Town category wise - mega, metro, town class 1, 2 to 6 and villages, all on double digit growth. That is the bottom line for our quarter 2 performance and that is the reason we talk about securing the growth each year.

Part of the headwinds that we have faced – I want to keep this chart very simple, because the most volatile situations are explained by the simplest of charts. 2018 to 2020 – if we look at the CAGR commodity inflation -3%. In 2021, it stands at 5% and in 2022, it stands at 15% - 5X of the CAGR than the preceding two.

Now there are two ways in which a company can tackle. One way is to take indiscriminate price increases and yes, remember that in eight out of the 10 categories, Nestlé is a market leader. The hubris of market shares starts to work against you, spending indiscriminately, take price increases in order to mitigate the situation. Wiser counsel and a wiser management call towards balancing pricing, balancing margin expectations, and retaining the kernel of growth that is required for the future. So out of this 16%, if you look at the second quarter about 8.5% was the kind of pricing impact that we took. Second quarter, if you recall, has a growth of 16.4%: 8.5% of pricing, 7.9% of volume. Volume is still growing extremely well. That is the bottom line. The day we start having volume declines that are sharp, irrespective of the value growth that I will show, irrespective of the profit growth that I will show, I will be having a system that is getting hollowed out and is getting eaten from within. And that is not a good situation. So therefore, if you look at the 5X impact on commodities, clearly it has had a short-term impact on our profit from operations. This, despite the fact that in the 5 years period it has grown by 11.2%. Despite that, there has been a short-term impact. And yes, those are the numbers you are seeing. If you look at it on a sequential basis, from 21% to 18.2% in terms of profit from operations. However, what is heartening at this stage, and these are early signs, and therefore I have put a caveat to it, that these are early signs, there is some softening as far as the edible oil complex is concerned and packaging materials are concerned. Nevertheless, fresh milk, fuels, wheat, grains, and green coffee are expected to remain firm. And as you saw in the papers today, wheat is reaching all time high prices because of the low stocks that we are keeping as a country. And also because of the 'as yet' question mark on the quality of the monsoons. This has been a short-term impact that we are facing. Net profit, consequence of that, percentage is slightly lower because of the tax impact. For the CAGR basis, still very encouraging at 14.2%. 10% on top-line, 14.2% on bottom-line. Despite the vagaries that we have faced.

Let us look at the texture of performance. So, I have talked about the ECG of performance, now we look at the other vital indicators of growth. Our four product groups: Milk Products and Nutrition, Prepared Dishes and Cooking Aids, Confectionery and Powdered and Liquid Beverages. First half growth, as I have mentioned, 13.3%. Milk Products and Nutrition has grown by 7.2%. Once again, we have had examples of brands that are as old as the hills. Milkmaid is 156 years old and has had one of the fastest growths in the first half of this year. Prepared Dishes and Cooking Aids, and yes as I do recall that many year

ago, I was told that the only product that Nestlé has is Maggi. Today, while we have many more products, Maggi continues to be

strong, showing 13.9% growth. Confectionery, displaying super strong growth at 24.4%. The 80-year-old brand KitKat is growing strong – double digits, as is Munch, as is rest of the portfolio. Nescafe and associated brands are growing very strongly at 21.7%. So, the texture of growth is also showing that across product groups we are having strength.

Innovation continues to be an important element of our growth. If you look at the products launched since 2015 and track them as a percentage of sales, today we are at about 5.6% in the first half and that comes from innovations and renovations that we have seen during this period. However, I would like to add that during this period the focus has been on the core. It is important that when you secure the growth engine of the company, that you secure the core of the company. There is no point in the tendency to expand the portfolio significantly when you are unable to protect the core of the organization – and these four product groups are the core of the organization. So, therefore we have protected the core, and we have also done innovation. Over 100 new products have been launched in the last 5 years.

All this has been creating significant value for investors, if you look at the comparative period of last 21 years and you take the closing price as of the 26th of July 2022, not of today's price, you would see that our annual return is close to 20%. We have outperformed the FMCG benchmark index quite significantly and today enjoy the market capitalization of almost 23 to 24 billion dollars. I would like to thank you all for the confidence you have posed in the Company.

We have always talked about finding new growth engines for the Company, and premiumization is one of the growth engines that we have talked about. Today I want to talk to you about two specific engines that we are looking at for the future acceleration of this Company. The first one of Purina pet care. Many of you would be having pets, some of you might own them in the future and one thing we all know about pets is that they are like our children. The very best of nutrition and the very best of care is what keeps a happy home. You might be unhappy with the colour of your shirt, but you are even more unhappy when your dog does not wag its tail and come to you with happiness and joy. And we know that a lot of times that has not only to do with the way you treat the pet but also the kind of food you give the pet.

Here is a happy dog – it is a happy dog face because pet care has an exciting future for us. The category is worth about INR 4000 crores today – that is the estimate we have got. It is a category growing at about 25% - it is probably one of the highest growing categories amongst consumer core, considering pets are also consumers for us. Pet adoption is on the rise, especially post the pandemic. I think the vagaries of the pandemic, the emotional disconnects that have happened have led to an increase in pet adoption. Today we are, an estimated, 30 million pets, growing at about 11% per annum. So, there are about 3 million pets getting added each year. Out of this dry dog food, dogs being the main ownership in this country, 75% of it is dry dog food and is therefore the biggest segment. What is interesting is that wet cat food is also a strong opportunity. Pet cat food is growing at 35%. So, this is a category of INR 4000 cr growing at 25%, pet ownership growing at 11% across town classes – owning pets is no longer a metropolitan phenomenon, it is a phenomenon across the country. Dry dog food being impressive at 75%, and wet cat food also growing significantly by 35%.

What have been the strategy and learnings for Purina in India? This is something I will now briefly talk to you about. Pet Speci

ality

Distribution network has been built in 46 towns. The business began in

pet speciality stores, and that is why a view was taken at that stage that this was not an area of expertise for the Company because we do not sell anything to pet shops. None of our brands, mainstream brands go to pet shops. But this is where the market was, and the market has evolved. This category has been nurtured with expertise: 70% of the sales team have got pet care sales experience or marketing or supply chain experience of 4+ years. So, cadre of people has been built, who understand pet care. The growth has accelerated from 68% in 2021 to 51% in H1 of 2022. The channel, and this is one of the consequences of evolution of the category and also the pandemic, has evolved from a focus on specialist channels to omni-channel with e-commerce today contributing to about 14% of sales. So, there is a multi-channel or omni-channel approach coming in pet care that is quite significant. Nestlé are market leaders in pet care, worldwide. It is one of our strongest businesses. And Purina has invested for about 90 years an army of over 500 scientists, nutritionists and pioneered some of the firsts in the category – including the first extruded pet food. Why do I say this? Like all our categories, there is a domain expertise in this category. This is not a category we thought “oh! it as a nice idea”. We have got experience and market leadership in this. We have got science, technology, heft, R&D centres, factories, and people who are focussed in this area. And it is a growing category and promising category. Global investment in Purina pet care – remember, the first entry was done by Nestlé SA's wholly owned subsidiary Purina Petcare India. Because of the uncertainties we had on the business, we said “let the parent invest in this business – in order to get it started”. And that is what they did – invested about INR 126 cr in this business. And finally, we notice a lot of opportunity, synergy and leveraging the heft of the Company, the Nestlé India network would further accelerate growth in organized trade, quick commerce, and Tier 1 & 2 towns. This has been the evolution in the last four years.

What has been the strategy? I agree, if you look at it, quite simply the Purina business has performed very strongly, registering high double-digit growth. What is important in this category is not just the quality but the salience of the product as well. And I am delighted to inform you that Supercoat, which is a lead brand of pet food (pet dry dog food, that we sell), has been voted the 2021 Product of the Year – which means that it has received the accolade of the consumers in terms of the quality, nutrition, reliability, and trust for this brand. Portfolio expansion in fast growing segments like wet cat food - that is the other opportunity that we talked about. A new route to market opportunities have also emerged in the last couple of years. Expansion to Tier 1 towns and e-commerce is playing a big role in the expansion of the pet care business in this country. And finally, there is scope to unleash the business potential in smaller towns, and what better heft to use than the heft of Nestlé India and the infrastructure of Nestlé India. So, it makes sense for Nestlé India to take on the business at a stage when the establishment has been done using the Nestlé SA investment and expertise in India, in order to build this business as a future arm of growth and progress for Nestlé.

This is the progress. It started as a small business in 2018 at about INR 11.5 cr and has closed in 2021 at INR 31.2 Cr and will hopefully close in 2022 at INR 46.3 cr, if not a little bit higher.

In this time what has been built are 46 towns with 50 distributors as far as the specialist channel is concerned, with 185 suppliers spread all across the country. So, the infrastructure

is bedrock, ecosystem, has been created for this business. Today we depend on imports, but a lot will depend on the evolution of this business going forward. Two factories – Amata in Thailand, that supplies Supercoat and Friskies, and Blayney in Australia that supplies the brand ProPlan.

What are some of the products? Premium dry dog food which is

Supercoat . ProPlan which is super premium dry dog food – and yes! It has got a product made for puppies with colostrum which is the best and most celebrated product in the ProPlan range. It is a super - premium product but it is the best for your puppies. So those of you who are planning to own puppies, here is a product that is guaranteed to work for puppies and work for itself.

Premium dry cat food under Friskies , as you know the brand and super premium under wet cat food under Fancy Feast . So, these are the products that we will be marketing and we will be supporting in the country.

You would say that, you know, you said something in 2018 and you are saying something in 2022. Let me put it, I will be transparent with you all. I am not hiding anything from what we thought and what we are doing today. And I think a hallmark of trust and transparency of organization is the capability and the shedding of its ego to revisit the assumptions of its original business case. And that is what we're doing today.

In 2018, we had said that pet care is a category is still evolving in India, little realizing that it will accelerate the way it has accelerated. Today it has become an exciting future with adoption on the rise post pandemic. Clearly there is an opportunity here and there is a bend in the Ganges that has happened here which is significant.

We looked at it as a “no synergy” with Nestlé India’s business because it was largely being sold at pet shops There are far greater synergies with evolution in channel strategies today. Leveraging Nestlé India network would accelerate the growth even further. And finally, limited route to market and category marketing expertise, which we have now invested and built. Remember the money that Nestlé SA has put behind this business is to build this expertise in the context of the market. So today we see significant competitive advantage and expertise to leverage.

Some of you might say “most welcome”, some of you might say “I told you so”. Whichever way it is, I think it is important that this business becomes the growth driver in the future of Nestlé India. That is really what is being proposed. You are seeing the other elements of the announcement in terms of the price, in terms of the valuation, in terms of the governance that has been used in this entire deal that all the executive directors, me and my two colleagues - David McDaniel and Matthias C. Lohner, have abstained from voting on this proposition completely because that is what the board governance is all about. So, we have kept it completely and totally transparent and clear in terms of the direction that we want to take on this business.

That is one part of the business. That is the exciting part. I am sure the dogs and cats will say ‘Hip Hip Hurray !’ today. And the fact is that we are definitely excited about this because this is an opportunity that we see for the future.

On the horizon, what do we have? I have been a little bit tongue -and- cheek, I know this. But I take this liberty with you all because I have known you for a long time. And always, one of the phrases, that has been quoted to me has been “nutrition is not a mature business! It is a boring business.”

I just want to tell you ladies and gentlemen; the endeavour of Nestlé India has been to find new avenues for growth in this business. It is a powerhouse. And it is a great business, and it is a business that deserves even more attention. And that is really what you are looking at today. Remember, the kids

grow up, they become toddlers, and then they become young adults. And then they run away, and they go to

college and university and take on their lives. But they are toddlers between the age of two and six . Many of them have got mothers who read; who understand nutrition; who read labels; who participate in parenting blogs; who consult multiple sources and ensure that their child gets not only the best tasting products, but most importantly the cleanest products and the most nutritious products. The mother is herself, self -assured. She is a young achiever and constantly strives to upgrade her and her family 's life. This product is designed for the uncompromising mother – who has choices but still will choose the choice that is the best for her child.

How big is the segment? We estimate it is about INR 3500 crores in this country and growing. Because nutrition, post pandemic has become front and center. Nutrition , Health , Immunity and Wellness are 4 words that have become most common in usage , post pandemic and I think it is becoming more and more important as you go forward. So, this is announcing the launch of Gerber .

It was a brand discovered by a mother in 1928. So, it is an old brand. The first Gerber cereal was launched in 1931 - so, 90 years ago. The First Gerber Television commercial was aired in 1950, 75 years ago. The first Gerber glass jar came 62 years ago. The Gerber range of Graduates began in 2002. Gerber joined the Nestlé family in 2007 as an acquisition. In 2009, well before the word digital and the world well before the personalization of services was becoming an essential element of brands and compositions, Dotti had been put by Gerber as a personalized expert. And of course, in 2022 we launch Gerber in India. So, announcing to you the launch of Gerber !

What is the promise of Gerber ? The promise of Gerber is that it is a 90 - year experienced brand globally, that understands your needs and reassures you of the best nutrition for your toddlers. So, it is meant for your toddlers. Our range of power blend cereal has been developed for Indian toddlers, combining the benefits of four diverse groups, cereals, legumes, milk, fruits, and vegetables with age -appropriate fortification to offer. It is a nutritious, healthy, and tasty product. Gerber cereals with power blend anything for your little ones. Because remember that for us, our children are extremely important, and their health and well -being is the center of our lives.

This is what it is. It is a 'made in India' and 'made for India'. 'Made in India' because it is made at one of our nutrition factories. And 'made for India' because this is not just an imported product that's been put on the shelf. This is customized. This product is developed and customized to the nutrition needs of Indian toddlers, as understood by the science of nutrition; as imparted in Nestlé , which incidentally is one of the world's leading players in nutrition. So, this is the brand that has got 'purity' at its center. What is the promise that it offers? It talks about communities and not communication. This is not just a brand that puts out pieces of communication and television commercials and digital pieces. We seek to build communities around it because we are talking of cohorts of mothers who are interested in and involved in nutrition, the efficacy of nutrition, and the health and well -being of their children.

We are also having the ambition in this brand for co -creation. So, this is not just a unilateral brand that goes one way, saying "here is a flavour . Take it or leave it." This will have cohorts in co -creating this brand. Because co -creation, communities, and services are going to be the center of what makes this brand a success.

It is also, incidentally, the brand Gerber , that is being made at a factory that recycles up to 30% water. Will tell you in a bit about

ut sustainability.

We promise to collect and responsibly manage equivalent quantity of plastic created by our products.

So, this is a brand that we are excited about because this is a brand that is premium; this is the brand that brings in the value of nutrition. And to just give you an idea, we have been talking about "premium". Just to give you an idea if Maggi noodles' index price is 100 per kilogram, average pet food is 140 and Gerber is 700. That is the kind of premiumization we are talking about this brand. So, there is a significant element of premiumization that we are talking about because this is what nutrition, science, technology, and expertise brings together in these products.

So, what are the key takeaways that I would like to leave you with this time? Firstly, we have not compromised the long term for the short term. We have not compromised the engine of growth because the engine of growth is an essential element of the future of the Company. Recording a 16.4% growth, recording a 13.3% growth are not small numbers in the context of the inflationary situation and the overall economic context that we have today. And remember, once again, we are talking about a high base, we are not talking about achieving it on a 2% base or 3% base. We are talking about achieving it on a 13% base.

So, the robustness of the growth engine is what we would like to continue securing. Growth patterns I have said this very clearly.

We have had commodity headwinds. The headwinds still persist in parts. We are hopeful that some of it might abate over a period. Time alone will tell how we perform against all this. But the intention is to keep the growth model secure, give us the benefit of the future.

Pet care offers vibrant opportunities. Remember that happy dog face? This is what we hope that we will also have on our faces when you look at the future of pet care within Nestlé India.

Confidence and capability of strong brands to withstand the kind of inflationary pressures that we have got. We are talking here of not insubstantial, but a balancing between volume and prices. Our brands are strong. Our brands are trustworthy. Customers and consumers bless our brands. I do not call this the brand's pricing power. I call this the power of brand equity and it is our brand equity that is able to sustain us over the period of time.

And finally, Gerber. The entry of Gerber is not only a sign of our entry into premium toddlers' food but also indicates the market potential that we see and confidence that we see in India. So, I thank you all very much for your patient listening and I do hope that I have been able to, as clearly as possible, explain to you the context, the actions, the future and the perspectives. Thank you very much.

Shashank Nair: Thank you. Thank you, Mr. Narayanan. We now open the floor for questions. I would request you all to please exercise the raise hands options on MS Teams.

We are starting to get the questions. We have the first question from Abneesh. Abneesh, please go ahead. You will need to unmute yourself first.

Abneesh Roy: Am I audible?

Shashank Nair: Yes, Abneesh. Please go ahead.

Abneesh Roy: Thanks. Firstly, Congrats on the numbers, Purina, and Gerber. So, my first question is on Gerber. So, you have mentioned 3500 crore market size. So, want to understand who are the key players here? Second, targeting 2-6 age bracket. Not easy given lot of alternatives are there. Recently the brand owner of Horlicks said because of the inflation and in general high pricing, clearly it is not easy, and we have seen Horlicks and Complan et cetera see growth challenges. Plus, the 700-index

pricing versus Maggi at 100. Why not look at a more affordable option?
So, these are the questions on the Gerber .

Suresh Narayanan: Thank you, Abneesh. Thank you as always, for your sharp questions.
Whe

n I talk about the segment size being three and a half thousand crores, it is really a motley of different kind of product categories that come into this. So, there are snacks, there are healthy snacks, there are a bit of biscuits, there are a bit of cereals. All this put together in our estimate is about three and half thousand crores. There are a few players, a few small players, and a few credible players , in this space. What, however, is different and I am not here to either make the case or to decry the case, or what Horlicks might feel on a particular opportunity. This brings the power of nutrition, customization, clean labels, sustainability, and the highest quality that mothers can get for their toddlers in terms of nutrition.

For example, we have got a brand called Ceregrow , which is also a very powerful brand. It also gives the power of nutrition. It does extremely well. It has been one of the fastest growing brands again in the toddler segment. The reason why it grows is because it has credible nutrition. It has perceptible performance or perceptible change as far as the mother sees in the overall health of the child.

So, we are not here talking about a milk modifier, or we are not talking here about another chocolate flavour or vanilla flavour or something else that we can offer. This is serious nutrition and serious nutrition is serious business. So that is the reason why we are confident about this. Now how this will evolve? Obviously, it is going to compete with a lot of other product categories. And remember Abneesh, I talked about discerning consumer, this is the mother who understands nutrition, who goes through nutrition blogs. There are number of women today, you will know Abneesh quite a few and I know quite a few, who are genuinely interested in the quality of nutrition. Would read every label and would figure out every ingredient that there is on the back. And that number is fairly significant in this country.

I am quite confident in the traction we can pick up. Because Nestlé is a very credible name in nutrition. I am launching efficient products.

Shashank Nair: Thank you, Abneesh. We have the next question from Shirish. Shirish, you may please go ahead.

Shirish Jaisingh : It was a very impressive presentation. Two questions from my side. One on the inflation part, if I recollect what you have shown, inflation is running at fifteen and half per cent, of that, you have passed on half through the price increases. In the current context, being a food company or largely it is non-FMCG, I mean I can say that it is more of a processed food company, do you think the consumers have reached a tipping point and it will start showing the consumption fatigue or the pricing will drive the lower consumption? Is that your understanding? And second, is a related question on prepared dishes . We have a good benefit from Sanand factory. So, this question is on Sanand – how much is the capacity utilization at this point of time and my second question on Purina – you have given a lot of data points, but I was more interested in terms of distribution. These 30 billion pets, that you have talked about, are being serviced by the local, then how many distribution touchpoints are there and what is the whole strategy on creating brand awareness and pushing into the trade?

Suresh Narayanan : Okay, good questions that you have got. Firstly, the question on the tipping point for consumers. In fact, my friend Shirish, the reason why we are taking a view to secure the engine of growth and not to go berserk or not to go even more aggressively on pricing is to secure that engine of growth. We do realize that during this time of heightened economic distress and also of budgets being fairly constrained. We

should not trigger significant down trading or moving out of our brands by putting it completely out of whack, in terms of affordability.

Therefore, in the pricing that has been done, we have tried to secure our price point or popularly priced portfolio which is not an insignificant part of our portfolio, in terms of the headwinds of commodity vagaries that have been faced. So, we believe that the decisions that we have taken we have a reasonable chance of being able to sustain this.

However, I mean there is no predictive model that says looking taking a price of 6% could have been optimized at 8% or 10%. There is always a price to pay for this. What we have believed, we have got fairly sophisticated decision-making models within the company using the power of analytics to see what kind of elasticities and what kind of transaction losses really may be generated by what kind of price increases. We take a collective view of this and that is what really has led us to this situation of the current mix between pricing and volume. Roughly 50-50 is what we are operating at, which is probably the best-case scenario to be in. You can always have a little bit more on volume and a little bit less on prices, but the fact of the matter is that this is an optimum model. Time will tell but we are reasonably secure, and we have seen a growth of 16.4% on an earlier higher base growth as well which shows that there is some resilience as far as the brands are concerned.

And secondly, as far as Purina Petcare is concerned, I think you asked a very good question. Today we are in 64 towns with about 50 distributors, and we have got a couple of thousand outlets, both the pet shops and also the modern stores. I think the acceleration will happen now. The acceleration, the opportunity is now. When we consolidate what we do at the pet shops, we have got 14-15% contribution coming from e-commerce, which is growing well, and which is an engine of our growth as well. In overall terms, Nestlé has 6.4% from e-commerce and this category has got 14%, which is almost twice, and I believe with our distribution muscle that we have across cities and taking it into tier 1 and tier 2 towns, we would be able to get much stronger growth. So, really it is leveraging what Purina Petcare has built up and leveraging the distribution heft that we enjoy as a Company, and you will agree Shirish that my distribution heft across modern outlets and across traditional trade, wherever relevant, is far more than what Purina Petcare India would be able to create in next 5 years for itself.

Shirish Jaisingh: Thank you, Suresh. That was wonderful. And all the best to you and the team.

Shashank Nair: Thank you, Shirish. We have the next question from Arnab. Arnab, please go ahead.

Arnab you are not audible right now. I think we will circle back to Arnab. Mangalam why don't you go ahead with the question in the meantime.

Mangalam Maloo: Well, thank you so much for the opportunity. A couple of questions. One on the input inflation itself that you talked about earlier that there is some softening you have seen in a couple of commodities while a few commodities are expected to remain firm in the near term. At the same time, you are also looking to premiumise your portfolio with the forays that you are making in both, pet care as well as nutrition. With all these things where is the margin trajectory of the company? What does the margin trajectory of the company look like in the near medium and the long term, that is question one. And secondly, a lot of categories where Nestlé would have the right to win, one of them would be adding nutrition to adults itself. We have heard ITC speak about looking at nutrition-based products, drinks in particular, Horlicks has been looking at adding protein etc to their products too. So, in light of that, is Nestlé looking at this health food sort of thing with snack bars, proteins etc. the additive nutrition snacking options?

Suresh Narayanan: Thank you, Mangalam for your qu

estions. I would answer your second question first. Yes, we have a Nestlé Health Science portfolio that has got products that are specialized for adult nutrition both, for diabetics and protein supplementation and for obesity, etc. which we will dial up. I think there are opportunities there in core categories that we will be looking at. I think we have got expertise there, but we would like to start small because these categories take a while to build, and we have to choose which ones to invest in because we can't invest in 20 different categories at the same time. We will have to choose it and therefore we will have to decide on parts of the portfolio. The first question of yours, knowing you Mangalam, you are a young man and you need me to answer questions on the future – margin evolution by quarter and by category. My apologies, I would not be able to give you any forward indication. All I can tell you is that there is some softening as far as the edible oils is concerned, there is some softening on packaging material. But equally, there is still a fairly firm price structure as far as milk, coffee, milk and cereals are concerned. How this overall kind of mix will work out in the future, only time will tell. But the thing that I assure you is that we have a growth model in place that is reasonably secure for the time being. I think that is the point that Abneesh also made, the fact is that commodity headwinds have been here for a while so it does not mean that suddenly margins will become magical as you go forward. We have to live through this for a while. I can't tell you what percentage, but I can tell you that the growth model is secure for the Company, and we will take the tailwinds and the headwinds as it comes.

Mangalam Maloo: I will take that as an answer. But if you could give me sense of demand while you are speaking you did say that there was smart recovery in rural and unlike what the other peers have been saying. They say that rural has been lagging urban. Could you give us a sense of what exactly happened for your guys in rural? You have been increasing your presence there?

Suresh Narayanan: I think Mangalam let us be very clear, there is nothing kind of magical about the numbers that I talked about. I have a lower base in rural markets, and I think we have accelerated our rural strategy that is beginning to uptake and penetration is happening in those markets. But what you need to read in this is the acceptance of Nestlé in rural markets to accelerate the growth. Please do not get carried away by percentage numbers because I am speaking of a low base. If you compare me to an HUL or a Dabur, they have got a much higher rural market. Their plans have already been in rural India for a while and my brands are just getting into rural India. The good news for us is that our brands are getting accepted and that is why the last three -four quarters, together with infrastructure and together with orchestration of infrastructure, of investments, of brands and of communication we have been able to build traction on these.

Mangalam Maloo: Thank you so much.

Shashank Nair: Thank you, Mangalam. Tejas the next question is from you. Please go ahead.

Tejash Shah: Hi sir, thanks for the opportunity and a very detailed presentation as always. Couple of questions, first, in our last interaction you had mentioned about dialling up on exports as one more engine of growth and in catering to Indian diaspora also as a focused area. That was not part of our presentation today. So just wanted to understand any follow up comments on that.

Suresh Narayanan: Good questions, Tejas. I think that endeavour remains but let me make one thing clear. Export for us is a sourcing opportunity. We have got brands which are global, for us, the sourcing opportunity is on portfolio relevant to the Indian diaspora in different parts of the world a

nd also

of course sourcing opportunity serves brands to particular affiliates of ours across the world. So, these are the two components that we have got. We are seeing good traction as far as the third-party exports are concerned. About 10% growth during the second quarter and I think we would be dialling up also the exports of the relevant South Asian portfolio to the diaspora in some of our key markets. We are coming across reasonably good traction. The opportunities are primarily for the portfolio that is relevant to the Indian diaspora that we will be dialling up. For example, you can't expect me to export let's say Nescafe to the United States of America because in that case they already have many coffee brands so they don't need to buy my coffee but sending more of Maggi noodles and Maggi sauces would work because they have a number of Indian origin people who stay there in the US and they would be happy to consume these brands that we bring back from home.

Tejas Shah: That is very helpful! This is my second and last question on the new categories we have entered today. So, we always had an option to enter in some of these categories in past also, but very rightly you would have waited for market also to be ready for this and you shared some of the category numbers. So, from your global experience, is there any per capita income threshold where the inflection points for some of these categories have actually come through and once they attend that inflection point, if you can give us a reference point where do they actually mature as a category in terms of size or relevance in terms of numbers?

Suresh Narayanan: See, I think in India the per capita income becomes a little bit tenuous because the fact is Tejas, there are many Indias within India. There is the super-rich India. There is a rich India. There is a medium India. There is the middle-class India. There is the lower-middle-class India and there is the poor India. So, really, it's very difficult for me to put a per capita income and say, "look, this it is". What is actually happening in these categories? Pet care, the 30 billion pet ownership is largely amongst the middle and upper middle segments of the population, so you really do not have too many poor people owning a lot of pets or their pets are probably eating something else. So, the fact is that it is that segment, and that segment is growing pretty well. I mean, you know from your own experience Tejas, in today's time you could go to pet salons and pet care facilities and kennel facilities and various things are opening up across the country. Why is it opening up? Because people are interested in pets, people own pets and people want to own pets. Even though the nutrition coverage, the pet care nutrition coverage is relatively small. It is just about 5% because people still believe that the pets should be given the parantha from the table. But the fact of the matter is that there is an increasing consciousness that good quality balanced pet food is important for the life and for the sustenance of the pet. So, I think it is that segment that we that we appeal to, and which is a fairly large segment. I mean, for example in the city of Mumbai, I am told that cat ownership is going up quite significantly because cats are easier to maintain. I mean dog has to be taken out for a walk and you know and in small apartments that's very difficult. But cats kind of take care of themselves, I believe. Therefore, there is an opportunity there for people who own cats to give them not only Friskies but also the Fancy Feast as well. So that is on pet care.

On the toddler segment, again, remember what I talked about, Tejas. I talked about aware Mothers. I talked about achieving mothers. I talked about really speaking SEC A and maybe part of a SEC B kind of profile. I am not talking here about the mother who is struggling with

her

budget. I am talking about a mother who can afford to give her child the best nutrition she can buy. And therefore, in that context, it is that premiumization we are looking at and you see this across segments. I mean some of our premium brands are doing extremely well. So, you think that "look! in a post pandemic context, you'll have all of these

things doing, particularly miserably", but they are not. They are doing fairly well. And it is that premiumization journey we talked about and Nestlé's capability to participate in it, because we have the means to do it. We have the capability, whether it is Gerber or whether it is pet care, there is a domain expertise that we have got in this. That is what we are known worldwide for. And yes, India is ready for it and therefore we have come out with it.

Tejas Shah: Very helpful, Sir. Thanks, and all the best, Sir .

Suresh Narayanan: Thanks.

Shashank Nair: Thank you Tejas. We have the next question from Avi.

Avi Mehta: Hi Sir, am I audible?

Suresh Narayanan: Yeah.

Avi Mehta: So, just wanted to understand a bit on the margin front. Would it be fair to argue that the return to the pre -pandemic EBITDA margins would need, you know, a moderation in inflation levels a lot more and hence, is likely to be a little more back ended? Is that a right read - through, or no? You think cost efficiencies can probably offset that, not from a timing perspective, but from a what can drive it now going forward? Thank you, Sir.

Suresh Narayanan: On a lighter note, Avi, you know, finding a different way of taking the butter out of the pot, as what Mangalam was saying. He was very direct to me. Know about whatever you are asking me, whether there is any back -end view of this. So, the fact of the matter is, I mean, I think the math works out very clearly. When I am sitting at 5X of inflation and when I believe as a business, I am kind of maxing out on the balance between margin and price increases, the only way in which I can increase the margins significantly is when prices also start to relent and not just by playing the cost efficiency game, which I am playing still today. I mean, you know, all that I am talking about still there is an unrelenting focus on what we call shark savings and what we call the operational efficiency savings. So, none of that has stopped. I think my CFO is on the call, I mean, he can tell you chapters and verse on the various steps that are being taken on the cost efficiency part of it. But when I am sitting on 5X my friend, it is very difficult. I cannot balance the books until there is a significant reduction in inflation that happens. One is seeing some signs of it and those are the categories that I pointed out. If that continues on a sustained basis, if we land up with good monsoons, as indeed the country has been blessed with the last couple of years, that will have a salutary impact on milk, wheat and a couple of other crops. Then probably we will be able to return back to more norm alcy. See, in fact a more sustainable growth model, that is all I can say.

Avi Mehta: Got it, Sir. And so just on the framework of growth that you have shared, I just wanted to you know check whether you need to revisit the brand architecture in any mann er to introduce any recruiter brands or do you see the existing brand structure being enough. Because you know in a bid to get recruitment in, you also want to ensure that the brand positioning does not take a hit. So, I am just trying to get your thoughts on whether you see that need as of now?

Suresh Narayanan: Good question, Avi. I think our brands are fairly robust enough to embrace different categories of consumers. So therefore, I remember every new brand that I had means a new avenue of resourcing, not only revenue, but a new conduit for putting in additional investments to support it. So, I would rather levera

ge an architecture of brands that is little bit more all -encompassing looking at different bio -segments and looking at different purchasing power strengths rather than

introducing intermediate plans or newer brands for recruitment and newer brands for training and stuff like that. So, I think that luxury we do not have in the context where there is a constraint in overall terms on trying to balance the sustainable growth today. I believe that our brands are robust enough and elastic enough to be able to take into account the different purchasing powers, income segments and opportunities. But if at any stage, at any category, if the opportunity comes of having a recruiter brand as such, maybe we look at it. But as of now, I think the existing architecture seems to be working quite well.

Avi Mehta: Thank you very much, Sir. That is all from my side.

Suresh Narayanan: Thank you

Shashank Nair: Thank you, Avi. We have the next question from Harit.

Harit Kapoor: Hi, Good Evening. Am I audible?

Suresh Narayanan: Yes

Shashank Nair: Please, go ahead.

Harit Kapoor: So just had three short questions. The first one was on the rural side, if you could just help us understand which are the hero products which seem to be part of your initial rural penetration drive, given that your portfolio is slightly more been urban centric. It would be good to know what are the key products that you are driving through that? So that is my first question.

Suresh Narayanan: Good question, Harit. I think these are across categories. So, it is not just one category, but typically if you look at the Maggi brand and part of the Maggi franchise, nutrition, milks and also coffee and to a limited extent, chocolates and confectionary, would be the kind of main brands that are penetrating. Now, across geographies the mix could vary, in some the lead brand could be milk and nutrition and the follower could be Maggi. In some geographies it is Maggi which is the front lead and then the others follow. But typically, we try and see that we have a bouquet across the portfolio of the Company that gets represented rather than just focusing on one brand because then it is a very fickle distribution model. Something happens to that brand; something happens to that price point and suddenly you find that your distribution becomes unviable. So, it's really like having a human being standing on two legs or like a tripod being a little bit more firm on the ground. It is the same thing that we are doing in terms of putting in particular SKUs from categories to form a basket and taking that basket with the infrastructure, with the activation and with the distribution support into these geographies and that is what we are seeing is working for us.

Harit Kapoor: Got it. Very clear, sir. The second thing was, you know, one of the reasons to keep pet care out was also that there was a scepticism about the same supply chain and distribution infrastructure for your existing portfolio versus pet care and you know the optics of it, etc. Do you think you know that has changed, also given the fact that this category is slightly more acceptable or if anything has changed on that side?

Suresh Narayanan: Look, I think it is the question of the perception at that point in time and there was of course some feedback saying that look, they would not like to keep it. But you know, we noticed today for example, in modern stores, you will have pet care products and next to that you will have other human products as well. I mean there is not any critical contamination nor any kind of issues on that. Therefore, we took a more pragmatic view. Apart from a sentiment issue and that sentiment issue will always be there. Somebody will say "look I like it" and somebody will say "I don't like it", but you cannot jump distribution opportunities and brand opportunities simply because t

here is a particular perception in a particular direction. So that is really what we have used. And to be honest you know, that is what we thought, and it's probably not true.

Harit Kapoor: Great. My last question was on dairy. So, you know this quarter you mentioned dairy nutrition has grown in double digits and in the last couple of discussions you had mentioned that dairy was having competitive pressures and that there was a slower growth on account of that. So, is this growth looked at more in the context of price driven growth or is there any change in that that dynamic?

Suresh Narayanan: Look, I think the competitiveness in that category continues to remain. There is nothing that has changed dramatically. What has happened during the quarter, however, is that brand Milkmaid really took off. There are these rare opportunities of 150-year-old brands that clock at good double digits in difficult times and that's really what Milkmaid showed. I think the resilience of the brand, the opportunities that it was able to capitalize on the ecommerce salience that it was able to live up to and the overall kind of equity of the brand was something that was extremely heartening, and that's what really makes the Nestlé portfolio so exciting. You know we have we have old brands but still very robust brands.

Harit Kapoor: Got it. Thank you. Wish you all the best. Thanks.

Suresh Narayanan: Thank you.

Shashank Nair: Thank you, Harit. We have the next question from Sheela. Sheela can you unmute yourself and ask your question please.

Sheela Rathi: Thank you for taking my questions and congratulations for bringing Gerber to India. So, my first question was with respect to infant nutrition. I understand that is about 50% to 60% of your milk and nutrition business. Obviously in recent years, the growth has been a bit tepid in this particular category. But my question to you was that are you seeing that in the last two years, because of the pandemic, there is a change in consumer behaviour? Especially, you know, with respect to a flexibility to work from home for women. So, do you see this as a headwind which could emerge? That was my first question.

Suresh Narayanan: That is a good question, Sheela. Look, I think consumer behaviours evolve over a period of time and I think there are two circumstances. You are right in terms of the pandemic, flexibility to work from home, and the fact that mothers could breastfeed the child and that is something that Nestlé actively encourages. For us, breast milk is the best food for the child. If that has been enabled. But I think in a larger context that is not necessarily a headwind of sorts because the fact is that the mothers will choose, when they can breastfeed and whether they need to supplement the feed with any extras that they need to give. That's the choice that they can make, and they will make whether they work from home or whether they work from the office. So, I think that bit of flexibility is there. One has not seen this as a sustainable behaviour, so one has to watch and see as work practices settle and as workplaces of the future evolve, how this behaviour translates. So, at the moment I would not be unqualified in my assertion to you that it is a headwind. I think it is something that the pandemic has seen happening, but we have to watch and see whether this is a sustained phenomenon over a period of time.

Sheela Rathi: Sure. And my second question was a similar to the previous one. My question was with respect to the rural strategy. So, with respect to your Rurban strategy, have you modified any of your offerings to center around the rural India demand? So, you said you have brought in bulk of your portfolio into rural India, but is there a modification with respect to your portfolio to make it more rural centric with respect to the offeree?

Suresh Narayanan: Yeah. At t

he moment what we have really done is three things. Number one, we have focused on particular geographies. Number two is the infrastructure and the sales organization, and the route to market organization has been put in place or is being put in place over a period of time. And the third one is that the whole activation model using 'haats' and using other rural activities have also been kickstarted. Number four is, in each of our portfolio that I am talking about, we have got starter packs, price points mid-sized price packs and larger packs. So, at the moment what we have done is really choosing the relevant pack sizes for the geographies under consideration and categories under consideration. As we move forward, there will be opportunities for customization in terms of pack sizes, which we will look at. But it is first best and prudent to work with the portfolio that you have got and then modify it over a period of time.

Sheela Rathi: Understood. Thank you. That is it for me.

Suresh Narayanan: Thank you.

Shashank Nair: Thank you, Sheela. So, while we are out of time, we still have one question from Shubhra. If we can accommodate.

Suresh Narayanan: One question we can take. I do not want to disappoint Shubhra .

Shashank Nair: Shubhra, if you can, please unmute yourself and go ahead with your question. Shubhra, I will have to request you to kindly unmute yourself. Unfortunately, Sir, it seems Shubhra is having some connection issues. We will circle back with her and get the details. We are out of time and no further questions, Sir. So, any closing remarks from you.

Suresh Narayanan: Firstly, let me thank you all for participating this afternoon today. It has been a pleasure talking to you. I am deeply grateful for the interest that you have in the organization, in the portfolio, in the initiatives. I am also very heartened to hear from some of you this afternoon on your welcoming both, the pet care acquisition and also the Gerber acquisition, as far as Nestlé India is concerned. I also applaud your understanding of the overall business context and situation. As I said, two points is what I would like to leave you with. Number one is Nestlé is a long-term company. We are not a company that is purely governed by a short 'one quarter result phenomenon' that we want to show. Which means that we look at all the levers of growth on a sustainable basis and for us protecting the growth model, the engine of growth as I called it, is extremely important in an inflationary context because this is the growth model that will be starting to get leveraged once the inflation abates a bit. And that is really what we're looking at. The question is that there will be a few headwinds. We are confident of being able to face those headwinds and to come out of it victorious as we have indeed been for the last couple of years. So, thank you all very much for your time and attention. Stay safe and thank you for participating today.

Shashank Nair: Thank you very much Mr. Narayanan! With this we conclude the session .

****ENDS****

Call: Feb 2023

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Subject: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
("Listing Regulations"): Transcript for Earnings Call with Financial Analysts/ Investors on
Financial Results for the Financial Year ended 31st December 2022

Dear Madam/ Sir,

Further to our letter no. PKR:GA:12:23 dated 16th February 2023, please find enclosed transcript of the Earnings Call with Financial Analysts/ Investors on the Financial Results for the Financial Year ended 31st December 2022, in terms of Regulation 30 of the Listing Regulations. The same is also being uploaded on the website of the Company at <https://www.nestle.in/investors/analystsmeet> .

For your information, the presentation and the audio/ video recording of the aforesaid Earnings Call is already available on the website of the Company at the above web link.

The above is for your information and records.

Thanking you,
Yours truly,
NESTLÉ INDIA LIMITED

PRAMOD KUMAR RAI
COMPANY SECRETARY AND COMPLIANCE OFFICER

Encl.: As above

Nestlé India Q4 and Full Year 2022 Earnings Call

February 16, 2023

Speakers:

- Mr. Suresh Narayanan: Chairman & Managing Director
- Mr. David McDaniel: Executive Director - Finance & Control and Chief Financial Officer
- Mr. Sanjay Khajuria: Director - Corporate Affairs and Sustainability
- Mr. Pramod Kumar Rai: Company Secretary and Compliance Officer

Ambereen Ali Shah: Hello, everyone. Welcome to Nestlé India's Full-Year Earnings Call. I am Ambereen Ali Shah, Head – Media Relations, Nestlé India.

I have with me today my senior colleagues from the Nestlé India's Management Team:

- Mr. Suresh Narayanan: Chairman & Managing Director
- Mr. David McDaniel: Executive Director – Finance & Control and Chief Financial Officer
- Mr. Sanjay Khajuria: Director – Corporate Affairs and Sustainability
- Mr. Pramod Kumar Rai: Company Secretary and Compliance Officer

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9. Answers to questions may be given basis generally available information in public domain.
10. No person is authorised to give any information or make any representation not contained in and not consistent with this presentation and, if given or made, such information or presentation must not be relied upon as having been authorised by/or on behalf of Nestlé India Limited.
11. Current year and previous year numbers have been restated to include the financials of acquired Pet Food Business as per the requirements of IND AS 103 - Business Combinations under Common Control

As per the agenda today, we will have a presentation followed by the question and answer session.

Once the presentation is complete, I would invite you to exercise the "raise hands" option on MS teams. Once you have raised hands during the Q&A session my colleagues will enable your mic when you are first in the queue. I would request you to please then unmute yourselves and state your name and organization before proceeding with your question. In the interest of accommodating as many questions as possible, we would be grateful if your questions are brief.

As per the process, the entire proceedings will be recorded and uploaded on our website www.nestlé.in.

I will now request Mr. Narayanan to please take over and make his presentation.

Suresh Narayanan :

Thank you and good morning, good afternoon and good evening, ladies and

gentlemen. It is really a privilege for me once again to have this opportunity to present to you, to have a discussion with you, and of course have a dialogue on the Company's performance and where we are today.

The theme of the presentation is 'Consistency in the face of a storm'

On a lighter tone, if I were to start, it reminded me of a very old Hindi song that was, probably a song of my generation, it went as this – Zindagi ek safar hai suhana, yahan kal kya ho kisne jana, which basically, for those who do not understand Hindi, it means life is such a beautiful journey but what happens tomorrow, none of us know. And I think, we live in volatile times. We live in times which are unpredictable

e, which are surprising, and yet which are offering opportunities for organizations like Nestlé. And that is really what I would like to focus on.

So, this is the consistency in the face of a storm that I will be talking about. This also has shown enormous amount of resilience on part of the team because it is not easy to deliver results in a situation of volatilities and of unexpected events that keep happening around you. I think it is to the credit of the team that we are able to withstand it and to take the business forward and the consumer journey forward.

What is it that we talked about the last time that we met at the investor call? We talked about five essential themes. We talked about continued robust performance. We talked about the fact that we wanted to secure growth which matters, because, all said and done ladies and gentlemen, margins will start to come back, but if growth is not there on the cards, there is no multiplicand. You do not have something to multiply it in order to make that into operating profit or into net profit or into any measure of profits that you would like to have.

The third element was on pet care and offering available opportunities, and of course, we talked about the integration of the pet care business with the larger Nestlé India business. We talked about the confidence and capability of strong brands to withstand, and I think that was a time when we had started this entire journey of volatility and therefore, it was still more that lay ahead, and finally of course the entry of GERBER that we had made in India. Our premium toddler cereal that was launched at that particular point in time.

What is it that we will talk about today?

We will talk about the financial highlights and underlying performance. I will first cover the full year 2022 and then of course, the last quarter of 2022.

I will talk about unlocking our RURBAN potential – we talked about it earlier, what is it that we have done in concrete terms, where are we on our digital journey as an organisation and finally, what is our promise to stand up to the nutrition opportunity which is in the millets category.

So let me take the first part - financial highlights and underlying performance.

This has been a strong decade of domestic sales growth. After 2011, this is the year 2022, when we are seeing the highest organic growth that has been recorded by the Company at 14.8%. So therefore, when we say that this is the highest growth in the decade, this is really what the numbers show.

And to notice the fact that last year too, there was no base effect, so we did not have the base effect of sitting on particularly no base and showing this growth. It was at about 11%, (10.7%) on which a 14.8% growth has been shown. But I will come to the texture of this growth. From a full year basis, the growth has been 14.5% in terms of reported sales, that takes us to a Company, which is about 168 billion INR now.

In terms of profit from operations, and I will come to this a little bit later, despite the overriding compulsions of inflation and cost escalations, we have still managed to keep the profit levels at about 20%. Historically, as you know,

the Company has been anywhere between 20 and 21% and that is where we are today in absolute growth terms. It has grown by 4.2% from 32 billion to 33.7 billion. Net profit on a reported basis has had an improvement of 12.8% in percentage terms a small dip for 14.4 to 14.2. There was a one-off charge, as you know, the financing cost of the pension plan that was factored in last year, that green line on top tells you that you should have been normally 15.7 to 14.2, but on a reported basis it is 14.4 to 14.2 and earnings per share on a reported basis is up by 12.8%.

If you look at quarter 4 2022, the growth again has been steady, it has been about 14%. We closed the quarter at 42.3 billion of sales. What is encouraging is that t

he operating margins actually have turned the tide, have improved from 20.9 to 21.1%.

In growth's terms, that translates to 14.9%. The net profit of the Company, which is reported at 65.5%, has been, as a consequence of this improvement, and of course because of the base effect that we had in the previous year, previous quarter. Earnings per share, again up by 65.5% on a comparable basis by 12.9%.

This has been a saga of sustained volume net growth. You would ask me the question is all this based purely on a price effect? I must say that if you look at the period 2016 to 2022, the Company has recorded an 8% plus volume-led growth during this period. If you deconstruct quarter 4 and if you deconstruct the full year, let us say of 14.8% roughly about 6 to 7% is coming out of volume growth and the balance is coming out of pricing growth and I will come to why that is the case. During the last quarter of the year, the volume growths have come to between 3 and 4% and the rest of it has been pricing-led growth.

What this really indicates to you, is that despite the enormity of the commodity cost escalations that we have faced as a Company and of course returning back to normal, from a pre-COVID situation it now merits consideration of how we will take this journey forward from the growth levels that we have reached and from the volume levels that we have reached and which was the real purpose behind sustaining the growth engine that we had. Because, if you remember, the strategy of this Company has been on penetration-led volume growth, so we have tried to protect it as best as possible even in these very difficult times.

What does that translate into? The value growth has been fairly strong on a CAGR basis, 10.7% on a year basis, 14.8%, which is as I told you, a decade and high and of course on a reported basis, every single quarter of 2022 has been a double-digit quarter – 10.4, 16.5, 18.3, 13.8. So that is where we are in terms of the value growth that has been delivered.

In terms of where has the growth come from?

You know that we have been sharing this data with you, are divided really into five clusters - mega cities, which are cities with a population of greater than 4 million, metros between one and four million, Tier-1 towns less than 1 million, Tier-2 to 6 between 1 million and 100,000 and of course rural India. What this is telling you is that the growth continues to be double-digit in mega cities. You would see a little dip there from 23% to 12%. I think the consequence of some of these small packs is where price increases have been taken, is apparent as far as this is concerned.

On a longer-term basis, I do not see much cause for concern because there has been uptrading that has also happened across categories and you will come to that as far as the overall category growths are concerned.

Metros continue to be strong. The urban story for Nestlé India continues to be strong. You see that 15, 17 and 21, so that is a number that we are quite confident of.

In terms of town class one, which are towns below the population of a million, again the growth has been strong. 14, 16, 19, 19. This has been the

consequence of accelerated RURBAN strategy, increased penetration strategy, increased focus on activities and activations in these towns and that is really what has had a positive impact as far as sales are concerned.

Town class, two to six, which are really less than 100,000 population, is where you find that the growth, while still positive, has come down from 13% to 5%. And this is where the pricing impact of some of our small packs, especially in the noodles category has had some impact. The price increase, there has been close to 40% and that 40% has clearly had an impact. But this is not something that has not been anticipated by the Company. In fact, positively on a margin accretive basis and upgrading has happened to the single packs and to the

multi-packs and that is really helping the longer-term texture of growth of this Company.

Last but not the least, when there is a big question mark on rural India and rural growth, I do admit, that the rural play of Nestlé is only 20%. But you see the growth has been again fairly strong. 25% going up to 26%. Again, rural India for Nestlé is clearly resonating, and we are on a path to accelerated growth in rural markets as well. And I will come to why that is happening as part of the rural strategy that I will be devolving in a few minutes' time.

Our route to market - I think distribution is key. Whatever we talk about. Analytics and digital and advertising and promotions, the power and the resonance of a consumer food brand lies in distribution, and that is what I have learned in all my four decades in this business. And this is an area where we have been with single-minded focus. In 2022, we accelerated our Nestlé direct reach from about 1.4 million to 1.5 million, overall reach at 5.1 million. You would recall that in 2015 as a consequence of the MAGGI crisis, our distribution had shrunk quite considerably. The build back on these years is now almost complete, in fact, fully complete and we are now exceeding the levels of distribution that we had lost during that particular period. This in part is of course the reason why also our RURBAN strategy is working for us.

We talked about margins and all of you would ask the question, operating margins have moved from 22% to 20%, two hundred basis points. Look at the commodity headwinds that have hit the organization in 2022. If you look at a comparative pricing, this is the pricing chart that tells you in the last six years - milk prices are up by almost 40%, milk powder prices are up by almost 57%, edible oil prices have more than doubled, wheat prices up by 30%, green coffee up by 45%, packaging up by 44%. These are considerably high numbers and if you look at even January of this year, where the consumer price inflation is reported at 6% plus, the food inflation, which is primarily seeing inflation, is reported at 16% plus.

So therefore, food inflation is clearly an area to watch out as far as the Company is concerned. While we are confident of being able to mitigate part of it and while we are confident of being able to take care of some additional opportunities for growth, premiumization and uptrading as we will come to, there is considerably still some pressure under the bonnet as far as the cost factors are concerned.

Here is the chart that I have shown you the last time, eight out of the 13 commodities reported here. Once again, these are latest prices. These are not last year prices. These are breaching the 10-year highs that we have seen. So, there is not that much of active relenting as far as the overall commodity basket is concerned.

To put it in simple terms, if between 2018 and 2020, the Company faced an average commodity inflation of 3%, in 2022, it faced a headwind of six times - 18 and a half percent. That is the kind of enormity of the challenge that the Company has taken on. Now, it is easy for the best of organizations to wilt under a pressure of six times the cheese strings that you are able to take as an organization.

But we did a few things right and I am very happy to share them.

One of the first things that we did. We are a Company of scale. We are a Company of relationships. We are a Company of strong partnerships and also a global bandwidth that gives us the ability to read the markets a little bit better. Accelerated economies of scale and sharp procurement strategies were put in place from day one. We knew this storm was coming. We decided to take the right steps in terms of stocking, in terms of purchase, and in terms of taking positions on a few commodities where we were allowed to take such positions.

One of the intrinsic strengths of the Nestlé as an organization has been the

SHARK programme. SHARK is fundamentally a programme that delineates and that deconstructs the entire value chain of the Company. Across product categories, across brands, across SKUs, looking at each element of that value chain and seeing whether it must be allowed to grow, it must be stagnant, it must decline, or it must be eliminated. This exercise has yielded for the Company almost 20 billion rupees of savings in the last couple of years and on an annualized basis, gave us about 1.5 to 1.6% or 150 to 160 basis points of savings in 2022 as well.

Were it not for the SHARK programme, we would have been in even deeper trouble as far as the overall margins are concerned.

I pay tribute to the fact that, this is translated into over 7500 projects across Nestlé India. Cost reductions, enhanced efficiencies, speed, looking at elements of the value chain, what can be eliminated? What can be removed? What can be accelerated? What can be combined? - involves more than 3 to 4000 people working on this project, in addition to what whatever work they have what to do in the organization. It also demands, ladies and gentlemen, and I know that you all look at the numbers. But please do also look at the mindset. I am very proud of the mindset of the 3- 4000 people who worked on these projects because they have looked at what used to be traditionally called zero-based budgeting is what they have tried to look at in their own value chains and their own part of their value chains to make these savings happen.

Next, calibrated consumer insight-based pricing decisions. As the Company in 2022, we faced almost 810 basis points of commodity and cost headwinds, against an average of 200 to 250 basis points at best. Do not go to the mitigating all of that by looking at SHARK. It is very difficult to get 800-900 basis points of savings. You have to look at pricing. If I am looking at pricing, you can do it in two ways -one is what is called intelligent guessing. Taking a few risks and the other one is a more calibrated response by looking at the portfolio, the strategy of the portfolio, the premiumization opportunities, the geographic and SKU mix that you need to do and finally, of course, what your studies of consumer insights and consumer research tells you as far as what the elasticity of demand can be for your category and for your product?

This was done across all the categories. Almost 80-85% of the portfolio in a sense has been touched in one way or the other. But I think this has led to a strategy where impacts have been measured and responses have been calibrated. So, it is a two-way process. It is not just one way that it has to be done.

And finally, of course, I pay tribute to the alignment, courage, and exceptional teamwork. Those of you who are aware of the Nestlé organisation, many of our business leaders are very young people. The people probably who face this kind of onslaught for the first or second time in their careers or people like me, who have been in the trenches for a very long time. So, it takes a lot of courage as well, apart from the analytics, and apart from all the data work that you can do to take the decisions that you take. But I am glad that you took the decisions that we took and therefore you are here to see us deliver the performances that we are delivering. So, these five measures really helped us to take our journey forward in a terrible storm that we faced.

So, the profit from operations, as I said from 22% to 20% on average, and you could see from the chart before that 21.7, 21.1 and 21. So we are getting back

into the pen as it were of the kind of profitability that we would like to work with. CAGR 12.6%, what is encouraging is the V shape that you are seeing - 20.9, 18%, which is the low point that we hit, 20.1% which was quarter 3, 22.1% quarter 4, 22.

There are no guarantees, ladies and gentlemen, in life. But what I am happy to report is

that the tide seems to have turned for us, at least in the last couple of quarters. So, the net profit, I think the reason why you give us the valuations that you give us, is also not only because of the operating margins, but also because of the profitability that we are showing as a Company and of course return on invested capital, which is arguably one of the highest in the industry that you see.

Again, here the return on the sustained net profit has been on average about 15.6% in the last six years. And once again, as a profit ratio 14.9 to 12.7 to 14.5 to 14.8. Again, both operating margins and the net profits are moving in the right direction.

What has this meant? Business has been strong, almost double-digit across all product groups. If I were to give you an idea, ladies and gentlemen, of quarter 4, 2022 - every single category, all these four categories and the business that I am talking about has delivered double-digit. Every single category has delivered double-digit, and I think all of them have had semblance, or a reasonably good semblance of volume growth. So, it is not that, you know everything has been ruined and everything is all because of pricing. It is also because of some strong volume growth. Confectionery business for example, has had superlative volume growth.

Liquid beverages, NESCAFÉ has had the best year in 2022. Best year. We are hitting market shares today, which are amongst the highest we have ever touched in this category. So, there are things here that seem to be going in the right direction, as far as the business is concerned. Milk products and nutrition 40% contribution growing at about 9.5%. Strong performance by both the nutrition and the dairy part of the portfolio, prepared dishes and cooking aids, despite - and I repeat, despite the difficult situation that you would like to take as far as some of these small packs are concerned, still a 15.6% growth and a contribution of about 32%. Confectionery, a growth of 25% and this is the second year in a row that we are getting this kind of growth, 16% contribution. Coffee - I just talked about it. 19.2% growth, 11.4% contribution.

I have received in the past questions on the Out Of Home segment, which is relatively a smaller business for us. I am delighted, that once the pandemic clouds have lifted, the Nestlé Professional business has clocked a 39% growth in 2022. And what is more important, ladies and gentlemen, is today almost 20% higher, I repeat 20% higher than the pre-COVID level of sales that we have achieved. I think, a huge tribute to the team for the manner in which they have come back and restored the business model, and this is going from strength to strength.

Innovations, while we have launched about 110 new products in the last seven years, I must admit that in the last two years the focus has been on the core. The focus has been to ensure that the bread and butter of this Company - the core 12 to 15 brands of this Company are sustained, are nurtured, are taken care of, are operated upon, and are made to deliver the best results that they can. No point in talking about 20 new innovations, if I cannot secure the one big pillar that I have got. So crumbling edifices is really not what the strategy of Nestlé India is. It is to secure the growth platforms and then to keep adding on an incremental basis. What that has led to is from 1.5% in 2016, today we are at about 5.4%. Albeit, you could have the comment and rightly so, that from 2021 to 2022 it has moved from what 5% to 5.4%. I would say this is encouraging, but this is a sign of the consistency that we want to show on the core of the business rather than fritter our limited resources away on different parts of expansion; all of which needs resources to make them happen. Significant value for investors, I think we continue to be looked at very favourably in terms of the investor community, in terms of what we have been

able to deliver
transparently and consistently.

I have said this before, and I repeat Nestlé India is about the Company that is boring consistently, by its consistency, it may be boring but it will never be erratically brilliant. Because an organization develops and grows and thrives not by yoyos of growth, and yoyos of activities, but by building on foundations, building on infrastructure, building on people, building on brands, building on channels, building on analytics, building on digital, building on societal capabilities, building on equity and therefore, building for growth. All this takes time, takes systematic effort, and it happens only when you focus on all these aspects. We are trying to, under the circumstances. I would have wanted to do more, let me be very honest. We have had a very consistent strategy in terms of media support, strong investment behind the pillar growth brands, focusing on the core, improved efficiencies in buying media, targeted communication by leveraging consumer clusters, accelerating the digital spend and finally, of course, investing in building brand equity versus short-term promotions.

One of the strategies that we adopted as a Company is to move away from considerable dependence which we never had but we had it a few years ago of strong consumer promotions, at all points in time to building equity for our brands and for our categories over a period of a time. And that is also paying off for some of the major brands of the Company.

The e-commerce business has grown very handsomely. It has gone up by almost more than 10 times in the last six years from 0.6% to 6.5%. It has grown by 41% in 2022 vs 2021. But I hastened to add, ladies and gentlemen, e-commerce is an important vector for growth, but it is not at the sacrifice of other channels of growth that we have, which is modern trade or organized trade and of course - 80% of the business that still comes from the traditional mom-and-pop stores. My Company has thrived, has lived and has achieved synergies by a balanced and judicious relationship between the different channels that operate in the market. I pride in my sales organization and my customer organization to be able to maintain that relationship and this is the way we would take it forward in these volatile times. Consistency is a hallmark of an organization that is clear and has a clarity of purpose of what it seeks to achieve.

What is our RURBAN approach and what have we done here? I have talked about this earlier, but I would just like to put some numbers to it. In the last couple of years, we have looked at a renewed thrust on RURBAN. Why RURBAN? Because the media reach, digital reach, the brand reach along with the equity build up, the resonance and the kind of aspirations that consumers have had across have enabled this journey to happen. The growths have accelerated gradually from 10.6%, 11.9%, 12.5%, 15% in 2021, 13% in 2022 - still very positive. But of course, there is an impact of loss that we have faced because of the small pack trading opportunities in this environment. Short-term but nevertheless reflected in the numbers.

What is our ambition? RURBAN is not just about having nice apps in the hands of your salespeople. RURBAN is about building the nuts and bolts of distribution. For us, it has meant taking an ambition of covering 1,20,000 villages above the population of 2000, where I am happy to report that in 2022, we covered a little over 91,000 villages. And as of today, we are covering a total of around 165,000 compared to what we were covering two years ago, which was just about a half of it. So, there is considerable merit in building the rural reach in terms of villages, of course focussing on the 2000 population, which is where the potential is as we measure it happens, but in also accelerating the journey. So, what have we done? Those villages have happened because of strengthening dist

tribution infrastructure in terms of distribution touch points. Two years ago, we had about 10,000 distribution touch points, which is wholesale hubs and redistributors as we call them - small distributors and wholesale hubs in selected markets. This exercise, ladies and gentlemen, is in about 13-14 states of this country, that today has become about 14,000. So fairly significant build up of numbers. Why? Because you must have a plan, in terms of distribution points, number of brands, number of SKUs, number of outlets, size and scale of activation and a methodology of identification of where you will move forward

and why will you move in that direction, and I will come to all of this because this is important for the organization.

Scaled up HAAT activity - HAAT very simply for those who are not from India is village fairs. The country hosts millions and thousands of such fairs, and what we have planned is to start that journey of having activations that include simple advertising by voice promotions and sales of our brands in some of the rural heartlands and the rural markets as we have defined them from 2502 to 20,600 - is what we have done. We have scaled up the activities almost 10 times in these cases, all this pays for results. Be it up there in the mountains in Ladakh or other parts of the country, we have tried to make this activity happen.

Improving shop visibility - all the fundamentals of distribution. What I would like to emphasize here is that we are trying to do is Copy Book Distribution Strategy 101. But again, sometimes in this age, we forget that it is not going to be about software packages that are going to deliver sales. It is going to be hard work, discipline, and a huge amount of credibility with the trade that is going to make it happen. Improved in-shop visibility is the key. Again, what we have developed is called RURBAN smart stores, which are stores identified for specific visibility activities from 3500 to 16,000.

We started this project called Project Swabhimaan, which is empowering rural women. This is not new to the country, but certainly new to Nestlé. We have looked at particular geographies, starting from East UP and extending now into about five or six states, scaled up to 19 states in 2022. With more than 600 plus rural women entrepreneurs, these are self-help groups that we are generating in order to ensure that they have a livelihood, and the brands also have a pride as far as consumers are concerned in these rural markets.

How do we do all this? One thing is to do what we used to call in the old days, pray and pray – let us go around, walk the markets, and decide which one is better, check with the distributors, check with salesmen and check with whoever else you can. Today, it is all about increasing category relevance through segmenting the portfolio. So, you have segmented the portfolio and here are some of the brands that are a part of that segmentation exercise. More importantly, the back-end of the RURBAN strategy is powered by data analytics and digital. MIDAS, that I will talk about in a second, will provide us information because of the data crunching that it does. In terms of where to go, what to go with, what to sell, what not to sell, what kind of activities to do, and how to make and close the call successfully as a Company. That is the power of analytics that you can bring to the table. So, a distributor salesman going out into the shop will actually be able to know here are the four outlets, or here are the five SKUs that are a must sell in these outlets.

This is what I need to do in terms of offering to the retailer. This is what are the touch points that I need to establish. This is the power that is able to establish a must sell SKU by the PIN code of operation.

This is part of the sales automation (photo on the slide) where the back-end is powered by the power of analytics and digital and the front-end is power

ed by

people and infrastructure. That is the way this model has moved forward.

Local campaigns have been run in Hindi -“ Swad ke saath, quality ka bhi bharosa pao.” There are numerous fakes in the market and therefore this is a way where we have used real people in real voices from rural India. There are no celebrities out here. They are all real people and this has really worked extremely well for us in rural geographies (and this one comes from Uttar Pradesh) to establish the credibility and equity of the fact that the consumer wants MAGGI but are you really getting a MAGGI, is a question you need to ask.

Our digital analytics journey is not a nice to have but is an absolute mandated to have. Today, when I look at analytics, there are different elements that you operate with - D2C sales, automation, e-commerce, NESCAFÉ, the E-mug campaign, marketing consumer insights and brand.com. Numerous initiatives are being taken to integrate and enrich the power of data, the power of analytics, the power of digital, the power of commercial decision-making and the power of outcomes. All of this really has made the use and the integration

of MIDAS into the business, and in fact a renewed and a revamped structure for analytics and digital within the organization. Whether it is martech, or whether it is digital or MIDAS, all of these are now business integrated to make the entire value chain hum for us in terms of business.

In addition to that, we have looked at as a market on how we can manage transactions at scale, so that we are able to release time of the operating management, of the operating parts of the business to interact and deal with customers and consumers as the case may be.

So, the Nestlé Business Services has been set up a few years ago. It has almost 190 people who work there. They are looking at financial services, HR, business services, procurement support services, talent acquisition services, tax support services and customer management services. What is the icing on the cake is the fact, that they have the best gender diversity that I have at any of my operations; at almost 48.7% women and the leadership is almost 2/3 women. This is an initiative in the last three years, but the cementing and the solidification has happened more in the last two years in order to make this a clear competitive advantage as far as the Company's operations are concerned.

Coming to the last bit, 2023 - The UN Year of Millets, I think this is an important milestone for the country. As you know 20% of global millet production happens in India. It is a smart food with a high nutrition content. Prior to independence, this was the major form of cereal consumption in this country. With the coming in of wheat and rice in large quantities and the green revolution, obviously this has lost its charm. Climate resilience and also of course, water economies because it consumes a fraction of the water that is required by any of the mainstream cereal crops that we have in the country.

What I am very proud is that, this is where the power of Nestlé R&D comes in. You know, we are a science-based Company. We are a Company, where science is translated into nutrition, is translated into products, is translated into propositions.

Therefore, it is science that takes the calling and not commercial interest that takes the calling. An MoU that has been signed by the Nestlé R&D Center India, which is a subsidiary of Nestlé SA and Nutrihub which is part of the ICAR - Institute of Millet Research. We are working with them quite closely on millet processing, health and nutrition benefits, millet sustainable regenerative agriculture practices, start-up collaborations, etc. Millet processing is something that is of a priority because millet while it is attractive as a source of protein, vitamins, minerals and is also one of the more difficult crops to process.

Creating our millet moments – we

are launching some new products. One of them we will talk about, but there are three brands that will be involved in it – Nestlé CEREGROW, Nestlé A plus and of course MAGGI. And as I speak to you, there is a very active journey in terms of new product development that is taking place to really look at placing millet in the nutrition map of consumers and also placing India on the millet map of the world. So, we have started the millet journey with CEREGROW grain selections. This is meant for toddlers. This is made from ragi. It has got off to a terrific start and I must say that it has been a very encouraging start. It is a product that is at a mild premium. But it is a product that has got a proven nutrition credentials and therefore, it is also seen resonance as far as the consumers are concerned.

So, what are the key takeaways that I would come to at the end of this presentation?

First, strong and sustained almost double-digit growth across all categories. We said, we will secure the growth engine. We are securing the growth engine. And this is an important aspect. The foundation of this Company are on the growth engine that we have created. And that is what we will focus on in quarter 2 in order to come out of whatever difficult situations that we find ourselves in. Strong comeback of Out Of Home. We talked about it. I think it is an encouraging sign for us. Business and contributions from here would start to

improve. Acceleration in e-commerce entry into D2C, exploring new channels of growth and unleashing our power of SHARK methodology for cost effectiveness, efficiency, and speed, accelerated digitalization, analytics and building scale competencies. Next invested to unlock RURBAN opportunities, it is a good growth journey. It has been a good story. We do not intend to take the leg off the pedal. It is going to only accelerate as we go forward. We are seeing signs of encouraging responses and we will go that way even more resolutely in the coming months, in the coming years. Pragmatic, bold, insight-based decision on pricing. This is not randomized; this is not kneejerk. This is thought through in order to see how we can balance the books in terms of the growth versus profitability story that we are able to make as a Company.

Part of people and partnerships – I am delighted to have an organization of more than almost 8000 people where there is enormous amount of resonance, enormous amount of unity and enormous amount of alignment in what we seek to do, how well we seek to do, taking pride in what we stand for as a Company and what we can deliver as a group of people. And finally, of course, the excitement and opportunity of millets - both locally and globally.

All I can say, ladies and gentlemen, is that storms will come and go. Volatilities will come and go. It is the strength of teams, the strength of brands and the strength of conviction that is going to matter at all points in time. That is really my simple message at the end of my presentation. Thank you all very much for your very patient listening.

Ambereen Ali Shah:

Thank you. Mr. Narayanan, we now open the floor for questions. I would request all of you to please exercise the raise hands option on MS Teams and we will enable your mic and you can unmute yourself and ask your question. Abneesh Roy please go ahead.

Abneesh Roy

Firstly, Suresh, Congrats on very good set of numbers in the current scenario. My first question is on the key category which you highlighted last two years, good growth in confectionery is very strong. My question is not on the Nielsen because in Nielsen normally we see that almost every brand claims their market share gain. In your case with the kind of growth you have seen, obviously Nielsen, you will see gains. My question is what would be the growth of the confectionery and chocolates market in the last one year? What would be your sense and where exactly gains are

happening? And how could you accelerate further because the gap with the number one player is still extremely high. So does such strong growth open new avenues for you in this category?

Suresh Narayanan :

Thank you very much for that question. Look, our estimate of the growth of the market is about 10 to 12%. That's the kind of ballpark growth in the confectionery market that you have seen in the last one year. We have clearly grown much higher than that. We saw the number 25%. We have had therefore market share gains not only in overall chocolates category, but also in the white wafers category. And it drove wafers category that we operated, where again the market share gains have been significant. In fact, we are aware and seized of the opportunity and if you look at the forthcoming capex, the two big areas where big investments are being put up, one of them of course is the noodles category. And the second one is confectionery - chocolates. So, there is a lot of putting the money where our mouth is and not just allowing it to come by us and not do much about it. So, I just do not go with the Nielsen figures. I have my respect for Nielsen. But we have our internal measures of brand performance, brand salience, brand equity, brand of choice etc. and also capacity utilization. And the second largest you know for a category that contributes number therein terms of overall category sales for the Company to be at the second place in terms of investments says a lot.

Abneesh Roy:

Sure, Suresh, that is helpful. My second question is on the data point, which looks a bit weak. So, when I see the tonnage data that has slowed down meaningfully in Q3 versus Q4 and you also highlighted that in metro, the growth rate in this quarter has slowed down and you referred to the price hikes, etc. in the LUPs. So, could you elaborate on this, which categories and is there an issue of market share loss? You did say that this does not impact. Medium, long-term, but in the past, we have seen that in LUPs whenever a price hike happens, there is a customer who shifts very quickly to the competition. So how? How are you addressing both these aspects?

Suresh Narayanan :

I think it is a good question. Honestly, the loss in momentum in the highly priced sticky categories has been more a volume share that has been depleted during this period and not necessarily a value share for the category. So, we have tried to do the balancing between we knew for example, when we took up the price of the chhotu pack (small pack) that there will be an impact on volumes. You do not need a genius to figure that out. But we were able to use consumer insight, calibrate it quite well on what we would be dropping by and what we need to do in the other parts of the portfolio. There are two or three actions that have been taken. One of course is that the mainstream and the premium parts of the portfolio have started to grow better. Secondly, the small packs are not necessarily the best margin packs. Some of them are packs that we could do better in terms of the margin deliveries. This in a sense, because of the commodity situation, has improved our mix a bit towards better margin and better consumer value proposition SKUs over a period of time. And if I were to index the growth, if for example the mainstream grew at let us say 100, the PPP has grown at about 110 and the premium has grown at 140. So, that is the other way in which we try and mitigate. So, using portfolio, using channel geography, using selective activation, is how we try and mitigate the kind of impact that we have had. But yes, I must be honest, in some of the SKUs that we have done, there has been a volume loss, but I do not believe and the business does not believe that these are permanent losses. These losses we will recover as time goes by.

Abneesh Roy:

My last question, quick question on the e-commerce. When I see other

companies in terms of percentage or domestic sales, you seem to be a bit lower - not a big gap but a bit lower that seems a bit strange given the very high premium positioning, more urban focus. So, could you relate both of those? And second is now we are also seeing drying up of funding for a lot of these start-ups in terms of e-commerce. So, would you be worried on that medium long-term aspect not on the historical numbers but medium long-term?

Suresh Narayanan :

I think this is a good question. If you go back to my presentation, one of the remarks I made, was that e-commerce is being looked at as an important channel, but not the only channel for business. You can take a strategic view of e-commerce, or you could take a tactical view of e-commerce. Tactically, if I put in pumping more promotional money, I will get more sales. But the fact of the matter is, I will destabilize the equation in terms of trading terms between e-commerce, between modern trade and between traditional trade. This is something that we have been very careful about as a Company. Each Company has its own philosophy, Abneesh you know it. You cover all the big companies. Some companies are a little bit arrogant but a little bit ballsy about it. They say fine, it doesn't matter. We take a punt on this, and we do a greater investment in e-commerce, find some of it leaking back into the trade of course, because not everything can be digested by consumers. What we have taken is a more prudent strategy, that the trading terms are defensible in e-commerce,

defendable in traditional trade and defendable in modern trade. And that is why, if I have a higher sacrifice or for example 50 basis points in terms of contribution, I am okay with it because I know that the overall pace of the business has been picked up by other channels as well. Defensibility and long-term sustainability of trading terms is an important aspect in this market. I mean, some people might choose to disbelieve it. I can tell you with all my years, that it is probably one of the central pillars of accelerating growth in the market like us.

Abneesh Roy:

Sure Sir, thanks. That is all for me.

Ambereen Ali Shah:

Thank you, Abneesh. The next question is from Tejas.

Tejas Shah:

Hi, thanks for the opportunity and congrats on good set of numbers given the backdrop. Sir, since you started engaging with the investor community and in the current role, you have shown fearless commitment towards NPD strategy. But in our last two interactions, the last time you mentioned NPD as an outhouse example and today also you said that you will focus on core. So, should we think that there will be some strategic pause on the NPD thrust that you created in the initial part of the tenure?

Suresh Narayanan :

Good question. No, I do not think. See everything depends on the circumstances in which you are operating. When you are operating with the 800 basis points of commodity headwinds. When you are operating with a portfolio that needs to be defended in terms of both growth and profitability and needs resourcing, where is my priority as the CEO of the Company going to go? It is going to go towards defending the core. Nurturing the new will happen only when I defend the core, because otherwise my resources for the future will not be able to be generated by spending you know, 50% of my money that I have on A&SP behind new brands because the core brands will start wobbling under the circumstance. So it is more because of circumstance that we have taken a more prudent strategy on innovations. I can assure you that that has not stopped the plans in terms of the pipeline. So, the pipelines are quite full. The minute we see a relenting happening, you will see your speed and certainly apart from millets, there will also be other launches from the Company that will come up. Just give me a quarter or two to stabilize the situation in terms of the ov

erall impact of inflation and you will see the engine coming back again.

Tejas Shah:

Very clear. Sir, one noticeable point on your P&L for last two years has been on the employee efficiency part. Now we all talk so much about inflation which has been hurting everybody. I was just wondering how do you keep your employee motivated with 2% and 7% kind of employee cost in last two years' inflation? Is it largely around efficiency that we have worked or is there any insight that you can share there?

Suresh Narayanan :

No, I think some of it, of course, has been some economies as well. I mean, as you know the pension plan having off that we have done has had benefits for the future in terms of the cost of servicing the kind of liabilities that we have got. That certainly is one of them. The other thing is that because the strategy of the Company has always been to attract good talent, to give them good opportunities, to remunerate them well, but we are not, and we do not say that we are at the top of the market. I think any job has a combination of what you do, how you do it and where you do it. And I think this combination seems to be working quite reasonably well for us. Not to say that we do not have attrition, we do have attrition and not to say, we do not have retention issues, we do have retention issues. But on balance, I think this is an organization where there

are more people who are willing to stay than those who are getting out of the door.

Tejas Shah:

But Sir, the current run rate, which is roughly 9.7% as percentage of sales, is it sustainable on employee cost?

Suresh Narayanan :

Well, employee costs, you know the math very simply. If I am able to grow my business faster than employee cost, I will show you a declining percentage over a period of time. So, the magic mantra, my friend has always been, that growth hides everything.

Tejas Shah:

Perfect. Sir, Last question. Sir, in your opening remarks and even in your press release, you spoke Nestlé SA's contribution on developing science-based products and I believe as the economy is evolving, Nestlé SA's contribution will grow further. So, I just wanted to understand how should we think about the general license fees or royalty agreement going forward? And just to refresh our memory, when is it coming for renewal?

Suresh Narayanan :

It comes for renewal in 2024, I believe. Let me be very, very clear. I think the logic for the royalty has not changed one bit.

The 2000 brands of Nestlé are owned by Nestlé, they are accessed by Nestlé India. The science, technology, and the operating capabilities that they are getting knowledge and inputs on has been a significant part of our journey. The logic has remained the same between the last royalty agreement that we had negotiated and that we had agreed with the shareholders and today, the logic has not changed one bit. In the quest, for example, for the millet project. More than what Nestlé India is able to leverage in terms of science, technology and operating capabilities, Nestlé R&D is able to do it. Why? Because Nestlé R&D has got a facility in Abidjan in Ivory Coast which works on millets exclusively.

So, if I need the technology for this, am I going to be sitting with my factory fellows and saying now come on, let us look at a way of processing millets or am I going to tell the Nestlé R&D centre, my brother in the market, who is part of the Nestlé SA investments to access capabilities from Abidjan and from the center in order to make these technologies happen. So that is a simple logic for it my friend. It is not a question of gifting away money. It is a question of having a rationale and a clear-headed logic for what we are doing as an organization.

Brands, R&D support, operations support are intrinsic parts of what we have as an arrangement with Nestlé SA.

Tejas Shah:

Very clear. Thanks and all the best.

Amberee

n Ali Shah:

Thank you Tejas. The next question is from Avi. Please unmute yourself and ask your question.

Avi Mehta:

I just wanted to better understand the comment that you made in the press release about the domestic demand environment being very robust. This is especially because you know in the entire presentation, the LUP price hike impacting volumes, this three-year CAGR kind of moderating. Would love to better understand your comment.

Suresh Narayanan :

I think it is very clear and if you look at our last couple of quarters of growth, all the quarters in 2022 have been double-digit and with an underlying positive volume growth. The issue has been more quarter 4 where we know the reason

for that. We are coming out of it, and I think there is always a relativity in the manner in which we look at the market. But today, there is no reason to believe that we are having massive storm clouds in terms of the portfolio, the equity, the salience, or the relevance of our brands and that is the simple comment that is being made.

Avi Mehta:

So, it is a more a medium-term comment, is that the right way to understand it?

Suresh Narayanan :

Well, you can nudge me whichever way you want to, I will never give you guidance for the future. Read it the way you want to, but all I am telling you is that the focus, relevance and salience of our brands has not diminished despite the kind of commodity inflation and the volatility that we have seen.

Avi Mehta:

Fair point. Sir, the second bit is, as know what the LUP price hike that you have mentioned - Do you see that in any way hurting the rural expansion because typically, the understanding is that they are the key drivers or they typically lead the increase. Would love to know your thoughts on the same.

Suresh Narayanan :

The numbers show it all. 26% has gone up to 27% in the quarter, when the price increases have happened. So, it is not to say that the MAGGI chhotu pack (small pack) has not been impacted, but there are other parts of the portfolio, where we have managed to maintain the prices reasonably even and those are the ones which are also tending to accelerate. The overall requirement in terms of NESCAFÉ small packs, MAGGI small packs, MAGGI MASALA-AE-MAGIC small packs, MUNCH , KITKAT all of this, as a bouquet is going up in semi urban and rural markets. So, what you are seeing is a compound result of that, which is in terms of growth, moving up from 25-26 to 27%.

Avi Mehta:

Lastly, just a book keeping on the 2600 crores capex that we had announced two years back. Could you help remind us of the timelines of the same when it is it broadly done and how much is remaining?

McDaniel, David :

Thank you, Suresh and thank you for the question. The 26 billion announcement was some time ago now and this number will be exceeded in the coming years. We see, that we know we spent 5 billion in 2022 and we see that the next two years will double and then grow further in 2024. So, the large amount of capex is coming in the next two years. It is very clear we need this now. Many of our plants are at very, very high levels of capacity utilization. It has been planned for a long time as Suresh says the investments are primarily foods and chocolates, but there are others as well. Next two years is a peak of the spending.

Avi Mehta : Alright, Sir. Thank you very much.

Ambereen Ali Shah: Thanks, Avi. The next question is from Anand.

Anand:

Thanks for taking the question. The first question on the LUP part, it is down 1%, but in your opening comments you have mentioned that the volume is up 3-4% so you were referring to VMG?

Suresh Narayanan : Yes, I was referring to the volume and mix growth.

Anand:

Got it. And the drag on LUP is largely on the chhotu pack (small pack) or this has been across the other parts of portfolio as well?

Suresh Narayanan:

It has

been primarily in that category. If you look at the growth in the last quarter, all categories other than noodles in tonnage terms, have been quite strong. Our

noodle has made up in value terms, has made up in terms of the single packs and the multi-packs, but has lost out in terms of the LUP pack.

Anand:

On competition terms, does the chhotu pack (small pack), have any competition reacted to the pricing or are they still check in to five rupees.

Suresh Narayanan:

Not really, I think most competition has stuck to five rupees in the hope that this would give an opportunity.

Anand Shah:

Temporarily, you would be losing share in your LUP on volume terms as you said, but medium-term, as you rightly said, will structurally be the right move.

Suresh Narayanan:

Yes, I think obviously you do not like it when something like this happens. But this is the reality when you move up the price points, looking at the inflation level, so it might have been a division that would have happened a couple of years down the road. But with the kind of impact that we saw between 3 and 18.5 is something that we could not have. When the small pack is an important part of our portfolio and we did not choose to cut grammage and to sort of make it virtually anorexic as far as the product is concerned. We would rather give a product that has got some meaning to the consumer.

Anand Shah: Can you share any salience in the share, with an overall MAGGI noodles?

Suresh Narayanan: MAGGI noodle overall value shares are up.

Anand Shah:

Can you share some insights on the salience of the chhotu pack (small pack) within overall noodle with the ₹5 pack.

Suresh Narayanan: It is about 15- 20% of the volumes.

Anand Shah:

One last observational texture of growth, as you have seen growth dip in mega cities and down class two to six, but it has held up pretty well in other parts and even in villages and in metros. Any different trends you are seeing in any of these towns?

Suresh Narayanan:

As far as I am concerned and as far as the business itself is concerned, the trends are fairly secular. We are seeing growth happening across town classes. And as I mentioned two to six, there was an impact because of specific circumstances in the last quarter. We will see and I am reasonably confident, and we will start seeing this also bounce back because there are other packs as well. I mean it is not that we are only operating with one LUP pack. There are LUP packs across categories and all of them are starting to fire back now and hopefully, that the trend that you have seen in the last couple of quarters with the energy and determination that we are having on RURBAN strategy, we will be able to help us come out of the situation sooner or later.

Anand Shah: Got it. Thank you.

Ambereen Ali Shah:

We would request everyone to restrict their question to one because we want to accommodate everyone. The next question is from Alok.

Alok:

Thank you for the opportunity. My first question is in continuation to the question on capex. So recently the global Nestlé CEO made a remark about investing about 50 billion in India. So just wanted to get your views on the same, is it incremental, would it be completed with the plant or how do we read into this statement?

Suresh Narayanan:

It is a very clear statement that was made. He talked about investing 5000 crores or 600 million Swiss francs in the coming three years. Between 1960 and 2021, we have spent 8000 crores of investment, and he has been very clear that the next three years will be spending 5000 crores of investment. This is excluding any mergers and acquisitions that we might choose to make.

Alok:

Correct! So just to follow through that, so when Daniel answered to the point that this year the capex has been about 5 billion and the next two years the capex would be

significantly double of that. But if I were to combine that with the global CEO statement, it seems that there is much more capital which will be given towards X of the capex. Is that understanding then correct, then maybe the capex over the next three years would be? Maybe in the ballpark of about 3000 crore and the rest 2000 crore could be for other investments. Can you please elaborate?

Suresh Narayanan :

Only the capex alone and as David mentioned about 5 billion in 2005 billion in 2022 but 2023-2024- 2025, that cycle itself will cover the 5000 crores that you are talking about, and the next two years is likely to be substantially higher than what we have spent in 2022.

David McDaniel:

Yeah, If I can be more specific. The plan right now looks like ₹13 billion in 2023 and ₹20 billion in 2024 and the balance thereafter. So, I said doubling in 2023. It is a little bit more than that and then it goes up further in 2024. So that is the shape of it.

Ambit Alok Shah :

OK, perfect. And just a small bit directionally, when you talk about your RURBAN strategy, and you know the number says it all, it is working quite well. Just wanted to pick your thoughts on specifically on the nutrition portfolio in the overall RURBAN strategy. You know here is my thought process that you know the price points are where they are. Is there a thought to improve the penetration to reduce the price point and the pack size architecture, which may momentarily reduce the tonnage, but it helps improve the penetration structurally and which can help you. So, can you share your thoughts on the same? Thank you.

Suresh Narayanan:

I think the short answer is yes. I mean, it is not going to be a single pack strategy. I think milks and nutrition both have got a salience in smaller towns and in rural markets. And I think, the business is working towards kind of affordable packs, let us say relatively affordable packs as far as the business is concerned, which will be rolled out during the course of the year, if not already rolled out.

Ambereen Ali Shah : Thank you, Alok.

Ambit Alok Shah : Great. Thank you very much for the clarifications.

Suresh Narayanan : Thank you.

Ambereen Ali Shah :

Thank you. And we will now take the last question. Rishi, please go ahead and unmute yourself.

Rishi Mody :

Hi, so Mr. Narayanan - Pre 2012, we have seen milk and nutrition grow well in double-digits. Post 2016, we have not seen double-digit growth in milk and nutrition. Now, given the structural change that is happening in terms of increase in women workforce participation, increase or deterioration in terms of lifestyle and an increased penetration of junk food in the diet. We should ideally be having more adoption of infant nutrition in the Indian market. So, could you explain why we have not seen that double-digit growth in the last 6-7 years and how do you see this going forward? Then I will have my follow up questions on this.

Suresh Narayanan :

No, I think it is incorrect to say that there has not been strong growth. The texture of the growth is different. Part of the growth in the past has also been largely price-led at lower in terms of volume. We have today got us a strategy that is a bit more balanced in terms of volume and price, in terms of the penetration. The business itself is much better placed in terms of penetration and in terms of getting in more consumers; provided they are not able to breastfeed their child but that is always the best and the most efficacious recommendation that we have as a Company. The second part is that you know nutrition itself is vastly more exciting than just the category in the branch you are talking about. Some of our fastest growth has been in toddler brands. CEREGROW has been our fastest growing brand - it is in the nutrition category. NANGROW, LACTOGROW, GERBER are all in the same range and there are greater plans to in fact expand that

portfolio quite dr

amatically. I mean, the CEREGROW. What was the first product I showed you in the millet stage? CEREGROW grain selection millets.

So, you can see that this is still a very attractive and a very robust area of Nestlé's engagement where which benefits from incidentally from the R&D expertise that we talked about and also from the fact that with an expanding opportunity base that we see, there will be expanding horizons as far as the category is concerned. The category not just defined as the traditional nutrition products that we talk about, but in a more extended manner into new and more emerging categories of nutrition that we see. So, I think that's where we are. So, it is not a question of growing faster or slow. It is a question of recalibrating and re-energizing the whole category and that is what our goal is.

Rishi Mody:

Right. So just to follow up on your strategy of prioritizing volume over pricing growth that had happened historically, could you give me what would be the volume growth for milk and nutrition for the past year versus what was the pricing growth?

Suresh Narayanan :

Well, if you look at last year's growth, which is about 9.5%, you will have a volume growth of 2.5% -3% and a pricing growth of about 6%.

Rishi Mody :

One last question, it is a book keeping one rather. So, in and my guess is that the volume growth, which is only 2.5% in this category, given that we are combining milk and nutrition, I am guessing our milk would be nutrition would be much higher-so if you could just give me what was the mix, how much proportion of the milk and nutrition would be milk in 2016 versus what it would be today?

Suresh Narayanan :

I am sorry, I do not give a segment split up. It is milks and nutrition. Then we will have questions on each brand, how much are you growing and not growing. My apologies to you. It will be milks and nutrition that we will talk about.

Rishi Mody: Alright. That is it from my end. Thank you.

Ambereen Ali Shah : Thanks Rishi. And the last question from Sheela.

Sheela Rath:

Hello, Mr. Narayanan. My first question was on the rural growth. Just wanted to understand how satisfied you are with the rural growth trend which we have reported over the last three years versus what we thought? Yes, there were headwinds you know, in terms of a slowdown, but at the same time we were expanding our distribution. So just wanted to get a sense on, your satisfaction level there and a follow up on that. Also, is what is the share of overall LUP now versus say where we were three years ago and where do you think it could go in the next three years?

Suresh Narayanan :

Good question, Sheela. Let me tell you on a lighter note, I am never satisfied with anything. You know the day the CEO of the Company starts getting satisfied with everything, then the period of complacency and stagnancy happens. But let me frame it in the context in which we are in; the context in which we are in and the overall trend of FMCGs and rural markets. I am quite enthused and encouraged by the growth that we have been able to record in rural markets. I mean last couple of quarters have been strong double-digit growth, and yes, okay, the base levels are lower but then that is always a root cause that on a comparable low base. If you can also still have declines if your brands do not have the salience rule to justify the pitch to the consumer. So, I think the growth itself has been fairly encouraging. We find it on a secular basis. It is despite the kind of issues that we have had in terms of, are the headwinds that the Company has faced, and they come out of it. So, I think that is a positive. If you look at our PPP is roughly about 1/3 of our portfolio or the rest of the two. Third is between mainstream and the way I see it is that going forward, the share of PPP will probably start to come down over a period of time. And that is how I would look at the ideal evolution of

the market. It will still be not an insignificant portion, but it will probably be not near the third that we talked about today.

Sheela Rath:

A final one. You know, you have shown how the share of NPD has gone up in as a percentage of revenues? There was also a point which was made that there are

30 new projects in the pipeline. Are these more pertaining to millets or is there more which we could see in the coming quarters or so?

Suresh Narayanan :

Good question you asked. Yes, these are projects in the pipeline apart from millets, there are projects across categories. So, it is not just exclusively to millets. Millets is one part of it. It just got focused because it is one of the important projects for the Company. But yes, as I dovetail it with the earlier answer that I gave, I do not think the Company is running dry in terms of ideas on what to launch. But the question is how do we calibrate it in the context of the overall A) cost pressures, B) portfolio pressures, and C) gastric capacity of the Company to be able to manage the core and also to manage some of the new product launches that we are doing. Based on all these three, you will see the rollouts happening in the coming months.

Sheela Rath: Also, I was checking on the details if possible because it is part of the slide?

Suresh Narayanan :

Well, details as I told you, it applies across categories. So, we have to make some nutrition which was my friend's earlier question on why we think that is not a particularly great category. We think it is a particularly great category. Speaking to the core strength of this Company, there are products there. There are products in the confectionery space, there are products in the MAGGI space and there are products in the coffee space as well. So, all these categories are being represented in terms of the 30 projects that are talking about. It is not 30 projects or millets and zero and everything else, it is not in terms of that.

Ambereen Ali Shah : Thank you, Sheela.

Sheela Rath: Understood, thank you very much.

Ambereen Ali Shah : So, Mr. Narayanan, any closing remark from you?

Suresh Narayanan :

Well, let me let me firstly take the opportunity to thank each one of you. I cannot offhand say how many people are there, but looks like there is a reasonably decent quorum. I thank you all for your patient listening of my presentation and of the answers that I have given in large part. And that David has provided too in the course of this presentation. I think just three messages that I would like to leave with you for your consideration.

1. The growth engine of Nestlé India is important. Nothing that we will do will compromise on the growth engine of the Company. What is the growth engine of the Company? Penetration-led volume growth. We might be delayed, but we will never be denied. And whatever pressures we have, this is an aspect that we will not allow ourselves to slip on because if you do not have growth, you do not have very much else to celebrate.

2. Innovations would be calibrated. Innovations would be launched depending on the capacity of the organization to be able to secure the foundations of the core, to be able to support the new launches and also of course to be able to take these forward as an organization.

3. The RURBAN journey of the Company is strong, continues to be strong, is invested in with dedicated resources and is an area of increased opportunity and growth for the Company.

4. The Company seeks a balanced channel strategy as far as its growth is concerned. We will not be having undue preference, privilege unless salience demands it between any one channel and the other channel. This is the strength of the organization. And this is something that we will deliver over a period of time.

Last point, the mindset of seeking efficiencies, value rationalisations wherever possible, and efficiency improvements wherever possible, is a mindset of this Com

pany. The SHARK

projects that you are seeing are not one-off projects. They have been in this Company since 2011. So, they have been here for a long time and every year they have delivered for the Company. We keep finding new opportunities where you think that opportunities are exhausted. So, this would be one of the key levers and strengths of the organization to combat once again a situation that we have in the market. We are more confident as a Company of being able to combat it, but nevertheless, we will be able to face the situation as it comes and as it happens.

So, to repeat again Zindagi ek safar hai suhana, yahan kal kya ho kisne jana.

Thank you all very much.

Ambereen Ali Shah : Thank you so much and thank you everyone for joining in.

ENDS

Call: Oct 2023

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PKR:SG: 75:23 31st October 2023

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BSE Scrip Code: 500790 NSE Symbol: NESTLEIND

Subject: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
("Listing Regulations"): Transcript of analysts and institutional investors meet on the unaudited
financial results and business performance for the period ended 30th September 2023

Dear Madam/ Sir,

Further to our letter PKR:SG: 72:23 and PKR:SG: 73:23 dated 25th October 2023 and 26th October 2023,
respectively, please find enclosed transcript of the analysts and institutional investors meet on the unaudited
financial results and business performance for the period ended 30th September 2023. The same is also being
uploaded on the website of the Company at <https://www.nestle.in/investors/analystsmeet> .

This is for your information and record.

Thanking you,

Yours truly,

NESTLÉ INDIA LIMITED

PRAMOD KUMAR RAI
COMPANY SECRETARY AND COMPLIANCE OFFICER

Encl.: as above

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"Nestlé India Limited"
October 25, 2023

Speakers: Mr. Suresh Narayanan, Chairman and Managing Director
Ms. Svetlana Boldina, Executive Director, Finance and Control and
Chief Financial Officer
Mr. Sanjay Khajuria, Head of Corporate Affairs and Sustainability
Mr. T.S. Venkateswaran, Head of Legal
Mr. Pramod Kumar Rai, Company Secretary and Compliance
Officer
Ms. Simar Kahlon, Market Safety Head and Environment
Sustainability Manager

Ms. Ambereen Ali Shah, Head of Media Relations.

Special Invitee: Mr. Jagdeep Marahar, Head of Nestlé R&D Centre India Private Limited (a wholly owned subsidiary of Societe des Produits, Nestlé SA)

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Ambereen Ali Shah: Good afternoon everyone. A warm welcome to Nestlé India's Analysts and Institutional Investors Meet 2023, this time in a hybrid format. We are excited to host in our Head Office after a gap of over three years and happy to see many of you join in virtually.

I am Ambereen Ali Shah, Head Media Relations.

Today I have with me senior colleagues from Nestlé India's Management team,

Mr. Suresh Narayanan, Chairman and Managing Director

Ms. Svetlana Boldina, Executive Director, Finance and Control and Chief Financial Officer

Mr. Sanjay Khajuria, Head Corporate Affairs and Sustainability

Mr. T.S. Venkateswaran, Head Legal

Mr. Pramod Rai, Company Secretary and Compliance Officer.

We also have a special invitee, Mr. Jagdeep Marahar, Head of Nestlé R&D Centre India Private Limited (a wholly owned subsidiary of Societe des Produits, Nestlé SA)

I would now like to invite my colleague, Ms. Simar Kahlon, Market Safety Head and Environment Sustainability Manager, to deliver the safety briefing.

Simar Kahlon: Thank you, Ambereen. Good afternoon to all the guests. I'm here to give you the safety briefing regarding two emergency scenarios that we envisage for this building. The first one is that of fire and the second one is that of an earthquake.

Our head office building is equipped with the state-of-the-art detection and mitigating measures for the fire. Therefore, in case any fire is detected on any floor, you will hear a public announcement to kindly evacuate the building.

Please use the two emergency exits. One is at the back of the room that you can see and one is here in the front. Please take the same route that you took

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to come inside the building, which is the main entrance and assemble at the front lawns and you will be further guided by a crisis manager at the moment. The second emergency is that of an earthquake. In case we feel any tremors, do not evacuate immediately. Please wait for the tremors to stop, and when you hear the public announcement to evacuate the building, then kindly take the same route and assemble on the front lawns. So there's no fire drill plan for today and we hope there is no untoward happening in the building today. I wish you a very safe meeting. Thank you.

Ambereen Ali Shah: Thank you, Simar. Before we begin, I will read out our disclaimer. This presentation may contain statements that reflect the management's current views and estimates that could be construed as forward-looking. You are cautioned not to place undue reliance on these forward-looking statements. The future involves uncertainties and risks that could cause actual results to differ materially from the current views being expressed.

Volume and mix and organic growth are on the basis of Nestlé's internal reporting standard. Figures are regrouped and reclassified to make them compatible. Calculations are based on non-rounded figures. Analytical data are best estimates to facilitate understanding of business and not meant to reconcile reported figures. I would like request the team to show the disclaimer please for a minute.

I will now request Mr. Narayanan to please take over and make his presentation themed "Growing together consistently today and tomorrow".

Suresh Narayanan: Good afternoon, ladies and gentlemen. And as always, it's a privilege for me to talk to all of you. You are part of my extended family, and since you have seen me for some years now, you kind of know the tone of music and you can kind of predict the scores. But I think this time around, I thought I'll do it a little bit differently. Typically, you're all very seasoned analysts and investors and you attend two kinds of investor meetings.
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The first investor meeting is when you're bazookaed with I

oads of information,
loads of data, very difficult charts that you can barely read and you have to decipher it only after the meeting is over to see what exactly has been said. So, that is called management by data. The other set is where there are a lot of homilies and truths and promises, but devoid of too much of on the ground content in terms of what really is happening.

I do realize your predicament because you have to make your judgments, your calls on not just the Company and its performance, but also in the management and ethos and how the organization is going to evolve over a period of time. And therefore, this time around, what I thought I would really title my presentation, and I hope I live up to this as we go forward, is to talk about growing together consistently today and tomorrow.

So it's not really about what we have done, but what is it that we do. So why do we do what we do and what makes us who we are? I think those for me are more compelling questions that you need to ask as investors, because data only shows you one part of it. It shows you only the facade that you would like to see of what performance is. But what is under the bonnet and how the engine operates is something that can be quite different. And that's really what we would like to focus on.

So therefore, my heartiest welcome to all 30 of you here. I think this is the post-COVID, the first meeting that we have had in the dual form of having it both personal and also online. And I believe there are about 113, 114 people who already joined online. A hearty welcome to each one of them as well from different parts of India and indeed from different parts of the world as well.

So today for the next hour or so, I will take you through this journey. This journey is full of what we look at as opportunities, what is it that we've achieved as an organization, as a team. And I am like the sutradhar, like the person who tells you the story about what Nestlé is. And there are many, many, many people who are behind it. And that's what makes the story that much more interesting.

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At the end of it all, I do hope to leave you with a certain set of messages or mantras as it were to define how is it that we would like to continue our journey and a journey in these times where we have at least two full-blown wars if not three full-blown wars across the world. The Russia-Ukraine one is now become a little bit old hat. It has been around for about two years. And the latest conflagration in the Middle East and its manifestations of what can happen to geopolitics is anybody's guess.

And I do not think it is my role as the Chairman of this Company to even prognosticate on that. But all of this is clearly going to have its own challenges as far as the organization and society and India is concerned, which is something that we have to factor in as we look at the further course of our business. So, what is it that I will be talking about in brief? Firstly, I will take you on a five-year journey.

You have been seeing me from 2015 when we had the burning deck of MAGGI and many of you I remember attended the analyst meet with some amount of trepidation saying what will this Company be able to do with itself? Can it really

come out of the quagmire in which it finds itself and can it put itself on the path of growth, profitability, performance and contribution over a period of time? So I'm really chasing it back from 2018, which is when we were kind of getting back on our feet because 2016 was when we, 2015 end is when we came back with MAGGI and then 2016 was a little bit of a buildup to it. And there was also the base effect, so it wasn't really the most appropriate time to make a prognostication for the future.

2017 is when the engine started and 2018 is when a lot of the initiatives that we will be talking of today really got kicked off. So looking

back what we promised

and what we delivered, emerging, exciting, aspiring India, our business is all about consumer marketing. We are a brand marketing Company with its core of brands that have been around for a long time, establishing certain propositions that have stood the test of time.

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That's who we are. And we operate in the consumer context, which is rapidly changing. And I think it's important for us to understand the context of the change, the rise of the new consumer cohort. And the third element is really our heartbeat five P's. I've always believed that an organization is more than the numbers that it manifests.

For us, it is purpose, people, planet, partnerships, and performance. All of it comes together. That's what makes Nestlé. And that's how I would hope and pray that we continue to be as an organization as a healthy amalgam of these five elements that goes to make corporate performance. And last but not the least, the key takeaways. What is it that I would have said, you would be definitely having many more takeaways than what I have said, but at least what I've articulated would be encompassed in terms of the key takeaways that I will be talking to you about.

So what did we say in 2018? Firstly, we were coming out of a situation where we were bruised, we were hurt as an organization. I think it was an existential crisis that we faced as a Company. So we came out of it with a clear indication, with a clear path, that we need to be a much larger footprint than who we are in terms of the brand that we have and in terms of the categories and promise that we have got.

So innovation at the core, improvise but act. A perfection is not the journey we sought, improvisation is the journey that we sought. Because it is very easy to go on the perfect path and launch something after 20 years when it is too late. It is another thing to improvise and to be able to use the benefit of science, technology and data to be able to improvise as we go along and make whatever will happen.

And today my colleague Jagdeep Marahar will tell you the other side of what we are as a Company, the R&D side and the global footprint and how we operate in the Indian context. Managed for market shares, our growth should be greater than category growth. We are blessed to have poll positions in many categories, but these are all highly competitive categories.

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I don't think anybody, ladies and gentlemen, has given Nestlé a free lunch. We have had to earn and we have had to sweat and we have had to bury our heads in order to get whatever points of market share that we have got in order to make ourselves worthy of the consumer choice.

Third, key efficiency enhancement through Nestlé Business Excellence, that was the start of the business excellence journey as we came out of this bouldering deck to see how we were able to resurrect the organization in terms of efficiencies and in terms of costs to be able to make a better contribution as

we went along. Speed, sharpness, and sustainability. Speed became a mantra for us.

Speed over perfection. Being fast, focused and flexible is something that I've been talking about for eight years now, nine years going. The reason is because the world is not waiting for you to change. It's changing dynamically. And organizations and leaderships that are caught up in the time warp of the past or assuming that things are going to be their way, I think are making a fatal mistake. And that means that you get some things right and some things wrong.

And I'm open enough to say that at Nestlé, we got some things right and some things not so right, but that's part of the journey. If you're not tried at all, I don't think you have any reason to count yourself as being successful. So speed, sharpness and sustainability. A growth dime

nsion, we came out of a bruising

crisis where we said to ourselves, we will thrive and not survive.

It's a mindset issue. The mindset is important in an organization of 8,000-9,000 people. If everybody is looking at survival as an instinct, being able to make my next week's sale, if that is going to be the only survival instinct that you have, you cannot think three years on, five years on. So the task of leadership is to get the mindset into a thriving mode and to look at opportunities rather than survival mode.

And that's something that we've been working on. I would not say it is to perfection. There are still parts of the journey that we are still traversing but I think by and large we are where we are. The recognition that India is diverse

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and that there is no spray and pray model as we have applied in the past which is fundamentally to take a mix and to throw it at some part of the country open pray that it sticks there. And thereby we'll be able to make a stronger proposition as we move forward is a thing of the past.

So today, using the power of digital analytics and investment in infrastructure, we have had clusters, micro-targeting and resourcing for action. This was a dream then, a thought then. And that thought has later on got action. Action engagements with the environment and issues thereof. Environment not only means the environment as we understand it, climate and the issues around it and sustainability that is around it, but also environment in being able to be proactive in terms of what is changing around us.

And I think that also involves a degree of proactivity and action that is deliberate and that is conscious and not something that is unconscious. And finally, something that I am very, very passionate about is people, passion, progress as a way of life. I fundamentally believe that the history of companies will be written on the achievements of the talent that they have got.

Companies can come with a great amount of investments, great factories, huge offices and tremendous infrastructural capabilities and data capabilities. But they do not, if they do not have 500 people or 100 people to make that difference, it's going to go kaput. Any industry and the consumer goods industry is especially prone to it. There are companies which have moved on the digital path and forgotten that there is a road that has to be walked called the bazaar. There is a relationship that has to be built with a retailer. There is somebody called a distributor who has been around for donkey's years. And there is also a retailer who decides when to buy and how to buy apart from the consumer who is for him the ultimate person that he is catering to. That relationship between what would be digital data analytics and feet on the ground, dust and grime is the difference that people make to the organization.

And that's something that I'll also be briefly talking to you about. Let me take the first piece, emerging, exciting, aspiring India is the rise of the new consumer

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cohort. Those of us who are sitting in the world believing that consumers are by and large homogenous, by and large consistent in behavior, by and large conscious of the decisions that they take, and by and large coherent in terms of the path that they take, I think are making a fatal mistake. Because the consumer journey has undergone a tremendous change.

This change is spawning not only new consumption platforms and new startups that are in the space of ensuring that they are able to make the link with the consumer. At the same time, some of the older companies have worked to rethink their own strategies as to how to approach this consumer and how to make things happen. And I think that's really the excitement in this journey. There is a data that all of you are aware of, the fifth

largest global economy

getting to be the fourth, hopefully by 2030, when we might overtake Japan.

That's the hope that we have got. 1.4 billion consumers which is the better part of the world put together. So, I do not think there is ever going to be a consumption problem. The problem in India is going to be how do you trigger that consumption. And in fact, there are enough articles that have been written that the problem is not on consumption, the problem is really going to be on supply. That seems to be the theory that is also doing the rounds. Whatever it is, I think it's a fairly significant opportunity.

I would rather be in a country which has got an opportunity of a billion people than sit in a country which has got opportunity of 400,000 people. And that's also declining as the years go by, even though they are extremely wealthy and they have a lot of money in their pockets and willingness in their hearts.

The last one, the addressable population. And this is the addressable population as far as Nestlé is concerned. So this is not the addressable population if you were talking to other companies, maybe the size of the price is different. I want to define to you that the 487 million is basically what we call the striving and the middle class of the country.

This 487 million is likely to go to about 700 odd million in the next couple of years, probably by 2030 there is enough estimate to say that this will become Nestlé India Limited

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the consuming class. This consuming class is our focus. It is not to say that we have no interest in the rest of the population. It is just to say that the primary bread and butter of this Company would come from the 487 million people who habit this particular class.

It is therefore, the rising middle class and consumption driven growth. If you look at India itself, whatever statistics that has been published that is of some reliability shows that the total food and beverage market, all categories put together, loose and package is about \$800 billion, \$790 billion to \$800 billion. If you look at the packaged food and beverage, it is about a \$100 billion, it is about one eighth. If you look at the branded packaged F&B, it is about \$40 billion. So, you can see that the play between \$40 billion and \$800 billion is still allowing us tremendous room for innovation, for growth, for channels, for aspirations, for categories, for brands.

That is what makes the food market that much more exciting. Penetration levels are still and I will come to that relatively modest, not to say they are low, but they are modest and I think there is still an opportunity. So, therefore, whether we call it the bird of gold which was a McKinsey report or whether we call it the rise of India's new middle class or whether we call it creating the \$6 trillion opportunity, all of this is pointing to the fact that there is a larger number that is there that still is leaving a lot of room, headroom for growth.

And that is really the opportunity that consumers and that consumers are looking for and that players like us, players like Nestlé need to play up to over a period of time. So, while I know that everyone gets concerned about consumptions and demands and volume growths in the last quarter, in the last two quarters, last three quarters, ladies and gentlemen, here's the proposition.

The proposition is the fact that these data points will be blips in the curve. If you really were to look at the opportunity that companies and organizations can

leverage into the future, can leverage, whether they do it or not, time will tell, but at least they can leverage into the future. And that is the mindset that we have at Nestlé.

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I have never once, and having been the business head here for a long time, I've never once told my people, please correlate GDP growth with your g

rowth. It's

meaningless. Whether the GDP grows at 6% or 60%, my penetration levels remain at 40% to 50% to maybe 80% on an annual basis. I still have enough headroom and I play with the math 800 billion total market, 41 billion packaged branded package F&B, 1:20 is the play that we've got.

So therefore, that is the kind of approach that you would like to take as far as our own market is concerned. Rise of new India, I think this is something that is really helping. It's helping in more ways than one. The first of course is the digital India, which is 1.2 billion mobile users. I know this data is fairly common, so therefore kindly excuse my sharing this data with you, but it is to prove a certain, build a certain context of where we see the consumption evolving.

20 GB per capita data consumption per month. It is huge. I know most of it is videos, but nevertheless, it is still a significant consumption of data that we've got. Infrastructure will rise 29 kilometers of road built per day for the last eight, 10 years. This has tangible impact on the Rurbanisation plan of the Company. Tangible impact. I'm able to make distribution happen. I am able to make availability happen, I am able to reduce the cost of distribution, I am able to make access possible, I am able to make sustainability possible. So, this is not just nice to know stuff facts of India, this is leading to economic growth and development as I see it on the ground.

100% rural electrification, I think we all know the benefit of getting some amount of electricity and light into your lives. 470 million Gen Z population, we have the largest Gen Z population in the world. This Gen Z population is a very different kettle of fish as compared to all of us. I'm very happy that this office here that you have come to is 80% millennials and Gen Z. The office is made in a particular way, right? It is not my gen. It is the next, next gen that's here.

Their aspirations and their ways of thinking on brands is quite different. And that's really what we look at as a Company. UPI transactions, 10 billion. This

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data is also a little bit dated. It's probably closer to 12 billion now and INR1.5 trillion of transactions.

Interesting to note that when I traveled to a village close to Patna and I asked the retailer, how much of your payment is done through cash? He says, 20%. 80% is done through either a PhonePe or one of the other Paytm or one of the other apps. And he says, sir, the biggest advantage is I don't have to handle cash anymore.

I'm scared because here people will come and rob me of my cash if I'm not careful. That is the transformation that is taking place. So issues of pricing, coinage, INR5.95 paisa, INR4.75 paisa getting out gradually. Yes, still cash is king and cash is still important, but these issues are becoming a little bit more things of the past.

Entrepreneurial rise I think this is fueling also a lot of positive energy. I look at it positively, I think there are statements being made that look there is enough of local competition and therefore, we have to fear local competition, I do not. Local competition helps all of us to redefine and recalibrate ourselves even better than what we are.

And I think in their development is the development of the category. Imagine if there are 200 more of these unicorns that enter the food space. The entire food

ecosystem can go dramatically up from that 40 odd billion, right, to 70, 80, 100 billion. That's good for the country, it's good for the consumer, it's good for all of us, because all of us will wake up and do things that we have not done before. Competition is the biggest elixir to make competitiveness happen. If you're all sitting in that, in a space where nobody comes and touches us, we will do exactly what we feel like. And that's what was the situation of the consumer 30, 40 years ago. So, that is I

think becoming different and of course, annual FDI which is also fairly significant.

The iron truth about India, I think this is the other one which is interesting. Urban 35% population, rural 65% population we all know it, we all know it pretty well.

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What is more interesting is the premiumization of India. Today in the nutrition category for example, 30% is the nutrition, premium nutrition contribution and yet affordable snacks below INR10 is 72% of the market.

Premium is important, price point is also important. A Company that is looking at a pure premium strategy will have a niche play, but a larger Company would definitely look at all these price points. Penetration monthly category penetration I made the point earlier to you, anywhere between 10% to 50% monthly, annual penetration 80%.

Penetration defined as the number of times that a consumer has bought a brand during the last 1 year. Buys it once, gets counted in 80. Buys it once a month, it gets counted in the 10 to 50. That is the difference. Therefore, the strategy that we have had as a Company which has been initiated and I know you are all bored of listening to this is penetration led volume growth.

I keep telling my people that we sell cases, we sell eaches, we sell packs, we do not sell rupees, we get rupees. So it is important that that perspective be taken care of because again on a per capita package food consumption, we are much smaller than China which is about 4.2x, much smaller than Philippines which is 3.3x.

There is a huge headroom here, I am not saying this as a promise, I am saying this as something that we need to remember in this sector. It is not going to be easy, it is not going to be all achieved in 1 year or 2 years, but the light at the end of the tunnel in a category that is large, in a category that is under represented, in a category that is decent is far better than in a category that is plotted, clogged and completely bereft of any growth opportunities.

And that's really where we are as far as food and beverage is concerned.

Connected, I think we talked about mobile usership and internet users. I think we see it every day. The less I belabor on this, the better. And yet we have the traditional media as well, 892 million people who are television viewers. That's an important dimension of what we are as a country.

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Lifestyle trends. So I talked about the economy, I talked about the infrastructure, I talked about consumption, urban, rural, premiumization. Here I am zeroing in on the lifestyle trends of the Gen Zs and millennials. Why is this important?

Because this is the consumption of the future. Any Company that tells you that I am looking at consumers amorously and I am really not bothered, I know what age, what gender, what background they are, I'm making a fatal mistake. Because this is where the market is going with 470 million people who hopefully will have pockets, money in their pockets one day soon enough. Many of them spend, even if they don't have money in their pockets right now, right? They happen to be our kids, right? Still will be on these behaviors that we are talking about.

First, natural, fresh, sustainable, 90 million out of that 400 odd million is health

conscious individuals and that is the finding of Redseer Consulting, Kantar. So, these are all data that we have put together. Realization, who says people watch television extensively? Today it's all about Facebook Reels. 22% more engagement, Instagram Reels gets more engagement than other Instagram posts.

So communication has to be pretty frequent and catchy. It has to catch the eye. That puts the enormous pressure on the creative consumer insight capabilities and data capabilities of companies. But I should know what I'm talking about. And for that, I have to measure, for which I have

to go to real-time data, capability of the organization to absorb real-time data, to be able to take those decisions.

It's not just an algorithm that throws up something to you. Somebody has to sit there and figure it out. That's why the talent piece is so very important because you have the right people, you can make that happen. Experiences, identity and personalization, 70% are seeking personalized services and products.

It's an opportunity and a challenge. How can companies get, and for example, the D2C channel for us is a channel where experiences and personalization will be something that will be pursuing to. Because that is where I can give it. Today
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at scale, I am not able to do it. I can't have a MAGGI just made for you. I still have not reached that stage.

But hopefully I will be able to carry some of my brands on D2C to be able to customize it to consumers and see how that works. How to customize services? I want to have a nutrition feedback. I want to have some counseling done. I go to the D2C site, I fix up with a doctor of my choice or whoever is available on the panel or a personalized advice to me on lifestyle, nutrition and anything else that I want to ask. That's the first beginning.

The Company of the future is going to be a Company that is going to be not just brand marketing, but brand marketing with a very strong service arm. Today we have brands first digital following companies. Very soon it's going to be digital first brands following companies. The digital first will become a more important imperative for brand choice than the brand itself. That's how this industry is evolving as we look forward.

Experimentation I think this is the reason we as on the earth or why we as a Company exist because we are capable of giving that experimentation mode to consumers over a period of time. 43% of consumers in this segment are saying that they are open to experiment with new categories and that I think is healthy. Because sometimes you got consumers who are stuck on particular values and particular segments and particular products.

It also puts a lot of pressure on brands like us. Because we have brands as old as the hills. We stand for something. We have to constantly keep, you know, we have to keep changing as was said once before by a great business leader, changing the wheels of the car while in motion. That's really what we have to do in consumer marketing terms.

So it's an exciting space, but nevertheless a fairly daunting space. Trust is important. Nothing has become more important post COVID than trust.

Consumers trusted brands during COVID, said these are the brands that we trust and they tend to remain with it over a period of time. Even this generation,
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the Gen Zs, which are considered to be a flibbertigibbet, they move from one to the other, not really so.

They stick to what they believe represents them. Now it could be product related, could be service related, platform related, environment related, whatever be the

reason for it, but they still stick to it. And that element of trust is very, very important. Indulgence, mindful indulgence is a fairly high component. 68% taste is the most important driver.

That's where a Company like Nestlé, that is where an R&D center like what we have in Manesar comes in. If I give you a distasteful product and say this is fantastic nutrition, you would not even buy it. If you taste it, you say yuck, this is not for me. To provide taste and to provide nutrition, that is a trick. And therefore, that makes it for this generation an important imperative and that's really what we place into the strengths that we have as a Company.

Snacking and variety, I think it's on the earlier chart that we talked about in terms of mindful indulgence, seven in ten snack more than pre-COVID. Again,

n, this

whole snacking and healthy snacking territory is becoming more and more important. Health, wellness and hygiene. 78% consider themselves as more conscious eaters now. So combination of better for you, good nutrition, good taste, experimentation, a bit of indulgence and trust.

Along with value seeking are behaviors that are going to go and cement the consumer choices that are going to be made in the future. Why do I talk about this? Because while this might in some extent reflect on the performance of the Company in the recent past, it is more a precursor of what is to follow.

But these are the consumer trends. I don't talk in the air of stuff that I believe. This is what the consumer believes. And whatever the consumer believes is what we should be believing as organizations. So our purpose, this is Henri Nestlé, the only picture that has not changed, right. Henri Nestlé still remains the same and he put out the purpose of the organization is unlocking the power of food to enhance the quality of life for everyone today and for generations to come.

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He began his life as you know as a serial entrepreneur, tried various businesses and finally decided with the goodness of heart to save the lives of children in what was then poor Switzerland. That gave rise to the Company with his first product which still exists in the market called CERELAC, but also gave the DNA of the Company which is food quality and safety that's what we are about.

Because his statement was, if the closest relationship to humankind between a mother and child is nurtured by Nestlé, then we have to be the standards of quality and safety. And that's really has been the single-minded focus of the Company ever since. So our heartbeat, as I said, the five P's purpose, people, planet, partnerships and performance, I will take you very quickly to this in the same order.

What is our road map? What have we said or what are we doing? I want to put it as simply as possible. I can show you a pretty complicated chart with all kinds of arrows flying across in different directions. That is not my style. I would rather explain to you very simply that the two calibrations of our strategy is focus and growth.

Focus on purpose, planet, partnerships, people and performance. That is how we really look at each element of our business model. And in terms of growth penetration led growth. So in all the turmoil that we are going through and that we will go through penetration led growth will not fall off even for a day, I want to assure you that.

This Company is not just seeking a unidimensional path we all know that volumes lead to organic growth not the other way around. So penetration led value volume growth, strong cost and efficiency management because in the context in which we are I think this is going to play an important role.

Brand salience, investing behind the equity of brands, not diluting it, not playing with it, not distracting with it, not trying new experiments with it that is going to take us from the essence of the brand. These are important disciplines. I mean, unfortunately, sometimes we forget it, but these are important disciplines.

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Competitive advantage through R&D and that is where my friend Jagdeep will talk about the global context and the local context. Investing and innovating. Investing consistently in infrastructure, in supply chain, in logistics, in various parts of the chain in order to make us into a more competitive Company. That is the whole core.

Whatever we focus on are these wheels, these five wheels that we really focus on and it's called our growth model. This model incidentally is a model that is clear to even the frontline sales force of the Company. I've always believed that a model that is only understood by 10 people in the office or by 20 analyst

s is a waste of time.

It needs to be understood by every salesman in this Company saying penetration led volume growth is what this Company is seeking. I have to sell more, I have to sell wider, I have to sell deep. Remember these three principles and the rest of it follows. So, it is ladies and gentlemen as simple as that, but we choose to make it even more complicated and make everything else, therefore a little bit intractable for us.

What is our story? Let me very quickly go through this. It's, I think it's a story that you're all aware of. It's a legacy of 110 years of safe quality nutrition. We are a made in India story, a make in India story. 98% of what we sell in India is made in India. So we are embedded in the society of this country.

Happen to have Swiss parentage, but everything else about us is very much Indian in terms of who we are. India is one of the fastest growing markets for Nestlé. We've had the pride of position for some time now, 8,000 plus employees, 194,000 plus shareholders. Now with the share split that has been announced, that number will probably go up, right?

Over a period of time. 10th factory to be set up in Odisha. And this factory is going to be special. There are six factories across the world that have been identified as factories of the future by the Company. These are factories, you know, some in Latin America and America, some in Europe and some in Asia, Oceania and Africa, which will have all the infrastructure capabilities, digital Nestlé India Limited

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technologies, environmental management procedures, processes, etc., which will be showcasing the best that food processing in the world has to offer. Nestlé is the world's biggest food Company and therefore, this is the promise that we have taken on and what has been the kind of expectation of India to put up the factory of the future as far as Odisha is concerned. So, there is at the moment about INR 800-900 crores of investment is going behind it, much more will follow and I think it will be rigid into being what we want to be which is the factory of the future.

A 10,000 plus distributors and redistributors, 5.2 million plus outlets, 108% return on equity. I like to put this number down there because there are not too many companies that are able to meet that number. And what is a matter of great pride for me is, it's one thing to be a profitable growing Company. What is important to the employees of this Company is the impact that we can have. I think that is important.

That is what sometimes corporate India does not measure. You look at all the matrices of financial performance, which is important, but that I make an impact on society is equally important if not more. And there again about 10 million plus as far as the societal initiatives of the Company are concerned.

What is our brand footprint? Just a few examples. 12 billion cups of NESCAFÉ is what gets consumed in a year. 5 billion serves of noodles. 3.3 billion fingers of KITKAT . 2.2 billion fingers of MUNCH , 29 million tins of MILKMAID and 700 One Nestlé kiosks dotted across the country which attract more than 1.2 crores people each year to visit it.

In all 12 billion packs reaching homes, serving families, touching lives and yes

in the 300 million households that dot this country, Nestlé covers almost 200 million households as of now. Our urban presence in households is definitely much higher, rural penetrations also started to pick up. So we are at about 200 million households today out of 300 million households. But the journey is upward in terms of the progress that we are making. Bringing Nestlé India Limited
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purpose to life through powerful brands, I think world-class safety and quality is guaranteed. Why do I emphasize this? Because this will define for you any short-term trade-offs that the Company might or might not make. And

the one

thing that this Company will not make is a compromise on quality and safety. There's no way.

You buy a Nestlé brand because it's a Nestlé and you trust that brand. Our trust scores are amongst the highest of any food brand in this country. And that's because of the quality and safety. Even during the worst times that we had, the consumer feedback on the brand was this Company cannot be what it is said to be.

There must be something that's happening out there. And I think that's something that we stick to. Innovation, remember I talked about in the 2018 first slide on innovation being a driver of growth, 125 new products launched in the last seven years, contributes to date about 6% of sales. This is again going in the upward direction. Some of them are worth, some of them are not necessarily worth.

And there are at least 10 new important projects which are in the pipeline, which is something that will be out between this year and next year to really cement the growth that we are enjoying. Bringing purpose to life by recalibrating innovation. So, one thing is to have innovations, the other thing is to look at the science of nutrition and that is where we have domain knowledge and expertise. We spend close to \$2 billion on R&D investment globally each year. And that is the purpose. The purpose is to really enhance the nutritional profile of the products that we launch. So we have into three categories what is called good for you, good for farmers and good for environment.

Good for you is high in fiber, low in calories, high on nutrients. There are some examples here. And one of the proud examples, the latest one is of course a+ Masala Millets that really has been done in collaboration with one of the leading government institutions, the Indian Institute of Millet Research. We have an ongoing collaboration that Jagdeep will talk about.

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But really that this is a foray that has been done and I think today's newspapers if you see is got a big prominent ad on millets right, that we are looking at the next phase of grain technologies into coming into the Nestlé products. Good for farmers, I think this is something that benefits everyone, benefits society. So, climate resistant crops plus also using less water and more resistant to pests and finally requiring less water and less carbon footprint.

So, these are some of the millet products that have been launched. There will be more to come, but the reason why I put this up is that because these are stuff that is already there in the market that we are proud of. There is more to follow. Some of those 10 projects that we are talking about is in the same space of better nutrition.

This is really the societal impact. Why do I talk about this at this stage? Because ultimately, our goal as a Company is to do, is to be a force for good. And being a force for good is not just lining the wallets of investors, but also to contribute to society at a larger scale. This is what our programs do. We touch about 10 million lives across 25 states and union territories on primarily five areas,

nutrition awareness, water sanitation and hygiene, education, environment and rural development. I am not going into details because this is an area that we have covered in the past. So therefore, I would not like to take the time again to go through this. If it is of interest, maybe in a subsequent conversation, we can always talk about it.

People, the soul of our business. I think this is something that is central to who we are as a Company. And here again, I think we look at diversity. Yes, we have good people. Yes, we have good talent. Yes, we have committed talent. But what are we looking at for the future?

Diversity is something that is important to us. I'm very proud of the fact that in the recent Economic Times article, the only large listed Company that had the maximum number

of on diversity of directors was Nestlé. We have 50% of our board members who are women who sit on the board of Nestlé including Svetlana who is my finance director and CFO. And I think it's made a huge Nestlé India Limited

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difference to the way the Company is governed. It is something that is very enriching as far as the organization itself is concerned.

Multi-generational workforce, and over 25% of our workforce today, of our employees today are women. And the direction is again upwards. Women are a key part of management, a key resource of the Company. It's something that we have looked at very strongly in terms of making our policies more female friendly, more mother friendly, more employee friendly, in order to make ourselves a more competitive and a more coherent organization.

Today, the picture that you see on your left, be a force for good, as is our journey into the LGBTQ space. We have started to now look at how we can employ LGBTQs in the organization, which part of the organization can we have them. And the starting point, of course, was to sponsor a large artwork done by one of the foundations on art that is run by LGBTQs. It's only a start of the journey, but I believe that we are committed to it.

Sanand, which is 95% of the workforce are less than 40 years of age. This is our ninth factory. More than 60% of the workforce are women. Here again, we are doing something that's different. A dozen people with disabilities work on the production line and they're all hearing impaired. The beauty is that the rest of the workers are now learning sign language to be able to communicate with the hearing impaired people. Why do I do this and why do I share it with you? A sensitive, empathetic, compassionate, coherent organization delivers consistently better results than a fiercely competitive but a less compassionate organization.

It's probably a theory that I've got and you may choose to disagree with it, but that is a theory that at least has worked as far as my own career is concerned. And I believe that that is an important part. How do you foster and engender this into the Company and make this into a more enriched place can lead to also better performances as we come to.

So, let me share with you a video on Sanand.

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[Video Presentation]

Okay. So, this is a glimpse of Sanand. I think this is now getting into Phase 2 and Phase 3 now being expanded considerably and will become in the next couple of years our largest factory probably in the country and majority women factory. So, that is what we are very happy about.

A committed to a sustainable future as far as the planet is concerned, why are we talking about this? Because for us the sustainability journey is an irrevocable part of our journey. There are companies that look at it from the point of view of

an ESG kind of lens. For us, this has been an intrinsic part of who we are. I think because of our parentage in Switzerland, ecology, environment and protecting has been something that has been part of our DNA. How well we have done it over the period of years is still something that is evolving, but four elements to it climate, packaging, water and responsible sourcing.

What have we done here? Our investments have gone up 6 times between 2020 to 2023 in terms of sustainability. We have 60 people now who are engaged either full-time or part-time on sustainability related projects. There is a sustainability governance council which I head as the Chairman of the Company and there are different projects and different business leaders who co-opt their time and the times of the people behind these projects.

These are all monitored, these are all resourced, and these are all measured, so that this doesn't just become something that I have to put in the BRSR report, but something that is an intrinsic part of who we are

as a Company. And we

work here with 10 Direct and Indirect Partners, because fundamentally as a Company, as I said, we are brand marketers. We are not sustainability experts. So, this is a journey that we are also still learning and making part of our way of working.

Our ambitious ambition is to make sustainable choices. So, we will be coal free manufacturing locations by mid-2024, not a single kilogram of coal will be used anywhere. It will be fossil fuel free also hopefully by mid-2025 not earlier and therefore, move completely to renewable sources. And one of the things that I

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am very proud about and being in this part of the country is a stubble briquettes are being used in the Moga factory to build the biomass facility to reduce the stubble burning.

Almost 4% of the stubble burning in the district and about 17% in the area is going to happen because of this facility, biomass facility. Hopefully, we will be coming up by the first quarter of next year and it will be to whatever extent giving us one extra breath of oxygen I hope and maybe one year more of life as far as the people are concerned.

Plastic, people will say, yeah, you guys talk about sustainability, what about plastic? Plastic is definitely an important part of who we are. About 23,300 tons in 2022 were collected by us as part of EPR. All our brands are plastic neutral for the past three years. This is measurable established. So, there is no green washing, white washing, pink washing here. This is all measured and established as to how we have recycled this plastic.

The methods are not always the very best, there are still a lot of contemporary work that we are doing. And therefore, we have chosen to and you will hear of this in the coming future to invest behind recycling capability people, we are going to put up these facilities to recycle some of our stuff, so that we have a certain iron in the fire as far as these capabilities are concerned.

Our brand-led initiatives to address plastic waste, I think all of the brands are involved in it, MAGGI is involved in it. You see here a picture of GERBER, which is really to ensure that young kids are equally sensitized to plastic as they grow up. So, this is something that is an important part of our journey.

Sustainable agriculture as you know that we have got a dairy fitment thanks to our milk and nutrition business, 100,000 dairy farmers are engaged with us, 340 million kilograms of milk collected last year, multiple interventions to reduce the GHGE in dairy value chain. And I will just show you one example of this in the next video.

[Video Presentation]

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Why do I show you this? I show you this because this is work on the ground. This is not an intention on sustainability and greenhouse gases. This is work that is being done. It is being done by my team, a young group of people. It takes a huge effort village-by-village, farm-by-farm, farmer-by-farmer to make this conversion happen because in greenhouse gases, dairy is one of the significant parts of it and unless we start making the change, this has to be a national movement, but at least we are saying as a player in this industry, let us invest behind it.

So, we are in a sense having a kind of a pioneering role in this, because this will be an essential element of mitigating some of the carbon emissions and the carbon footprint as you go forward. But this is an ongoing task and also something that keeps us going as a Company.

Coffee I think this is fantastic, I mean we have a terrific NESCAFÉ business. Today we are celebrating 10 years-plus of the NESCAFÉ plan, again a labor of love on farming, on practices, on sustainability. More than 5000 coffee farmers engaged, we have a NESCAFÉ Coffee Training Center in a place called Kushalnagar. 55% of the coffee procured is sustainably.

And what is interesting

for you to note is that about half of the sustainable robusta coffee in this country, been in this country is sourced through the Nestlé system. So that's the kind of footprint that we have set as far as the sustainability is concerned.

A short video on this to show you again work on the ground.

[Video Presentation]

The farmer talked about premium. Nestlé pays for every kilogram of sustainably sourced coffee over INR3 per kilogram extra to the farmer. So every time you drink a cup of NESCAFÉ, this is my brand pitch. You are supporting sustainability. That's really what is being done. So it takes a lot of effort, but I think we have a fantastic team and a huge ecosystem that works on this. Again, farmer-by-farmer, it has taken us 10 years to get to 5,000 farmers. Somebody will say why not 500,000 farmers, why not 5 million farmers? But you have to Nestlé India Limited

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convert farmer-by-farmer to this practice and make them understand and look at the benefit of it and this is really what we are working with.

Spice similar, spice as you know is an essential part of our culinary business and 1,250 farmers across eight states are working with us focusing on people, planet and profitability and we are ensuring a 100% traceability of cumin, coriander, chili and turmeric as far as our products are concerned. This is the ask of the consumer as we move forward and this is the journey that we are also taking as a Company.

Sustainable manufacturing is not just sustainability in terms of farms procurement, but also in terms of manufacturing. In the last 15 years, the greenhouse gas emissions have dropped by 52%, the water usage has dropped by 51%, the waste water generation has dropped by 38% and the energy usage has dropped by 36%. 15 years, far well before any of the ESG issues have become important. Why? Because these have been targets set for the Company for a long time.

I have been with the Company for 24 years and I can tell you ever since I joined this Company, I remember to have seen these targets coming up at every management and leadership meeting, saying, how are we doing on this and what are we doing about this? But a variety of technologies have been put behind the extraction of groundwater and really trying to ensure that we deplete as little of the groundwater as possible.

Again, on sustainable logistics, I think we moved in the use of railways. I think during COVID, we had the first rail breakthrough. It was one of necessity, but it translated also into a very efficient system, better payload utilization, LNG fleet reducing CO 2 emissions and higher usage of CNG in electric vehicles. Some of this others also have done, but we are also proud to be part of that bandwagon. Partnerships, I think this is something that's essential part of our business. We have more than 2,000 distributors, 470, so almost 25% of them have been for more than 10 years, and almost 80% of them have been for more than 20 years

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who make things happen. If our market shares happen, if our growth happens, if you revel at our organic growths and whatever else we do, please thank these guys because these are the fellows who are making it happen.

I just take an example of Mr. Balasubramaniam, who's the third generation of VG Rajamani and Company, over our distributors in Coimbatore. For the last 60 years, they've been doing our business. Their business has grown from INR3.6 lakhs to INR40 crores per annum. And yet, Mr. Balasubramaniam, who's standing there in the blue shirt, still starts the day with the sales call. He can be a rich businessman sitting in his office and getting people to do it, but he sits it. That's the Nestlé way. That's the way that I'm very proud of because that's the way in

which business is to be done.

Again, Mrs. Sharma of the Swabhimaan Network. This is something that we started two years back. It's a rural entrepreneurship program. Other companies also have done it, but we have now, since we have got a RURBAN strategy, we have started this program. Almost 1,600 women entrepreneurs in small villages across 14 states, generating a business of about INR8 crores at the moment. But nevertheless, it is playing into the penetration of these brands and also creating some amount of self-sufficiency in the women entrepreneurs in terms of earning some extra income.

The RURBAN story, therefore, has also carried forward into more than 18,000 heart activities. You might have seen the recent coverage in Mint of India's, of Nestlé's venture into Bharat, which is really covering some of what we are doing in RURBAN, India. More than 16,000 distribution touch points, I have come to that, and coverage across 7,405 towns.

Supplier networks, I think Empire Packaging has been with the Company for 45 years. 45 years he has been with the Company, he is one of the big suppliers and Mr. Kannan, there on the right, who supplies seals as far as our Cuppa packs are concerned. His family has been with us also for over 40 years. So, this is a network that we have got of almost 4,500 suppliers who have been with us for a long time.

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Why do I mention this to you? Because continuity and sustainability and trustworthiness of relationships is established over a period of time. These are the same people who stayed with the Company during its worst crisis. So today as the sun shines, they are still with us and they will continue to be with us. And I think that is really the ecosystem, the reason why the Company does what it does.

Paras again, Mr. Vinay started by supplying 2 kilograms of turmeric on his cycle. Today he has worked with us for 40 years. He has a turnover of INR650 crores and he exports to a lot of countries, right? So these are the partners who built themselves and also built the organization over all these years. That's the second generation of Mr. Budhiraja that you see there.

What have we done using all of this? We have been using our data and analytics framework. I am not going to talk much about it because we spoke about it at some length last time. Simplification and consolidation, that is one of the things that we are doing. Looking at ways and means of consolidating the number of touch points, number of distributors, viability of distributors, using technology and using matrices, marketing and consumer insights using our MIDAS platform.

And we have now started rolling out NESmitra, which is a retailer self-order application. But this is not going to substitute in-shop contact of the salesman.

That is still important for this Company. You still need to get your line calls. You still need to get your merchandising. You still need to get your bag goods collected. You still need to have your range selling done. All of which is now enabled using MIDAS analytics.

So when a salesman gets into an outlet, he knows exactly what outlets got SKU to sell, what promotions to drive, and what kind of issues there are with the particular retail outlet. All the part of data analytics, but he still has to go there. This is not substituting for that. And that's something that we are very particular about.

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A quick look at performance, which is the last element, consistent, collaborative and committed. This is our track record 10 years of strong domestic sales growth. The numbers have been very consistent. Nine months '22, nine months 2023, 15%, 15.1%. So, the growth journey still continues. I will come to why this growth journey has happened. This growth journey is predicated on volume growth. So, roughly 7% CAGR between 2018 and 2022.

Last year

has been a bit lower clearly because of the inflation. The numbers before this 2022 were much higher because of the overall context in which in, but I am confident that we will come back to the growth sooner than later because the intrinsic power of the brands and the force that we are using within the organization continues to be strong.

Value growth, therefore, CAGR 11.3% in the last five years. This is the 2018 to 2023 period that we are talking about. The fortunes of India have also evolved, I am giving you town class wise sales, so I can tell you 15% sales, but if it is in a particular corner of the country, it is not very representative. Mega cities, which is the last city is more than 40 lakhs population. Our growth three-year CAGR has been 15.4%. Our metro CAGR has been 21%. Our town class one, the CAGR has been 10.2%.

It would have been higher because we've had a couple of impacts on volumes because of the price changes that have taken place in the small packs. But this is again, going to come back. TC2 to TC6, 11.2% and yes, I do admit I have a lower footprint on rural, but my growth is pretty neat, 26.6%. And even in the last quarter, it was a growth that was fairly significant.

So, this is where we are. So, there is a granularity in this and the RURBAN journey that we have taken is a logical journey. There is nothing illogical in what we have done. So, if you look at our route to market and distribution, we were at about 4 million outlets in 2016. This was post the MAGGI crisis, where distribution had actually shrunk. We have built it back brick-by-brick, outlet-by-outlet, geography-by-geography, channel-by-channel to 5.2 million today out of which 3.6 million is indirect, 1.6 million is direct.

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How has this been done? We have also deepened the rural reach. Again actual data that is being shared with you here. 120,000 is what is the ambition we have said that we will cover by 2024. Villages with the population greater than 2,000. We are sitting at about 108,000 now and total number of villages we are sitting at about 191,000.

What have we done here? This is stuff that is on the ground. This is not stuff that we think is should be part of a presentation. This is actual statistics that stand on the ground. Point number one, strengthen the distribution infrastructure in terms of touch points. We had about 8,500 prior to 2020, today we have got more than 18,000. So, there is a more than doubling of the number of distribution touch points that really helps because that is the way in which distribution capillarity happens.

Feet on the street. Yes, expanded number of touch points, but cringe on the number of people. No, you can't do that. You can't get a distribution system out of thin air. You know, the NESmitra app is not going to get people attracted towards your brand unless somebody goes and meets them. So salesmen are up by almost 50%, 2,200 to 3,100 and going up over a period of time.

In-shop visibility, we do all the basic things. These are the basic things that still need to be done. In-shop visibility from less than 4,000 outlets in 2020 to about 19,300 outlets today. So that we ensure that our key brands are visible, present at all points in time.

HAAT activation, no point just putting the brand there if consumers don't know what to do with it. Today, if consumers ask for KITKAT and NESCAFÉ is because somebody has done an activation. Somebody has gone to a rural HAAT and set up a stall and said, this is a KITKAT this is a NESCAFÉ, we do this with this, we eat this with the MAGGI. It has to be taught. It's not going to happen by just magic. So the heart activation has gone up significantly. 2,500 in 2021, 18,000 till now, and last year was 20,000. So this year again, the full year figure will be definitely higher than what we did last year.

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And behind all this consistent media support, as I have reported in the last quarter results as well, significant monies have been put behind investing, behind the growth pillars, using efficiencies in the purchasing media, targeted consumer and leveraging consumer clusters using both digital medias and the capabilities that we have, accelerated digital spend, which in some categories and some brands today is as high as 40% to 50% of all expenses, and investing in building brand equity versus short-term promotion.

One of the things we have issued as a Company, there was a time seven, eight years ago, when on NESCAFÉ, 25% to 30% of our money used to go behind consumer promotions, short-term incentives. Today, less than 10%. We said, we'll build the equity of the brand. That's really important. It takes time, it takes effort, it takes a bit of courage because you get knocked on the head in the short term, but longer term, it is better.

And what has been the result? The result is in the last five years, NESCAFÉ has added more cups, more cups to consumption than in the previous 50 years. That's the part of equity building. And that's what we are following. And that's the reason why we do well on these businesses because of that. And that is really led all this, today you see the RURBAN phenomenon, the phenomenon of portfolio management, of category management. Again, that has given us the results that you see.

Milk products and nutrition. Some of you keep scoffing at it saying, yeah, yeah, but you know, this one is a little bit of a doubt, 15.3%. Not bad? Prepared dishes and cooking aids, 10.7%. Out of home, 30%-plus. Confectionery, 21%. And powder and liquid beverages, which is a coffee business 18.6%. So these growths have come because of kindling consumption, kindling demand, getting into RURBAN, supporting RURBAN, monies were put, investments were put, equity building was done, cost efficiencies were got, and that's something that I'll come to a little bit later.

All of this, of course, has been on the strength of e-commerce which has grown by about 20%. year-on-year continues to be a powerhouse. In some of the

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brands, it's as high as 25%, 30%. In some brands, it's as low as about 10%, 15%. But again, something that's been in quick commerce in this has been the fastest growth. 50% of our e-commerce business is today quick commerce and growing faster.

So Blinkit is becoming as important as Amazon. That's the reality of the business. Innovations contribute about 6% of sales over 125 new products launched, as I mentioned earlier. 10 new projects in the pipeline. Why you say, why only 10? There are more than 10, but these are the ones that are scheduled for launch in the next couple of months.

Sustained profit for operations, we are a growth and profitability Company. We are not just a growth Company. You give us our valuations because we are a growth and profitability Company. If you were just a growth Company, you would give us the PEs that we deserve. You give us that because of the sustained profitability. The CAGR on this has been about 9.4%.

There has been a smart improvement in the last year from 19.7% to 21.4%. That is a reported number that you know 170 business points. What are the four key pillars that have been buying efficiencies and economies of scale, recipe efficiencies looking at how we can optimize and how we can make changes without compromising on the food quality, nutritional content or safety, portfolio management and appropriate pricing.

Net profits grown by 10.4%, again there has been a steady performance here. I bring your attention to the consistency of the performance, there is not too much of up and down of a significant nature in this and this is something that we would like to keep it this way. And that is what gives us the valuation that you give us right? In 2001, we

were a \$1 billion Company in terms of market cap. 2023, as of 30th September 2023, we were a \$26 billion Company. The return that we have given over the benchmark index, which has grown by 20 times in the last 20 years, has been 43.6 times. And this, I've checked the records, puts us in the Top 3 FMCGs in the country. So, this is the result of all the efforts that have been put in.

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What are some of the looming challenges that I would like to bring your attention to? Commodities, some parts of it are still a little bit worrying. If you look at the pace, 2020-2021 inflation put together was less than 2022. That is the kind of impact that we have faced in the recent 12 months to 15 months.

If you look at here milk prices between 2018 and 2023, 60% up, SMP 72% up, edible oils 89% up and the same numbers you are seeing across most of the categories. Which are the ones of concern today? The ones of concern today are really green coffee that is an area of concern because it still is not stabilized. Packaging is stable, but it is up in the air in terms of the Middle East issue and what happens to oil and it is an oil derivative in any case. Wheat is so far stable, there has been a 7% escalation in the minimum support price that has been announced that will be get factored in, but hopefully that is something that the Company can absorb, it is not something that will kill us. Everything else seems to be otherwise okay.

What have we learnt from navigating the challenges? I think this is an ongoing lesson for the Company. Number one is accelerated economies of scale and sharp procurement strategies because of scale, because of size, because of information access, we are able to do that. Sharp saving program which is the cost effectiveness program that is delivered anywhere between 1% to 1.5%, or roughly INR1.5 billion to INR2 billion of saving each year for the last 10 years. This is something that has been an ongoing program of the Company and the first thing we look at is efficiencies and effectiveness of buying and also cost efficiency that we can build in. If both of these are not able to match the numbers looking at portfolio, then we look at pricing finally. So, that is the one that we do not want to touch because penetration led volume growth remember is a strategy. So, we do not want to touch that because that can be shaded.

There are over 10,000 projects that have been done since 2011. This is the DNA of the Company. I do not have to keep telling people that please look for cost efficiency parameter, they will look for it themselves. They look for it for the last 12 years and they have generated 11,000 projects small, some saving

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INR100,000, some saving INR10 million, some saying INR20 million, INR50 million. All put together, this is something that helps us in terms of enhanced efficiency and speed of and cost reduction.

Calibrated consumer insight based pricing, all the pricing decisions that have been taken have been pre-tested in terms of consumer validation. Seeing what is the kind of impact that it can have and what is the kind of mitigation that we have to do as a Company. We have to take it, that's a reality, but how can we mitigate some of it? So a lot of the equity building work has been around that, so that the brand equities are strong enough. And of course, alignment, courage, and exceptional teamwork.

Please remember that except for me and Mr. Sanjay Khajuria, everybody else on the management committee has changed in the last eight years to 10 years. And I have some very young people on the management committee. They are not bruised old leaders like me, who have been hit on the chin many times. There are people who come on to these jobs as the first move into general management. For them to take big decisions on pricing, takes a lot of

courage

because they get wrong. It could be fatal in terms of their own perception of themselves as professionals. And I think that's what I pay tribute to because they have been able to do that consistently over a period of time.

So what are the 10 mantras that will define our future? What is it that I've been talking about all along and given you a flavor in terms of the five Ps? Number one, consistent balance between growth and profitability. This is what we will do. This is what has made us successful. This is what will drive us over a period of time.

Number two, expanding the opportunities with the new consumer cohort. This for us is exciting because this plays into the importance that Nestlé gives to portfolio development. You know, they always say that the time and place for an individual has to come in his life. I believe the time for Nestlé has come. This is the new India where consumers' aspirations are high for good brands.

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Availability and access is something that we have to make happen and of course, creating the infrastructure for that.

Third, strong investments in manufacturing and supply chain. Between 2020 and 2023, the Company has spent almost INR2,600 crores in capital investments, INR2,480 crores to be exact till end of September. So, that balance will get spent during the course of this year for sure. 2023 to 2025, they have committed INR5,000 crores. Out of that INR 900 crores to INR1,000 crores already in the Odisha factory has been committed and more to follow.

This is the faith and this is what we see as a track record of the faith of the parent in Nestlé India to be able to have this investment along with the Board of Nestlé India which has said that we need to put in this investment. So, investments behind manufacturing, investment behind distribution chains, investment behind logistics all of this are part of this investment. Investment in long-term partnerships, this Company will still be the Company that will put its head down, its shoulders to the wheel and work.

We believe in delivering what we promise, talking a little bit less is fine, but doing a reliable consistent job, what I call boring consistency over a period of time, rather than erratic brilliance at particular stages. I think that is what has defined the Company and that's what you would look at in the long term.

Expanding and accelerating RURBAN thrust, I've shown you in all granularity what we have done. So there's no fluff stuff there. There's nothing there that says, this is the intention. This is there on the ground and this is what we see growing for us as we move forward. Embracing the part of analytics and digitization. I think we've invested in it. We are seeing the progress, we are

seeing the results of it, and there is an acceleration of the journey as far as this is concerned.

Accelerating our sustainability journey, we are on that train, and we're not going to get off the train in a hurry. This is what makes us Nestlé, and we will continue that journey. Focus on people, diversity, talent, and managing the generational shift. As I speak to you, there are two, three of our factories where the original Nestlé India Limited

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pioneers are now in the phase of retirement. Factories like Moga and Samalkha and to a certain extent, factories like Nanjangud have got workers who are now retiring. They've all spent 30 years, 35 years in the Company. So the next generation is coming in. And that is the transition that is refreshing. That is the challenge that we have as an organization.

In the leadership team, the transition has almost happened. Barring a few of us, the rest of us are all fresh and rearing to go and of a generation that is appropriate to take forward the journey of this Company. Nutrition as a platform for innovation, I think that is something that we ha

ve put on the table and you

have seen some of the results of that. And finally, enabling strong impact on communities, that is something that is important to the Company and that is something that we will certainly be focusing on.

So, what is our promise? Consistency, collaboration and commitment. That is really who we are as a Company. That is really what will define us. I do hope that I have been able to in this little over an hour give you an idea of why we do what we do and what is it that makes us tick. Thank you very much.

Suresh Narayanan: May I take the opportunity of inviting Mr Jagdeep Marahar to now come and take us take the audience through the R&D piece.

Jagdeep Marahar: Thank you very much Mr. Narayanan. It is a privilege for me to be here representing Nestlé global R&D to share with you the exciting world of what we bring in. And I think, I mean, there could not have been a better theme set than the theme of growth and growing together consistently, but not only for today and R&D talks about tomorrow.

Innovation in Nestlé has been something that has been at the core ever since its inception and whether it is with a cup of coffee you drink or a KITKAT you break in, there is some sort of a part of science and technology that we all bring across to you.

The part of the presentation today for me, I will bring in the two aspects, the global context and the local part of how do we contribute to the businesses that Nestlé India Limited

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we support. What I will also look at is in terms of how we have been working on driving meaningful innovations across, how we've been speeding up innovations to bring our products at speed to the markets, but also our role in differentiating the product propositions across.

R&D has been the cornerstone of Nestlé across and we run probably the largest R&D network across in the food and beverage space with approximately 2% of our global turnover, a bit over \$2 billion that we spend globally in this particular part. There are 25 centers, it is a very diverse portfolio of products that we manage, which are done at the different parts of our centers globally. And I will cover this in a bit of detail. I think what is unique for Nestlé is the way we are structured.

We have a three-tier structure, which ranges from a very centralized part in terms of where we have scale of driving innovation that on the left what you see are the core institutes which give us the science behind food, behind the different parts linking to whether it is food safety or analytics but moving all the way into the basic construct of the food and its role in health and nutrition.

Two important roles that we have also picked up recently is institutes on packaging sciences and on agriculture sciences which work on a very important part on sustainability. How do we look at novel materials? How do we future-proof ourselves moving head into that? The second tier for us is very much related to converting the science into technologies.

And technologies, as you would appreciate, are very much driven by individual categories. The categories that we operate in are very diverse. So there are 10 centers which are linked to individual categories across and there is an 11th one which works on the systems. So systems means the coffee machines and the setups that we look at also in our Nestlé Professional space.

The third part where we sit in are the regional centers which look at implementing the global technologies are the competence centers of also the products or the ingredients that we build up. There are six of them across different regions of the world. What this brings us is very close to the local

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cuisines, the local consumers that we then pick up and convert our products into the right areas.

We are located around 20 kilometers from here.

So, Nestlé R&D for South Asia

region is located out of Manesar. We are a fully owned subsidiary of Nestlé SA with which we look at the different parts in terms of the priorities of what we work in and then support the regions. This is the center of expertise on South Asian cuisine.

This is where we have got a very diverse group of well-qualified experts ranging from chefs to product developers to engineers who look at converting the product propositions into industrializable products around that get in into scale once we move them to the relevant markets.

There are three core areas that we focus on. The first one is as a global category lead for noodles and spices. Why noodles and spices? Noodles again is one of the big businesses for Nestlé. We do around half a million tons of noodles. The region here is one of the core drivers there. Intel inside why noodles work well, why we are able to deliver is what comes from the seasoning or the spices. And India being the core region where Nestlé sources almost half of its spices from, therefore becomes key for us to develop expertise in this part that we can then roll out to all the markets that we work with.

The second important area, which is also one of the big challenges with food, is to look at the food safety aspects. And this is about anticipating what the future challenges on contaminants or future challenges with the adulterants and other areas can bring in. What we do here, we are a part of the Nestlé Global Food Safety Hubs. There are three of them in our center in Lausanne. There is a hub in India, there is a hub in China.

What we look at is one, preempting any potential challenges. Secondly, developing new rapid analytical methods that we can analyze and pre-empt and build these into the repertoire in terms of really putting barriers in before they become an issue. We work very closely with the government agencies, we work

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with the academia here and an example that I would want to share across is the work that we had done in terms of building capabilities on food safety.

This is one area where we feel that there is a forward-looking need to reassess and reinforce the part there and we recently with the NIFTEM, we had around 500 graduates who went through the screening process and 25 of them passed through the All India Food Safety Cadre across to get in, not only in Nestlé, but also to other industries and in government bodies around with a proper knowledge on what food safety brings in.

The third part for us is about accelerating innovation. And this is something which we have started a couple of years back, is to build competencies and expertise to fast track innovation processes, looking at new white spaces. We call it as Nestlé Accelerator, where we review what potential opportunities, what consumer trends? I think what we heard earlier was about how the consumer behaviors are shifting.

What are those new spaces that could be relevant that we could seed and then bring this in? All of this is done by a group of experts where more than half of our team, and this is a very young team, are either masters or PhD holders and they are PhDs in a field which are as diverse as analytical sciences to noodles. On our global part, the R&D fuels what the global purpose of the Company is in terms of really making products which are high on nutrition, which are good for you and also which are sustainable for people and pets that we serve in. The fundamentals what you see on the top are common and they are uncommon across the different streams of the organization.

These are about delivering tasty, nutritious products, which are of high quality and safe, but also affordable and can be produced in a way which is sustainable across. And I'll cover this in a little bit more detail moving forward.

There are four core focus areas that we have identified at the gl

obal level which

are common themes to drive growth. The first one is on alternate grains and

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proteins and you saw some examples and I will elaborate a little bit more on the work that we are doing with millets and other parts there.

The second area is about coffee and how do we process coffee, how do we select the beans. What you heard from Mr. Narayanan before is the work that we do with the farmers, with the NESCAFÉ plant, how do we translate this with cutting edge technologies to translate them into products which are winning propositions, but also how do we leverage systems like the NESPRESSO NESCAFÉ machines that can be much more efficient there.

The other area for us is on nutrition and this is covering the whole scope of early life moving across the ages into medical nutrition but also covering what is a little bit of an.. you know changing demographics with aging population space, what are the needs that we build in there. And finally, the science-based nutrition for pets, which is equally important for our global portfolio.

How do we do this? It's a complicated slide, but these are our global platforms. There are 12 platforms. And just to simplify this, the first platform is by driving products which are nutritious and which are healthy. We look at platforms like alternate proteins here, but also working on the reduction of ingredients like salt, sugar and fat.

And these are the spaces where across the centers all of us play a role. There is a centralized team which supports, but then out of the different product categories we build this in. What we also work on, and then this is a little bit more central here is on the areas like cellular nutrition, microbiomes on how food is ingested in the body, what is it that we can look at, but also on to what is the role that food plays in addressing different diseases. And this is the complex word you will read here, multi-omics, is a profiling of what, how we can bring in and then translate it into personalized nutrition.

Coffee and beverage systems we have spoken about. On the right side, it's an important pillar, which is a pillar on developing technologies, on packaging, on technologies which are much more energy efficient, but also technologies which are looking at the entire agricultural value chain of the products coming right

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from crop plant breeding to the part on how they are grown and how can we

mitigate the challenges on GHG emissions, whether it is with crops or with dairy part.

Our approach to innovation and I think this is an approach which we have been driving for last four to five years is about making the process much more agile and nimble so that we are future ready. And this is based on three pillars. The first one is about simplification of the processes where we have cut our idea to launch process from around six steps to three steps, which makes it much more nimble and faster. And I'll share some of the results which come in.

We have put in R&D accelerators that I briefly covered before, which help to fast track some of these ideas, getting in into a proposition of a minimum viable product in six months to nine months sort of time, but also equipping ourselves with pilot equipment so that we can rapidly prototype. We can get the concepts in, because unless you put it on the table, it does not really mean much.

We have been working externally with the partnerships. You read on Indian Institute of Millets Research where we have done our first launch. So these are the institutes which are also helping us to synergize, not only in terms of developing products, but also in building up the future maps of where we would want to work towards in terms of really identifying and defining new varieties or new processing methods that can give us a competitive advantage moving forward.

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The second part of driving innovation is really leveraging our internal and the external ecosystem. And the first one for us here has been with the employees where you have all heard about the Shark Tank. So this is almost like an internal Shark Tank that we run.

Examples on millets what you saw as products, some of them have been launched within nine months. When the whole proposition came in, our teams came up with more than 25 ideas within a month's time, and we could put it on table, and we could see which propositions make sense and in which geographies can we deploy and work this in.

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We work closely with the startups. We have globally more than 60 startups that are part of our R&D accelerator. We have completed cohorts with four of them.

The picture you see is one of the startups which is now working with us here on maternal nutrition within our R&D center. We leverage AI and I'll share in a little bit more detail in the next slide, which helps us to be nimble and then really cut down the time for concept generation, especially in the new spaces across.

And one big shift that we have also moved in is about differentiating our propositions through intellectual property protection. And this is where the patenting part has seen quite a significant increase. The job of a product developer today is quite complex. We need a product which tastes well, we need it at the right cost, we need something which is nutritious, we need what is also sustainable.

And this is where the data mining and the artificial intelligence comes in to help us out. And then this is something that we have pioneered in, in terms of not only looking at the clinical studies, but also looking at the consumer trends. How do we translate these? How do we pick up certain trends, get them into AI driven concept development, recipe formalization, but also in some cases, where we work with the grains and plants, the feed in into the plant breeding side. What is it that we can shift?

Within the R&D space, we don't restrict ourselves only to product development. The bottom theme is more about applications of AIs into our operations. How do we use it for early identification, not only of potential issues, whether it is food safety or it is about certain parts on the equipment performance? How can we have a better surveillance on our materials that we receive? But more so about advanced process controls. And I will pick up an example of what we have used locally here where we have deployed technologies on our nodal lines there.

What this also helps us is on assessing the health of the machines. When can we predict either a breakdown or how can we do preventive maintenance much better so which makes our lines much more efficient but also much more

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global level, our speed of innovation has increased significantly with all these steps.

So if a normal project in 2016 used to take around 33 months from the time of a concept generation to industrialization, the average today is around 12 months. And when I say 12 months, some of the parts we do implement within six months to nine months. We are faster than startups. Some of the startups in this particular part. Some others where there are new, there is new science and new technologies involved. Obviously, it takes a little bit longer, and 12 months is a broad average across.

On the theme of innovation, what this has also meant is the number of innovations driven by R&D have moved up. You saw, the increased innovation focus here in the region. This is also where we step in and we support across different categories to drive innovations there.

The global increase in the total launches has been 23% and from our side, there has been almost a 3x in

crease of innovations that we are bringing into the region. The second part for us is about increasing the differentiation. As I mentioned before, it is the quality of our projects that bring in. So we have now, 10% more contribution that is coming in from the innovation projects. So just as a broad nutshell, around 30% of incremental contribution to Nestlé's portfolio, which is coming in through innovation and renovation, is there. And around 20% of this would be about differentiated product propositions that bring in and create new consumption occasions.

The number of patents, we file more than 500 patents annually globally and this has been around a 90% jump in terms of new innovative technologies and solutions that we have brought into the table. Just a quick snapshot of recent launches and these are all the global ones where more than 150 new products come in into the market every year.

What you see on the right is an example of where R&D has helped them to deliver a winning proposition, whether it is about a better aroma in coffee or a better taste profile in a noodle or noodles with millets or even products like, the
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a+Masala Millets. So this is where we step in and we play a role of driving innovations through.

And just picking up on to one of the examples here, what Mr. Narayanan spoke before is leveraging millets across our products. And millets, as you would know, are not the easiest of the grains to be consumed or even to be processed. There are challenges with taste. There are challenges because there are 13 types of millets and each millet is different in size, in hardness, in the way that we process these in. And they have in their inherent form, very low shelf life, which keeps the consumers away.

They're not very convenient to use. And we had to really translate these with the know-how, both from our global teams and the local teams here, with partners like IMR, but also using our culinary expertise around to convert them into tasty nutritious propositions.

Very happy to say that this is not only an offer that has come in in the form of masala millets. This is the first time in the country probably where we have managed to transform bajra or pearl millet which is one of the most difficult millets to stabilize into this product and this product contains more than 70%, 75% of grains, it is rich in fiber and therefore offers a much more meaningful advantage to our products.

This one is the platform that has then also been moved to spaces like Noodle,

but also our other brand, and there are a few more which will come in. Last but not the least, R&D is not only about driving new product launches and innovations, it is more about making sure that we also have propositions which are affordable and sustainable.

And here, some of the areas that we work in on the packaging side is on the new generation of papers. And an example what I will take here is the paper straws. More than 5 billion paper straws globally have been introduced in place of the plastic straws and the Nestlé was a pioneer in taking these steps.

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We work on quite a few other areas which we keep on testing across our brands. It's a sensitive part because a lot of application is also determined by what the local environment and the climatic conditions are, but this is an area that we put quite a bit of research efforts on.

The second part is evaluating the biodegradable plastics. How can we move in there? And one of the first launches here, which has been locally developed, is about, a biodegradable folk, a plastic folk, which has already been introduced in our Cuppa noodles and which decomposes or degrades both in industrial composting but also in the home compostable setups there.

What we have been also taking this journey is a step forward on regenerative agricu

lture. There is a pilot that we picked up in terms of restoring barren land.

It's a future challenge that the country is facing with approximately 30% of the soils under stress today because of the way we have had the cultivation done.

And the pilot that we have picked up is to restore a land in our spice plant region to see how can we bring the fertility back on the land. So this is the land in Andhra Pradesh in Sri Sathyasai district which we are now looking at converting. It was barren for approximately five years. There are 15 farmers involved around 32 acres, which now has been planted.

What you see on the right is the first plantation. And we intend to use this crop back into our products, just as a model to see how can we make a meaningful difference across and then expand it, not only in India, but also beyond India as an example.

We are collaborating on this, not only with the Nestlé global teams on the agricultural sciences part, but also with Rainforest Alliance and TraceX, which is one of the startups that also came in one of our R&D cohorts, which is helping us to map the entire land scenario that we are building in.

The second important role that we play is on manufacturing process optimization. And this is an important area because this is also where energy and affordability comes in. And two or three examples which I would want to

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bring in is on energy reduction. Through a proper redesign of the technologies and equipments with the computational fluid dynamics, we have been able to now reduce the steam usage in our noodles process by around 30%.

Now, this not only saves around 30,000 tons of the CO₂ emissions, but it also helps to avoid the costs which were going in as waste. And similarly, using process analytical technologies into our processes, now we have closed the loop systems. And these are working on our KITKAT lines where we are able to control the entire critical parameters on moisture in vapors. But we have moved it now to noodles where all the key parameters get controlled in line, giving a much more consistent product, but with – but much lower waste.

Again, we spoke about a little bit how Odisha would be the, when the factory of future. So we as R&D constantly work on what are the new technologies? What would shape this future manufacturing line? What would be the new capabilities, the level of automation that we would bring in and therefore make a tangible

difference to what we are looking at building moving forward.

So there have been quite a few recognitions. On the packaging work that our team did, we were recognized with the Asia and the World Star Awards and just a couple of weeks back on the sustainability part, both in terms of restoring the agricultural land but also on energy reduction we had the UBS Sustainability Awards for the initiatives of the year.

So just in a nutshell, key takeaways. So it's again, the global R&D network offers a strong competitive advantage to drive growth, to support growth across markets. And as you heard, with India being one of the core growth pillars, we really see this as a big opportunity to unlock future opportunities.

The focus of R&D is on driving not only new products, but also on the more nutritious, healthy products which will be needed for the future consumer requirements with the changing demographics and also from a perspective of innovative technologies and solutions which make it much more sustainable.

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Increasing speed to market for us through differentiated, intellectual property, differentiated technologies is going to be the core, which will give us the winning edge as we move forward. And this is where the speed over perfection mindset has moved in and enabled us to really pursue this end. And last but not the least, with this strong involvem

t and support to the local business here, we are able to deliver the ambition to drive growth moving forward. Thank you.

Amberen Ali Shah: Thank you, Mr. Marahar. With that, we move to the Q&A session. For those who are present here, please raise your hand so that we can take the mic towards you, pass on to you. Participants who have joined virtually, the instructions will appear on your screen to ask questions. In the interest of time, I would like to request all of you to limit your questions to two per person.

We will start with participants present here, take three questions from three people, and then move on virtually and come back again. Sir, could you introduce yourself and mention the name of your organization and ask your question?

Abneesh Roy: Yes, thanks sir, very good presentation, two questions. Sir, first question is, we have seen few categories of other companies, for example, biscuits, we have seen in tea, local players have come. In your category say in noodles and coffee, we have seen some regional players, some start-up companies also come. So, in terms of volume growth, would you have lost some share in these in the last few quarters?

I am not talking about the Nestlé market share, I am talking about the data which you get from the ground, is there any loss in terms of volume versus the industry growth which you must be getting because we are seeing that downgrading, down trading those are happening?

Suresh Narayanan: Thank you, Abneesh. Thank you for your question. I think look, we do have the local competition. Let me take coffee for example. There have been players who have come in. But one of the things in coffee is that when the prices of coffee beans are as high as they are, it does not really give much play for the local player to come in with a cut price and hope to make a deal.

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Because the fact is that, you will be incurring serious losses if you were to do that. So in the coffee category, honestly there has not been, there has been some competitors that have come in, but they have been more muted during this serious price increase on coffee beans that have taken place.

In the area of the MAGGI portfolio, there have been some entrants as far as the Masala-e- Magic type of products are concerned. I must say that again there has not been too much of a -- in our own estimates, there has not been too much

of a traction that they have got. Only where there is acute price competition, there has been some loss of volume, but this is a category, which is fairly sensitive in terms of quality and safety. So, consumers also are pretty careful not to just try any masala simply because it is there in the market.

In noodles, when we took up the small pack prices, there were a few people who entered the market. At the fringe in particular geographies, there was some impact. But once we did a specific RURBAN package and part of it was to really tailor the portfolio also in terms of the INR10 price point, we are seeing volumes to come back. So, yes, there is local competition, but we are at least as of now trying to respond fast enough to mitigate any losses that we might have.

Abneesh Roy: My second and last question, slightly related, is you shared a lot of data points, 10 billion UPI transactions. You also shared your Patna visit. My question is, five years back and now, or say eight years back when you joined Nestlé India and now, is the INR2, INR5, INR10 issue for the FMCG, is that now well under control? But when I see your own MAGGI price increase from five to seven and then I think 10 etc.

There has been a big grammage impact and you mentioned that last nine month volume growth for the Company has been below initial expectation or below the three year average. When I see that, then UPI does not seem to be benefiting. So, where are we in terms of the coinage issue and why is the UP

I thing not

benefiting in terms of vacating popular price points?

Suresh Narayanan: Look, I think it is fair to say that still cash is a predominant part of the transaction.

So, while UPI is definitely making progress, but it has not completely obliterated

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the medium of exchange as far as the detail trade is concerned. I think the issue is one of the things, I think we have to remember Abneesh, price point is still important. If you look at the Nestlé portfolio, almost a third of Nestlé portfolio is price point and about 15, 20 odd percent is premium and the rest of it is mainstream.

On the price point, I still have to be careful. I have to make trade-offs. I have to make trade-offs saying, okay, I have, I am not able to mitigate the current initiatives to be able to take care of inflation in particular categories. And therefore, I consciously take the step to take change the prices. But price point will continue to be important because two forces are happening Abneesh in this market, premiumization and down trading.

Down trading is also a phenomenon. I think some of the other companies that you cover are seeing that also significantly happening because there is an economic pressure in terms of budgets and discretionary budgets definitely if inflationary trends continue will be under pressure. So, we are conscious of it and therefore, we are trying to put in bridging price packs to be able to take care of it. But walking away from the INR2, INR5, I think or maybe INR2 you still could, but a INR5, INR10 price point is still little bit fraught with risk or trade-offs that you might have to make.

Harith: Sir? Yeah, good evening. This is Harith from Investec. Just two questions. First was on the input cost chart that you showed. It seems like with green coffee and now Cocoa over the last few weeks, we're also hearing, that is a significant inflation. So, if you look at your pricing actions and your pricing actions have been fairly significant over the last year or so. Do you feel you're at the end of does those pricing actions now at a portfolio level? Or you still feel there are certain areas where you will have to take significant pricing to still mitigate some of the margin pressure? This in context of the fact that the last two quarters actually gross margins have stepped up at a portfolio level?

Suresh Narayanan: Good question, Harith. I think, look, as I said, the pricing option is the last option as far as the Company is concerned because the core strategy is penetration

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led volume growth. So, I would hope unless there is something that goes dramatically wrong as far as coffee prices are concerned that I will be towards the end of the price cycle. I don't, I don't anticipate, but there has been obviously impact in Vietnam and that is leading to a synchronous enhancement of prices in India.

Even though the coffee exports have come down, but nevertheless the coffee bean prices are very much on the uptick. If it continues at the current level without dramatic changes coming up in the next couple of months, I think I should be able to hold the line as far as the prices are concerned. On cocoa, I think, yes, there has been a secular trend upwards, but I would like to keep to the current strategy of keeping prices as much as possible. But again, it is a wish Harith at the moment. I feel difficult to predict, but hopefully I should be able to try and at least the intention of the Company is to avoid as much as possible. That much I can tell you.

Harith: Great. And the second question was on innovation. So, if you look at the last three years set, you had two years of COVID and then you had last few quarters of significant inflation. You yourself mentioned, when the house is on fire you're not going to do new things. In the context that in the next o

ne or two quarters, hopefully things, you normalize on the inflation side. You did mention 10 projects in the pipeline, but do you see a material step up in terms of new things that you're going to do over the next 12 to 18 months versus the last three years that you've seen from a portfolio perspective?

Suresh Narayanan: Relatively speaking, Harith, there will be a step up. I mean, because let me be very honest with you and I've shared this with you as well. During the COVID times was not the time to keep the house without catching fire. And at that time to launch new innovations that there was no marketplace and there was no nothing happening would have been a little bit foolish at that stage. So we did mute our innovation cycle. Now that is being unleashed.

And yes, in a calibrated manner, I mean, these 10 projects that I'm talking about are the most powerful that we would like to put out into the market. But I think

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innovation itself needs to be now calibrated because we are move into an era where we are supporting our brands fairly strongly in terms of building equity. So, there'll be that much that I will be able to absorb in terms of being able to launch. Also, the gastric capacity of the organization. Remember, I'm going in for a major RURBAN drive. I can't tell my sales fellows, launch this and find more of this and find more of this. He says, boss, you tell me, which one sold first? I mean, as an old salesman, I can tell you that prioritization is a big task. So, that's the other thing I have to calibrate, the drastic capacity of the Company to absorb that much more of innovations. But you will see an uptake for sure.

Harith: Got it. Thank you.

Moderator: We now move to Manoj for his next question and we'll come back to you.

Manoj Menon: Hi, this is Manoj Menon from ICICI Securities, that's for the record. Suresh, brilliant work on the driving growth through the sales vector, which I think a very few companies have actually executed on the ground in the last five and 10 years. Of the 7% volume growth which has come, would you be able to quantify what sort of growth came through the sales vector? That's one.

Second, given the, that you have somewhere 80% 90% of the numeric footprint where you want to be at this point in time, how much more headroom is there with the three four medium-term view?

Suresh Narayanan: Good question, Manoj. If I would to look at it, I think the sales vector has played a strong role in the growth that you have got. I would estimate that all of the 7% odd that we have got, at least 3% would be attributable to the sales vector. And really, sales vector plus digitization plus analytics, sharper focusing on geographies, at least 3%. Maybe our upper reach, maybe 3.5%, 4% would come from that. That's an area of thrust, Manoj, that will continue. I mean, I'm not in a hurry. I'm not in a hurry to come here and tell you guys that I've digitized my

whole Company and forgotten the basics. I mean, that's something that will, under my watch, will not happen because that's what has built the Company. Your second question was on?
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Manoj Menon: Basically, can, first of all, thanks for the disclosure. Can we expect a similar run rate or higher, lower, because you will have now line selling and productivity improvements and more digitization, etc. Is it fair to assume that you will actually get a similar growth rate also into the medium term?

Suresh Narayanan: I would probably not get as high as what we have got in the past, but definitely fairly significant as the build-up happens. Because as, the distribution reach that we are looking at now is kind of getting there in terms of number of villages over 2,000 and number of distribution points, etc. Now, it is a question of sweating assets even more. And in sweating, I think

in certain categories, it will give us disproportionate growth. In some categories, it will be marginal. On balance, I think best case scenario would be as strong, worst-case scenario would be slightly lower, but still significant.

Manoj Menon: Let me, I have one question, but I just kind of, let us say part A and part B, I do not think I will get another chance. Suresh, some comments about pet care would be helpful. How are you thinking about ramping up that, with the medium-term view? And the other one unrelated, is it fair to say that the Nestlé of 2023 looks at M&A as a growth vector, let us say very different versus what it was 10 or 20 years back?

Suresh Narayanan: Good, good questions Manoj. I mean, let me put the M&A question to rest first. I think M&A continues to be a area of interest for the Company because as you know, whatever we are hitting, INR16,000, INR17,000 crores that we have hit last year and a higher number this year is 100% organic growth. There is nothing inorganic in what we have done.

So, I think that the quest for acquisitions continues, but obviously, I think the criteria that we use is on fit, is on capability to add value and also on the kind of valuations that we get. And so, the eyes and ears are open and I think that is something that we will continue and hopefully god willing something should come up sometime in the future.

On pet care, I think the integration process with Nestlé India is complete. And now we are trying to, we are really revving up the engines in terms of expanding
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the scope of distribution and also utilizing some of the obvious synergies that we have as a Company. I mean, I'm able to give Pet care a much wider access than what they ever had as an independent entity.

And that's work in progress. So, it's still a very promising category for us. In fact, some of the early leads on the cat food segment is very positive and that gives us room and gives us hope that we will be able to accelerate this business quite well in the coming years. Thank you.

Amberen Ali Shah: We will now move virtually and request the participants to ask questions in over to you to take questions from our participants present there.

Moderator: Thank you very much. We invite a speaker member, Mr. Siddharth Dhand from Goodwill. Please unmute your audio and go ahead with your question.

Siddharth Dhand: So, we bought into the pet care business into Nestlé India. One of the businesses that Nestlé hasn't entered in India is the NESPRESSO business.

So, any thoughts about entering via Nestlé India? Because every time we travel abroad, people will always ask me to get a NESPRESSO machine or pods back to India.

Suresh Narayanan: I know the discomfort that you feel when you have to pay a little bit more than what you should be paying. But look, let me put it fair and square. NESPRESSO

is definitely a business that is of interest to us. I think there are a few regulatory and duty related issues on that, that need to be navigated and represented, which is what we are in the process of. I think once we are able to clear the decks on that, then the decision would be taken on direct involvement of Nestlé India in the business or otherwise, if there is at all any other route that can be taken.

But at the moment, I think we are trying to first get over the first leg, which is really some of the regulatory and duty related issues that pertain to the import of pods into the capsules into the country. Once we do that, I think the road will be much clearer as far as our entry into the business is concerned.

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Pet care, as I just mentioned to the question of Manoj, I think continues to be an area of serious interest. One thing about Nestlé that I'm sure you have observed, we don't give up on categories so easily. So, there is

a pet care, which is

obviously a core category of the Company. It's a category where we have global expertise and it is a category where we will have the full play in the coming months and years as far as the category itself is concerned. So I can assure you that there will be a continuing thrust as far as building this business is concerned. In the first stage, using the synergies that Nestlé India brings to the table, that alone will be quite significant for the business.

Siddharth Dhand: Thank you so much. Thank you.

Moderator: Thank you. Our next question is from Sirish Pardeshi from Centrum. Please unmute your mic and go ahead with your question. There seems to be no response from this participant's connection. We will therefore move to our next question. That is from Chintan Chheda of Quest Investments. Please go ahead with your question, sir. There seems to be no response from this connection as well. We take our next question from Dhiraj Mistry of Antique Stock Broking. Please unmute your microphone and go ahead with your question. As there is no response, Ms Shah, back to you. You may take questions present from in-person participants.

Amberen Ali Shah: Yeah, please go ahead and ask your question.

Vivek Maheshwari: Hi, good evening, Suresh and team. Suresh, while under your regime, we have seen a definitive pickup in growth, but philosophically speaking, when you talk about, let's say, \$40 billion of market on a denominator of \$800 billion, do you not think, and two parts to this question, the first part is, do you not see a sense, when you look at 6.5% volume growth number, and I know inflation pandemic, but if you take a next five, 10 year view, you shouldn't, let's say for a Company like Nestlé, growth should be, significantly higher than where we are.

That's first part and second part again, it's an apple to mango comparison. But let's say PepsiCo launched still Sting as a product and within three years that brand became INR1,000 crores is running over INR2,000 crores. Is there a case

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to launch something which is very disruptive? So let's say Red Bull was selling at INR120 and Sting came at about INR20 makes, its margin apparent took to the Company, but has taken the size to a different level. What are your thoughts on both these aspects?

Suresh Narayanan: I think it's a good question that you're asking. As far as growth is concerned, as I said, the Company's philosophy has been and is unlikely to change between the balance between growth and profitability. So, that's something that we cannot walk away from. So, while yes, I think the future I would like us to grow faster than 7%, I mean it is not an impossibility, but launching products or getting into categories which are going to be deeply dilutive as far as margin deliveries even in the short to medium term is concerned without a distinct competitive

advantage would not really be a reality as far as Nestlé is concerned.

I think the empty calorie growth which some organizations might find acceptable at relatively modest EBIT's is not a philosophy that we believe in. Having said that, I think I fully take your point and in fact, that is also the roadmap, in building all the infrastructure and creating all the ecosystems for growth is to really plan and target a higher growth than what we have done in the past. But on which categories and which, I mean, for example, things like nutrition, wider definition of nutrition or health science would be areas that we will focus in, where the volume may be relatively small, but the values and the impacts and the competitive modes that it builds will be definitely far more significant for the Company.

Vivek Maheshwari: Got it. And the second question, again, one of the slides on lifestyle trends for millennials and Gen Z, if I look at one of the, I would just love to know your views, but one of the

things that you mentioned, trust is important and it's 59% important for Gen Z. If I look at the other side, which means that 41% of the users are okay to go for brands which are so to speak not trustworthy. Does that not worry you? Because 9% point, I mean, it's literally half and half and then you are 9% point higher on the trust side. But that also means that 41% should can go for anything, that is available. Does that worry you from a competition standpoint?

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Suresh Narayanan: Look, I think the word trust has two meanings here in the research. One trust is the ability and the proclivity to stick to a brand for all times to come. And the other one is a little bit experimental or flirtatious as far as the brand is concerned. It captures both these trends. And one of the things I think we have to be very clear is that no Company is owed market share. No Company is entitled to market share. You have to set and struggle for every point owed market share. So, I look at it, yes, in a perverse way it should worry me a bit saying that 41% of people might leave my brand, but then it should keep me awake saying, have I got the right consumer proposition, the compelling experience and the value delivery sustainably over a period of time to justify the market shares that I have got? So I don't subscribe to the negative part of it. It only tells me that the consumer, you cannot take the consumer for granted. And that is when, and that's the, that you would know even without looking at the research is the hard reality of the marketplace. Yesterday's hero is today's zero, right? Or vice versa.

Vivek Maheshwari : Thank you very much. I'm Vivek Maheshwari from Jefferies.

Ajay: This is Ajay from Anand Rathi Securities. I just one question in one of the, your speech you had mentioned about, premium products only contributing roughly about 10% of your sales. I would have assumed that it is much higher for Nestlé India. Can you just talk of what is your categorization of premium products first? And secondly, also, if you can just throw some light on how you are looking at, minimizing a portfolio to a greater extent. Thanks.

Suresh Narayanan: Look, I think, premium for us is quite a rigorous definition because we have got a significant mainstream. And mainstream in many companies would be categorized as premium. Whereas for us it is mainstream. So, a price index of 10%, 20% below the mainstream would be considered to be PPP. And price about 30%, 40% higher than mainstream would be considered to be premium. Again, the premium split differs by category, in categories like milk and nutrition it is higher, in categories like foods, prepared dishes it is higher, in chocolates it is and for example, KITKAT and the normal parlance would be considered a premium, but we categorize it as mainstream.

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So, therefore, the proportion is a little bit lower because of the categorization.

But I can only tell you that I think the thrust on premiumization continues to be strong, the response is, has been strong. The growth rate of premium products in the Company is at least 2 to 2.5x of the rest of the organization. So, there is a very strong growth that we're seeing. And this is happening also in small town India. So the growth that I'm seeing for brands like KITKAT and some of the milks and nutrition is as strong in smaller markets. You saw the growth 15%, 21%, 26%, and 40%. This is the new India.

So I think the thrust is higher. The infrastructure will be -- is stronger. The route to market is going to be critical for us. So, I can't take the same route to market and expect all my products to go through the same hatchet. So, that's where work is happening today using the power of analytics, digital and on ground behavior to carve out separate distribution models for PPP. Can I do th

at in small

town India is one of the questions we are asking. I don't have the answer, but it is an active question that we are asking.

Sheela Rath: Hello, Mr. Narayanan. Three, four questions here, short-term as well as long-term. On the short-term side, my first question is that what percentage of our portfolio did we take price initiatives last year? And what percentage of them we may not require to roll back the prices because most of the consumer companies are cutting prices right now. But if you could give some idea there and which categories in specific.

Suresh Narayanan: Okay, as far as the portfolio is concerned, at least half the portfolio was touched in some form or the other in terms of pricing. As far as rolling back is concerned I mean, we have not seen a very significant decrease in prices of, the pace of increase has come down but that doesn't mean that it's a decrease. I mean milk prices are up, but the pace of increase of milk prices has come down.

Sheela Rath: Sorry, if I may interrupt. My question was specific to price hikes that we took?

Suresh Narayanan: Yeah. Yeah. That's what I am saying. So, price hike that we took, about half the portfolio has been impacted by price are changes. Rolling back prices, I don't see that as an imminent issue that is happening at the moment because again Nestlé India Limited

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while the inflation has come down, right, but the prices of these commodities are at already at a fairly high level. So, it is, the differences are purely marginal to be talking about any distinct rollback that we see. Unlike some of the petrol-based ingredients where the decline has been quite sharp, there obviously people have had to do it and emergence of local competition has happened because of that also, because the raw material prices have come down significantly giving the play for local competition to enter. So, that's where we are.

Sheela Rath: Second question is, you had a slide where you showed that media investments for us have gone up from 1x to 1.3x. If I do a rough math, the ad spend for us are circa 4% right now, or may be lower versus a pre-pandemic we were at 6%. So what are we doing here differently? Most of the consumer companies again have been taking up ad spend. Are we risking market share here by, being more, using our brand equity to, so just a question here on this?

Suresh Narayanan: Not really, we are not risking any brand equity, we are just spending more efficiently and more effectively. And the digital spend which gives you much longer kind of response with the consumers is today a fairly significant part of what we are spending. So, therefore, the percentage looks to you a little bit lower, but the digital spends as a proportion of spends have been significantly up as compared to what they were a couple of years back.

Sheela Rath: So, what would be the share of digital spends for us?

Suresh Narayanan: It will depend.

Sheela Rath: As a percentage of total?

Suresh Narayanan: It will depend on brand to brand. It will be anywhere between 20% to 60 to 70%.

Sheela Rath: Understood. More on the long-term side now. First question is we are building such huge capacities, and it's a big journey we have embarked on. Someone asked the same question that should we think of higher growth trajectory for us going ahead because I believe that this capacity is being built for the next 10, 15 years. So, should we imagine Nestlé India's growth trajectory to be much,

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much higher than where we are right now and any categories where you're most excited about?

Suresh Narayanan: I don't think, Sheela, it will you know the definition of much, much for you is different from the much, much for me. So we have to be very careful on this, but yes, I think the fact is that the capacities in supply chain and infrastructure is

being created to enable higher growth. And the ambition, as Vivek was alluding to, is to get a volume growth, which is definitely comparable, if not better than what we have got in the past. So that intention continues to remain.

Sheela Rath: And final bit is with respect to the distribution reach, we are at 5.2 million distribution reach. Where do we see the portfolio gaps right now? I would believe that noodles, MAGGI noodles would be at the peak, say five point I mean the highest. So, what is the opportunity for us in terms of categories where we need to take it up much more than the others?

Suresh Narayanan: Look, I think all categories are offering opportunities because distribution is not just a one-time act. It also depends on the kind of repeat purchase and the kind of activation that is being done. So, all the current categories of the Company, meals and nutrition, prepared dishes, coffee and also chocolates and confectionery, each of them are calibrated differently. So, the number of MAGGI noodle outlets will not necessarily be equal to the number of coffee outlets for example, because of the nature of the category.

But there is headroom across for all the brands. And that's why you're seeing that growth. That 21%, 25% growth is not coming out of one brand. It's coming out of a bouquet of brands. And that as we expand, as we penetrate better, as we do better activation, as we do better distribution, as we do better advertising and put more feet on the ground, we are seeing better results coming.

Sheela Rath: Thank you, Mr. Narayanan.

Ambereen Ali Shah: The next question is from Percy, who has joined us virtually. His question is, June quarter gross margin is 200 BPS, higher than the June quarter gross margin. That is a big expansion in a quarter period of three months. What has

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driven this? Is it raw material softening? If so, which ones? Product price increase and if so, which ones or any other reason?

Suresh Narayanan: Well, it is a combination. It is a combination of raw material softening and better realization both.

Arnab: Hi, Suresh. This is Arnab from Goldman. So, Suresh, on the innovation side, in the last few years, you showcased a few new categories you entered or brands you launched like CEREGROW, Milo, Nestléplus, GERBER given the size of your portfolio, you're totally a INR20,000 crores kind of turnover this year. Do any of these meet the bar of moving the needle for the overall business? Like, could they cost 1%, 2% of sales in a few year's time? Or is this a very slow burn and it'll take them many years to even reach a 1% of turnover on any of these new initiatives?

Suresh Narayanan: Look, I think it is a very good question. Some of them clearly are showing stronger promise than others. So, some of the initiatives that we got, like what we are doing in the noodles area will definitely start getting much higher traction. Some of the initiatives in the chocolates area will also start getting higher traction. Coffee will be giving higher traction, but some of the ones in the nutrition space will take some time.

It is not going to, you are not going to have the dial moving suddenly. I think the days of seeking out another MAGGI Noodles has sadly become a little bit of a mirage for many companies. You've got smaller number of strong opportunities but not one huge mega opportunity that's going to give you that kind of, unless you've got the stomach to continue in that race for 10, 15 years without making

a cent and that is a very different philosophy.

Arnab: Got it. So, the 6.5% of revenues that you showed came from all the innovations in the last three to five years, that number you would not expect to dramatically move up given what you said that these are smaller opportunities.

Suresh Narayanan: My objective, longer term objective is to get to about 10%. If I get about 10% that

will be a good number to look at in terms of innovation contribution to total
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sales. And that will come from a combination of some base innovations in the core categories and some high value innovations in some of the niche categories. That put together should get us there. But I use, if I were to answer you saying, today is a 6%, 6.5% will next year be 10%, answer is no. It will take a bit of time.

Arnab: My last question is just on, margin improvement is not a, I would say, a stated target or objective that I've heard from you over the years. It's more about stable margins, higher growth. Now, since you've been on this growth path for a few years, there's typically some, virtuous cycle, you get operating leverage, your mix improves. So can things change on that front? Or would you still believe that, keeping margins stable, focusing on growth is that product goes that you would take?

Suresh Narayanan: I think the broad approach, as I said, growth with sustained profitability does not dramatically change. The objective might change in a particular part of the portfolio, given the nature of the cost benefit that you see. But broadly as a Company, I mean, if you were to say, if today I make what EBIT margins are 23%, 24% and suddenly you look at a growth model that will be 30% growth and 15% EBIT that will not be necessary. But within a category, I could look at parts of the portfolio making that switch sacrifice for the short to medium term that can happen. But overall, as a strategy for the Company, a bit difficult for me to comprehend.

Arnab: Thanks, sir.

Moderator: We will take the last question from Latika.

Latika: My questions have been answered, but one aspect I just wanted to clarify was on some of the color on, when is the agreement for royalty up for review? If you would clarify on that, and how should we think, if you are allowed to talk about it, the parents want to approach that? Thank you.

Suresh Narayanan: Look, I think it's a good question, Latika. I knew that somewhere it will come up. Look, at the moment, I think we are still in, it's still in front of the board of Nestlé
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India in terms of discussing this, preparing because it's still, it's tenable till June next year, till June 2024. So, there is still a bit of time, but I think we are very conscious of the fact that brands, technology and operational excellence are what Nestlé brings to the table. And I think all these three would be evaluated fairly squarely before any decision is taken, but to clarify to you Latika as of now no decision has been taken.

Sanjay Khajuria: We can go for one more question.

Suresh Narayanan: One here.

Avi Mehta: Avi Mehta here from Macquarie, I just wanted to kind of, in the entire conversation, you started with saying that there are increasingly going to be more niche opportunities that are going to come in. But in the course of the discussion on innovation, you seem to suggest that I have a constraint on my distribution, which means I have, I cannot go in terms of number of packs, in terms of number of products.

Now, isn't this a dichotomy of sorts? Because you are saying that there are smaller opportunities, which probably need a lot more new launches, but you

can't do them because you don't have the bandwidth. And where am I kind of not understanding?

Suresh Narayanan: No, Avi. I think, I'm sorry for not explaining myself very clearly. It's not that niche opportunities on a regional basis will not be exploited. I think the question for us is there are two levels. There's a gastric capacity for a Company should be able to handle new launches. There are some companies who show results by pipelining, right. Every quarter add 20 products and show 3% growth, show 5% growth, show 20% growth. We are not in that network, for pipelining led Co

mpany.

So, there is a certain gastric capacity for the system to be able to handle complexity. And this is overall complexity, not just distribution complexity, procurement complexity, manufacturing complexity, sourcing complexity, everything, right? All put together. That's one part of it. The other is, and this is

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what to answer the question that has come up on route to market. Now, what we are looking at is how can we geo-target and sharp shoot on route to market to exploit these opportunities. That will give us a little bit more of tentacle like capabilities to be able to have a better and a more sustainable capital redistribution.

Avi Mehta: So, in a sense the portfolio in different geographies could be very, very different, but that still does not take care of the manufacturing complexity, right?

Suresh Narayanan: Look, the portfolio will not be dramatically different. I think the core essentials of the Company in the five, six categories it is wherein will remain broadly the same. Where will the differentiation come? There will be a few variants that will be particular to particular geographies and some SKUs that might or might not be part of that portfolio, right. Or there could be a category entry for the time being that could be in a particular geography. All of these require essentials in terms of either manufacturing or essentials in terms of being able to distribute it reasonably efficaciously into that geography. Those are the two capabilities that we need.

Manufacturing capabilities, I think we have a fair amount of flexibility now that we have got 10 odd factories and more than 10 odd co-manufacturers to be able to take care of that complexity. But where the rubber is going to hit the road is in terms of sizing, the size of these opportunities before we start to pursue them. So, which geography and what size of opportunity should I pursue? The trade-off is always between pursuing a small regional opportunity versus putting that resource behind a larger national opportunity and that is where the challenge really comes.

Avi Mehta: Correct sir. Okay, thanks a lot.

Suresh Narayanan: Okay, so may I take the opportunity firstly of thanking all those who are online.

And I am sorry that some of you were not able to ask the questions, but please do send in your questions to Ambereen so that I am able to answer them as best as I can. I mean, this is typically the way I operate, even at AGMs I answer

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every single question. So, I feel a little bit sad today that a couple of you have not been able to ask the question.

On those who are present in the room, thank you all very much for your attending, for your, for the respect and for the attention that I have always received from you. I'm deeply grateful for that, also for your support and your positive criticism from time to time. I really appreciate it because I think that's what keeps certainly me going and hopefully my team going. What I've reflected today is 100% team effort. I only play the role of the cheerleader and the sutradhar, but the story is, a story of thousands of people who come together to

make this happen.

And I think the tribute is to this team that makes this performance happen quarter after quarter, year after year. So, thank you all very much. And please do join us for some snacks which includes some Company products, I believe. And those who are online some other time. Thank you.

Ambereen Ali Shah: Thank you, sir. The proceedings of today's session will be recorded and uploaded on our website www.nestle.in. Thank you very much once again for joining this call.

Call: Feb 2025

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National Stock Exchange of India Limited (NSE)
Exchange Plaza, Plot No. C/1,
G Block, Bandra- Kurla Complex,
Bandra (East), Mumbai - 400 051
NSE Symbol: NESTLEIND
Subject: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015 ('Listing Regulations'): Transcript of analyst and institutional investors meet held on
4th February 2025
Dear Madam/ S ir,
Further to our letter PKR:SG :JK: 106:2024- 25 dated 17th January 2025 and letter PKR:SG :JK: 112:2024- 25 and
PKR:SG :JK: 113:2024- 25 both dated 4th February 2025 , and in terms of the Regulation 30 read with Part A of
Schedule III of the Listing Regulations, please find enclosed transcript of analyst and institutional investors me et
held on 4th February 2025. The same is being uploaded on the Company's website
at <https://www.nestle.in/investors/analystsmeet>.
The above is for yo ur informati on and record.
Thanking you,
Yours t ruly,
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"Nestlé India Limited
Analyst and Institutional Investors Meet"
February 04, 2025 at 3:00 p.m.

Management: Mr. Suresh Narayanan – Chairman & Managing Director
Ms. Svetlana Boldina – Executive Director , Finance and
Control and C hief Financial Officer
Mr. Sanjay Khajuria – Head Corporate Affairs and
Sustainability
Mr. TS Venkateswaran – Head Legal
Mr. Pramod Kumar Rai – Company Secretary an d
Compliance Officer
Ms. Simar Preet K ahlon – Corporate Safety, Health and
Environment Manager
Mr. Ajay Bajaj – Head Investor Relations

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Ajay Bajaj : Good afternoon, everyone. A warm welcome to all of you to the Nestl é
India's analyst and institutional investors meet for 2025. It is a pleasure to
host all of you that are in person and as well as online. I am Ajay Bajaj. I lead
the Investor R elations for the c ompany .
And before we begin, I will just share the agenda with you. We will start with the introductions first and then we will have a
safety briefing from Ms. Simar Preet Kahlon who heads our S afety , Health and E nvironment portfolio before
we move into the presentation from Mr. Suresh Narayanan. We will have
Q&A. The Q&A will be both for persons who are present here as well as for
online attendees and we hope that all of you who are present here can join us

for a high tea as well. And the proceedings of this session will be recorded and will be uploaded on our website. So I first of all will introduce you then to the people present here from our senior management team. We have Mr. Suresh Narayanan who is the Chairman Managing Director. He is there in the center you see. We also have Ms. Svetlana Boldina, the Executive Director for Finance and Control and the CFO. Mr. Sanjay Khajuria, who heads the Corporate Affairs and Sustainability. Mr. T.S. Venkateswaran, he heads our Legal and Mr. Pramod Rai, he is the Company Secretary and the Compliance Officer.

I invite now Simar Madam to just take us through a brief view on the safety.

Simar Preet Kahlon : Thank you Ajay. For those of you present in the room, I would like to give you a safety briefing. There are two emergency scenarios envisaged for this building. One is that of fire and the second is that of an earthquake since Gurgaon falls in the seismic zone. For the first fire scenario, this building is equipped with state -of-art fire detection and mitigation equipment. In the unlikely event of a fire, you will hear an automated message on the public address system. Please leave the room through the two doors that you can see there, as well as the door on this side. Walk through the cafeteria and go out of the front glass door through which you entered the building. Take a left and assemble on the front lawns, which is the designated assembly area. There is no fire drill planned for today so in case you hear a message then it is a real scenario. In the second case that is of an earthquake when you feel the tremors do not evacuate immediately.

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` Please move out of the room and stand next to a column or take refuge under the furniture that is placed outside in the cafeteria. Once the tremors stop and you hear a message for evacuation, please follow the same process. Go out through the front doors which you entered the building and take the left and assemble at the assembly area and wait for next instructions from the emergency coordinator but I hope no such untoward incident happens today and all of you have a safe and fruitful visit. Thank you very much and back to you Ajay.

Ajay Bajaj : Thank you Simar Madam. So before we start with the main presentation, the standard disclaimer .

Except for the historical financial information contained herein, the presentation may contain statements which reflect Management's current views and estimates and could be constituted as forward -looking statements. You are cautioned not to place undue reliance on these forward -looking statements which holds only as of the date.

The future involves uncertainties and risks that could cause actual results to differ materially from the current views being expressed.

Potential uncertainties and risks include but are not limited to factors such as changes in general economic, political or market conditions, commodities and currency fluctuations, competitive product and pricing pressures, industrial relations, and regulatory developments . Significant disruptions in the operations due to unforeseen events including spread of any disease.

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figures are on standalone basis and are regrouped, reclassified to make them comparable.

Calculations are based on non -rounded figures.

Analytical data are best estimates to facilitate an understanding of business and not meant to reconcile reported figures.

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Answers to questions may be given based on generally available information in public domain.

No person is authorized to give any information or take any representation not contained in and not consistent with this presentation and if given or made such information presentation must not be relied upon as having been authorized by or on behalf of Nestlé India Limited.

The financial year of the Company changed from January 1st and December

31st cycle to April 1st and March 31st cycle. Accordingly, the financial year 2023- 2024 covers a period of 15 months, commencing from January 1st 2023 to March 31st 2024.

Where CY is mentioned in the presentation, it stands for January- December calendar year.

And now I hand over to Mr. Narayanan on his presentation titled, " A Path to Progress."

Suresh Narayanan : Thank you Ajay. Thank you and good afternoon, ladies and gentlemen, and good afternoon to all those who also joined online.

It is a privilege and honour for me to yet again appear in front of you. Like one of those theatre actors, I guess you play the role to the hilt and this is one of those occasions where I come again to meet and to be amongst friends because over the years I have developed a friendship with many of you and respect you a lot for what you stand for and what you have done. I also have the privilege today like all good succession plannings to introduce my successor Manish Tiwari. Manish has just joined 48 hours ago and therefore while of course you are most welcome to ask him questions maybe on his perception on Nestlé and his own personal perceptions on the culture and the people in Nestlé, I would request you sincerely not to ask him business questions because it is a bit unfair. When I took on this mantle within 48 hours of the MAGGI crisis, nobody quite asked me too many questions on the business except to ask me whether we will survive or not, and we have survived. So thank you all once again for being here today.

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What I will do is I will take you through, I call it again, 'Our Path to Progress'. This is a longer period of coverage. This is the last 8-9 years in terms of where we are, what we have done, what our pedigree is, what our DNA is, what are the challenges and what are the opportunities that lie ahead of the company. So, therefore, I will talk about four aspects our consistent growth story, number one. The rising India opportunity, number two. Delivering on our strategy - Virtuous Circle and the five Ps that we always define as our own and the key takeaways. I will spend more time on point number one, point number three rather than so much on point number two, because that is something that is already in the domain of the coverage of companies that you do. And I will not be having anything more than what is already available to us in terms of the rising India opportunity.

Every organization begins with a purpose and I think our purpose is very well defined by what our founder, Henri Nestlé put forward in 1866, Unlocking the power of food to enhance the quality of life for everyone today and for generations to come. That is what we do. We do food and beverage for man, woman, boy, girl, dog, cat, across the world. And that is really what we specialize in.

What is our growth story? I think many people are, and especially you would be and I would be coloured by the recent quarters of growth and to think that this is in fact the matrix for growth for the country. I would offer you the thesis that actually this is probably coming out of a curve and getting into a better curve as we move ahead. And that is really the way I would define it because you would

not have had a past, which has been good and without a blip unless you also look forward to a better future.

We are deeply entrenched in this country, you know the facts. We have been here for 113 years. It is an old company, 8,700 plus employees. The last time

I presented to you shareholders was about 170,000 shareholders. We split the shares and the shareholding went from 170,000 to 547,000 plus. So, we have

a number of shareholders today. Our societal initiatives have got about 14 million beneficiaries. We are, remember a company with a purpose, our purpose is to not only do good for the shareholder but to do good for society

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that is also an integral part of who we are. Our 10,000 plus distributors and re-distributors from whom we have a good relationship come hell or high water, 5.3 million outlets in terms of total reach, 280,000 farmers whose lives we touch and who make our products happen and finally, nine factories going on to the tenth one which I will come to.

There has been significant investment in India and at a time when people have been talking about capex, I think this is a company that has put its money where its mouth is and in fact invested between 2020 and 2025, we would be investing almost INR 5,800 Crores and that is a significant amount of money for a food processing company. The investment in the 10th factory

in Odisha is to begin very soon and the capex levels you can see goes up from 1.8% in the calendar year 2015 to 7.7% in the financial year ending

2023-2024. Now, we have Sanand which has opened its doors to a third confectionery factory of ours after Ponda and Tahlilal we have now Sanand, which is also producing KITKAT and producing it quite well. The capacity expansion since 2020 has been significant. The capacities that we have added for MAGGI, coffee and chocolates is more than 35%. We would not put that

up ladies and gentlemen unless we were confident about the future. So this is not a company that is going to be just putting up factories for keeping them

idle. It is keeping them because there is a longer term horizon that we see. We do not get cowed down by a year or two years of blip. We look at it more in terms of the longer term. The growth and financial performance, I am very proud and this is an achievement of the entire team and therefore, this is not just me, but I have the proud privilege of giving out the roar when the team achieves something. Between 2015 and 2023- 2024, the turnover of the company has gone up by about 134%. This adjusts for the 15- month period. 11.2% CAGR. A profit from operations of 15.1% CAGR and a market capitalization, in which also the return has gone up by 15.7%. And a market capitalization which is also up by 273%. So these are all the results of good work that has been done by the team, by the partners and also relevant resonance from the consumers in terms of the brands that we have marketed.

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We consistently outperformed the peers. Nestlé is never used to be known for brandishing its results and wearing it on its sleeve, but I want to share this with you with all humility that in all this period we have outperformed the peers that we have, the listed peers that we have in our entity. The growth during this period since 2015, which is an eight-year period that has been taken is marginally ahead of the peers 10.5 % is what the peer group organic growth is, 11.2% is what Nestlé has delivered. And PAT, profit after tax, is of course considerably better, 11.2% versus 23.2%. Not only we compare ourselves with what we do globally and what we do as an absolute entity, but how we compare ourselves to peer group as well. The growth is based on a balanced portfolio. This in 2015 when I came on board, one of the accusations that was made is that this is a single product MAGGI company. I think we have moved on. It is not to say that it has become completely and tota

lly dimensionalised change, but change has begun. And change has begun to show on the portfolio of the company as well. About 39% coming from Milk Products and Nutrition. It is a more mature category in terms of its size and heft with a 6% growth. Our Prepared Dishes and Cooking Aids, MAGGI, that came back from the dead literally in 2015 roaring to a 19% growth during this period with a 31% contribution. Out of Home, which I will talk briefly to you about is a significant opportunity and Nestlé is well placed in terms of portfolio, in terms of capability and in terms of commitment to play the game in out of home. Our Confectionary what was relatively languishing business 10 years ago is now a roaring business doing well, 16% contribution, 14% is the growth that we have seen on this. And the Powdered and Liquid Beverages which captures our coffee business has grown significantly and continues to do well as you have seen in the latest quarter results as well. Coffee is an area of lot of happiness for us and considerable scope for future growth with a lot of other initiatives that is coming on. What drives this? I think one of the things that we have talked about and which has been a consistent refrain of mine in strategic terms has been penetration-led growth strategy. Penetration-led, volume-led growth strategy is what our simple strategy is. There is nothing else, nothing more, nothing

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less than that. The first step in that is to reach as many outlets as you can. And I think that is something that we are very happy doing. I think the operational savviness and skill of the company is fairly strong. Execution skills are something that is at a premium at Nestlé. And in 2024, we reported 5.3 million outlets. Now you will say why only 5.3? Please remember that during the MAGGI crisis, we lost a million outlets. We were down from 5 to 4 and we had to rebuild the whole distribution back again. In 2024, amongst the F&B companies added in percentage term, the maximum number of outlets close to 5% of outlets have been added and is the highest gain amongst peers in 2024. This is the manifestation of the RUrban strategy that you are seeing which I will come to very, very briefly and that is what is helping us to buffet some of the headwinds that we see in mega cities and metros being balanced with more greater opportunities in the smaller towns. Bolstered by an aggressive digital approach, you would say why is not he talking about television commercials? They continue to be strong, but 51% of our media spends are today digital. They would have been less than half of this even five years ago. So there has been a considerable heft as far as digital spends are concerned. You all know the math, 1.1 billion mobile phone users, 25 million grocery shoppers and 86% socially influenced. It makes sense to fish where the fish are and that is really what we are doing. And since 2020, a 126% increase in the total digital media spend is what we report. This number

is only going to accelerate as we move forward in the direction of new categories and new spends.

Strengthened by household penetration, penetration-led means households.

We have to get to more number of households. This has also been a good story for us between 2016 and 2024, there has been a 50% increase in the number of households that consume MAGGI, 52% households do. Coffee consumption again two examples 2016 to 2024, 130% growth and about 30% of households. So more number of households, more number of packs, more number of outlets gives us the arithmetic of frequency of purchase and making the market shares happen for us.

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This has led to robust volume growth. Volume growth is what you seek, is what we have sought always. And you see this number. I am giving you a longer perspective as we can easily get disheartened by what we have seen in the last couple of quarters. And I again believe

that this is a chapter of a book, but the book itself is fairly interesting and robust. This growth for us has been 9.5% growth from 2015 to 2023. What I would like to leave you with is a simple message. This company knows how to generate volume growth. That is what is our DNA. There are some companies that chase turnovers. This company chases volumes, chases single units, each as we call it. And that is where the efficiency of the organization gets established over a period of time. So that has led to volume growth and it has further amplified our brand scores. One of the characteristics of consumer companies are probably threefold. One strong brands with differentiated propositions, relatively strong margins which are capable of supporting the growth story and third, reach capabilities that are strong and fourth, execution capabilities which are unparalleled. If you have these four, by and large, you should be able to create a successful roster of brands and companies over a period of time. And that is what we are blessed with. MAGGI post the crisis has rolled back and come back to great strength. Not that everything is stitched and everything is done. There is still competition out there which we are cognizant of. So those of you who might ask me the question saying, what are you doing with regional competition? Yes, we are there in the game to ensure that we get the fair share of our business. So we are not going to be sleeping at the wheel saying that look these are not important. They are important, they have to be respected, and some of them are pretty good. So therefore, that is the response mechanism we will have. KITKAT again has done very well. KITKAT was number 10 in the world 10 years ago in the Nestlé world. Today it is number two. It has come a long way. We are just fighting shy of getting the crown from the UK. So we may not get the Kohinoor, but one day we will get the title of being the largest KITKAT market. That is a dream that I'm sure Manish will requite in due course. NESCAFÉ again has done extremely well. This is a category of choice now for the youth. Earlier tea used to be the drink of social animals. Today coffee is the drink of choice, is

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a drink of social bonding and that is where Nestlé is very well placed in terms of its portfolio.

And category leading brands, ultimately all of this, the penetration, the volume, the outlet reach, the media and digital exposures, the differentiation that we do all leads to category leading brands. And I am proud of the fact that we have in many of our categories, category leading brands. NESCAFÉ very, very strong. MAGGI with four -and-a-half billion serves is by far the biggest. Between MUNCH and KITKAT, we cover almost six billion units that are being sold, 33 million tins of MILKMAID. And this is where it is interesting, is out of home. We have almost 940 plus one Nestlé kiosk, which are kiosk that sell the whole range of Nestlé that just relevant at tourist spots, at educational institutions and other places. And hey, this is incidentally bigger than many QSRs in terms of the number of outlets that we have. Of course, the size of each outlet is different, but I am just looking at the geographic footprint and the relevant consumer footprint. All this with 20 million 2 Crores people walking in and out, all target groups, all youngsters, all people who are interested in brands makes for a huge trial opportunity and penetration opportunity for our brands. So, this is something that we work on and all of this is a self-sustaining business model. So, this is not bleeding at the seams for us to take it down. This is a self-sustaining business model that has been worked. So, our Nestlé product reaches two out of three households in India. It reaches 80% of the urban households and as yet 60% of the rural households. That is where the challenge is, that is where the opportunity for the

company is.

So the rising Indian opportunity, this you know it well, you know the GDP ranking. What is interesting here is that why is it exciting for packaged foods? It is exciting for packaged foods because even Philippines and Malaysia are at anywhere between three to four times in per capita terms the consumption of packaged food. Packaged food is the first food of choice when you upgrade from loose or from unbranded. This is therefore a significant opportunity for us going forward. Since we have a wide portfolio, since we are a packaged food and beverage company, this is where the opportunity for us comes. Now where do we go to, how do we unpeel the onion is something that strategy, time, execution, and resources will tell. But

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that there is an opportunity, I think is a no brainer as far as India is concerned. The consumer class is going up significantly. We have pressure points. I know I was the one who made the comment about a shrinking middle class right and some sense it has been answered in this budget. I am so happy to hear that. But again, let us be very clear that companies like mine; we survive and thrive on the affordable population and the middle class. It is important. To us, the rich are important for what they buy, but it is the midstream that is important for us because that is the belly of the market. And there almost 60 million households are estimated to be added in the next 7 to 8 years at least till 2030. Those are the numbers that we have got. Despite opportunities, challenges remain. So, I do not want to leave you with the picture as I have always done. I think credibility and trustworthiness have been some characteristic I have tried to and strive to develop in all these years. Is not to show that everything is rosy and pink and everything must click back again to huge growth. There are challenges. Some of the challenges in fact are opportunities. Evolving consumer trends, I will cover three premiumization and consumer experience, rising health consciousness and out of home. And the whole slowdown in consumption story. What do I see of it and where is it going, commodity inflation, urban rural consumption and there is a third piece on geopolitics that I will not talk about because that is a subject that is beyond my pale of competence. But you all know the consequences of geopolitics and how it is going to play with the supply chain and future output profiles of this country. What is our strategy? Our strategy globally and this is a globally articulated strategy by Laurent Freixe our new CEO is a very simple strategy. It seeks to achieve three things, achieve efficiencies, deploy the resources in investing in key brands and growth platforms, drive market shares and thereby drive profitable growth. So, it is a Virtuous Circle of seeking efficiencies, brands, investment, market shares, and growth. Enabled by four platforms, Nestlé continuous excellence, which I will give you a brief example in this presentation. Good for the planet, data and AI is becoming an important element of who we are, good for you, which is the whole piece on upgrading the value of nutrition and the competitive advantage of our products. Inspired

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by three pieces, creating shared value, quality or values and safety and at the core are our consumer people and teams. So, it is a simple straightforward strategy that pivots itself on three vectors, gets inspired by four enablers, gets cemented by four platforms and of course is executed by the team across the organization and across the world. This is indeed the same strategy that we had put together called Grow to Win in which was similar, Grow to Win in using consumer innovation using investments, using penetration, and using simplification as part of the platform.

So what are the evolving consumer trends which are the two or three big trends that gives us hope for the future? Number one is premium

sation and

consumer experience. I put here and these are all approximate numbers. So please, please do not hold me to the math on this, but this is the overall opportunity.

The overall premiumization opportunity we see in our categories is roughly 7,500 Crores. Today the growth of this portfolio is about 16% on a CAGR basis since 2015. Premium products are outpacing the category growth. That

is what you hear from most companies and that is what we also report. Nestlé has a brand portfolio to deliver. So, that is an important part that we are not here seeking to build a premium portfolio. We already have a premium portfolio which we can leverage and grow to fruition. Premiumization trend is universal across urban and rural. So it is no longer true to say that only urban India and the urban rich or the urban middle class consume premium products, even rural India is also having a taste for premium products. And as part of the RUrban strategy, this is what is being tapped into for the future.

So, some of the premiumization trends, prepared dishes and cooking aids that are different. What is being sought here is taste and variety. The consumers are seeking taste and variety and different platforms of consumption. So we have our products that are ready there. Milk products and nutrition seeks nutrition as its key pivot and also differentiation in terms of what we can offer. The recent reintroduction of ready to drink or relaunch of ready to drink has met with an encouraging response in the market and that is something that is part of the RTD revolution that is taking place in the country. Powdered and Liquid Beverages, premium coffees including NESPRESSO that I will come to is defining the coffee experience and does

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offer a greater opportunity for growth. Confectionery, again premium confectionery which is still a small part of our portfolio is powering ahead quite well and will give us incremental growth and profitability for the future. And finally, of course, Pet Care. Pet Care is a relatively small category for us, but it is a category that offers considerable promise because we have global competence here and the ambitions on this are also fairly significant. So, this is what we are talking about in Pet Care. What gives me the confidence you would say look why is he suddenly talking about Pet Care? There are three things in pet care that gives us the confidence as a company. One deep consumer insights, probably one of the best marketed categories in this company is Pet Care. The degree of depth and knowledge and understanding of pet consumers and pets themselves is pretty strong. The portfolio covers the consumer landscape. So, there is a wider landscape that we talk about and world-class R&D. I think the R&D facilities that we have access to is truly world class with a possibility of customization to a context as well, which is important. And India is very well placed because we are the fifth largest in terms of pet population, almost 30 million pets, more dogs and less cats. But the cat population is also growing at a fairly nifty pace. So the power of pets, the power of Purina and the power of Nestlé is what we are bringing together. So therefore this is an area of incremental investment and incremental growth. NESPRESSO you all know it and I think it is a category that even though it was not formally launched in this country still had a lot of salience. I think it is the premium coffee consumption and the fact that we deal with a 150,000 coffee farmers and some of the farmers are in India as well, almost 2,000 of these farmers are in India supplying them premium coffees, premium arabicas and robustas in order to make the coffee happen. Delighting consumers with the original and also with a professional range of machines, some of them have already been introduced in the country. The NESPRESSO website is now live. We will be opening shortly a boutique in Delhi to begin with and then it will go to Bombay and to various other places as we go. And to just break the monotony, I thought I will share with you the latest commercial of NESPRESSO, which is quite an interesting one. George Clooney, any other way is just as sweet. So this is something that we are very

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excited about. Clearly this is a domain competence for the Company and as you know with the rich in India splurging on various premium products, NESPRESSO offers that opportunity as well. So, we look forward to accelerating the journey with NESPRESSO. Rising health consciousness, I think this is becoming one of the truisms of the country today and what do we have to offer? I think this is intrinsically a strong nutrition based company. The size of the price here in just the nutrition and the prepared dishes area is about INR 3,400 Crores that is how big the market is. In milk products and nutrition, I think both for toddler nutrition and for a chilled dairy, there are numerous initiatives that are being looked at in order to enhance the quality of the nutrition that we seek to offer. And in fact, that extends itself to prepare dishes and cooking aids as well. I mean, we have Veg Atta there. We have besan noodles. We have millets and we have oat and we have different offerings that are on the anvil. Quite a few of the projects are on the anvil for enhancing the nutrition quotient of the brands as we move forward. The other one of course, is a joint venture with Dr. Reddy's I will come to that a little bit later, INR 24,000 Crores is the opportunity I think it brings together the best of Dr. Reddy's and Nestlé Health Science and I will report on it a little bit later in my presentation on what we think are the big opportunities there. What is above all important in nutrition is R&D, science, technology, and facts. And that is something that we are privileged to have as a company of unimpeachable quality. Almost 1.8 billion is R&D costs in the calendar year 2023, more than 4,000 employees, 23 sites, and we have access

to them, to the throughput of these R&D centres. And this is what will flow into some of the categories that we are talking about. The Nestlé Health Science products that will be part of the Dr. Reddy's portfolio will be by and large manufactured locally, which really means that we will be getting some of the expertise from the R&D facilities to be able to do that as we move forward. Out of home, I think this is a very, very exciting market. It is a very exciting proposition. It is expected to double by 2030. There are estimates anywhere between 25 to 30 billion dollars of business. The food service market is getting more organized in the coming years. I think post COVID, one of the

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phenomenon that we have seen is that people are a lot more careful today about what they consume and where they consume it. And hygiene and safety and reliability is an important part of that consumption profile. Cafes are driving coffee culture and that gives us also the opportunity. And Gen Z and millennials are seeking new food experiences. So, some of the vending opportunities that we have got and some of them are outside here, there is a Compa tto machine there which you might like to try in after the Meet gets over which has for the first time freshly brewed tea. Normally you get, the tea bag wala chai, but this is freshly brewed tea and freshly brewed coffee. And the freshly brewed tea has got other flavours that you can add to it, which is like an adhrak, like a tulsii, like a masala and various other things that really makes it even more exciting and it is relatively inexpensive. So, it is not a really expensive proposition either. So these kind of solutions you will be happy to note are developed by Nestlé India. So, these are solutions developed here, customized here, manufactured here and rolled out here, cust

omized to Indian standards and also with digital payment facilities. So therefore, you do not have to look for change in any of the digital profiles can help you in order to make the payments. And this is an interesting area together with of course, food solutions which has also been an important part of the journey. Food solutions especially using coconut milk powder and others is becoming important. Chef, the abilities to conjure up new recipes and to try out new food habits is also becoming an important part and parcel of the out of home experience. And that is where we find our portfolio to be rich and to be relevant for this. So some of it I talked about C ompat to, I talked about NESPRESSO . We have expanded into branded collaboration with marquee customers. So whether it is Social or Chai Point or 711 or any of the others, I think there has been a lot of collaboration that has taken place. In fact, even in the recent Kumbh Mela, we made inroads with Chai Point and others in terms of the RTD and the chocolates portfolio to make it available in large gatherings. Now you may say that maybe not all of the people who come there are our target consumers, but literally creating the awareness for the brands and availability of the brand itself is a starting process. And of course, the retail one outlets have now for example not just NESCAFÉ zones, but also KITKAT break zones. So KITKAT recipes are being tried out there, curated KITKAT menus are being tried there in order to expand the usage of

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the brand. So, there is multiple touch points and we have a lot of expertise and investment that is being put into competence building in this part of the business, which has rules of the game which are quite different from the retail part of the business. I mean the way in which a Nestlé Professional guy will talk to you is quite different from the way in which a retail guy will talk to you, because the drivers and motivators of business are quite different. Innovation you would ask about innovation. Innovation has moved up quite niftily, quite smartly for the company. It was at about 1.5% in 2016, it has moved up to about 6.5% now in the nine months of 2024- 2025. About 150 new products have been launched in the last nine years. What was different is that the pace of innovation has gone up almost three times and failing to succeed has now become an accepted mantra at least of this organization. So, there are numerous experiments which have failed, but I am happy to support it because unless you support failure, you will never see success. Today, they contribute 6.5% to sales. I would like to see this ambition go to at least to 10%, which would be a good number to have as far as innovation is concerned. But having said that, there are quite a few projects on the anvil, there are at least 16 to 20 more projects that are on the anvil. The question is, when do we launch them, how do we support them and how do we prioritize them? I think those are the idea machine in Nestlé or the development machine in Nestlé is never idle. The question is how much can you afford in the context of the inflationary circumstance that you are on and the need to support some of the core brands are concerned. So, that is the primary motivator of investing behind these brands.

A slowdown in consumption growth I think really what we see is a food inflation that continues to hurt. It is impacting budgets in research after research the consumer is feeding back to us. We are buying more expensive but consuming less. That is a simple answer that is coming. Hopefully some of the changes that have been made will mitigate the situation but clearly, headline inflation is moderating, but high prices persist on select agri commodities. And to just give you an idea, I think milk is being relatively stable, coffee has been a complete super inflation, almost a chaotic curve to follow. Point to point between this year and last year, the coffee prices are up

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75%. It is very difficult for any company to survive with 75% increases and still manage growth. And so, that is where it is. Our exposure is relatively lower to cocoa, but nevertheless I think the price of cocoa has been significantly impacted and continues to rise dramatically again in the 40- 50% kind of range of increase. Wheat was relatively stable but with the winter sowing being a little bit impacted and with the increase in the procurement price that has been announced, there will be some increase in the price of wheat as well. Packaging relatively stable so far. Edible oils also have met with some increase in the recent past. We do hope that this stabilizes, but the worry factors here are really coming in from coffee and to a certain extent from cocoa and wheat, which would be the things that we have to watch out for. So, this clearly then means that we have to find ways of mitigating it and this is really what we have done. I come back to this Nestlé continuous excellence which is translated into our company as project Shark. We have been doing it for many years. So it has really been about three vectors, buying efficiencies, manufacturing and conversion cost efficiencies, distribution cost and only the final element left to pricing. This has now, I am proud to say, become a part of the DNA of the company. In fact, everything from photocopying costs to large capex costs are being monitored. And something like 7,700 projects have been on since 2016 to generate anywhere between 1% of sales to now almost 2% of sales. So, that helps us to mitigate some of the costs that happen. Only after this, because we are a penetration led volume growth company, remember that is what our core strategy is, only after we have exhausted the opportunities of procurement economies of material usage and of the cost dynamics of buying smart, do we even touch pricing. So pricing is the last element that we would like to touch. Unfortunately, we have had to touch a fair bit of it because the increases have been extremely sharp in the last couple of years. Growth, where is it today, what do we see? This is exactly the information that you have that we also see. Urban growth has tapered downwards. Rural growth is looking upwards, but yet I think the cause for concern on growth continues to remain. It is not something that we are completely out of the woods. Urban unemployment, tepid real wage growth and post COVID moderation are what we see as the three big reasons. But having said this, I

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think some of the steps that have been taken in the budget especially the putting on the table 100,000 crores of consumption expenditure, part of it I hope does come into consumption. Some of it might go into savings and paring down debt that can happen and that probably will happen. But even if some of it comes into consumption, it will be a positive flip as far as many of the companies; especially the midstream companies are concerned. The top end companies only way the premium segment will not feel the pinch either way, but those in the PPP segment or in the belly of the market will certainly feel some positive impact I do hope as we move forward. Outlet expansion, I think this is clearly something that we are very proud of, that we have done under the circumstances. And what have we done here? The RUrban strategy just to refresh your memories involves four pieces, infrastructure, visibility, portfolio and consumer connect. There is a lot of data and database that is being used and Nesmitra is one of our data analytic platforms. It is an application that helps us to track at an outlet level what to sell, when to sell, how much to sell, and what not to sell. So, it is a powerful tool that we have got that helps us to potentially cover a million and a half outlets if not more. The RD -DMS is redistributor , so, below the 2 ,000 odd distributors there are about 10,000 odd redistributors. We are one of the few companies that has got a data plug into the

redistributors as well. So we know the demand and off-take patterns.

And this as I will come to will help us in terms of the use of AI for predictive models of demand generation, which will be a little bit more granular and accurate simply because we have been able to track data and analytics at the ground level, at the base level.

So the village coverage, it was quite modest. In 2020, we were covering just about 70,000 villages. Today, we are covering more than 200,000 villages. The distribution touch points, so it is a classic distribution gauge. So there is, this is not application based that you can just wish away and wish in outlets. You have to do it on the ground. So on the ground there are people, there are structures, there are organizations, there are brands, there are portfolios

making it happen. Distribution touch points have gone up from about 12,000 to about 21,000, 7,400 towns are covered, but the question that is relevant

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fact for you is that more than 200,000 villages are covered. Again, in terms of activation, India, there are multiple flywheels in India. There is One India which is digital, which is quick commerce, which is e-commerce, which is ordering on app. There is a considerable part of India which depends on heart activation and rural and village fares. We have not forgotten that India

because that India is at the core of our consumption. So the number of activation points and the number of activation activities have gone up considerably. Feet on the street, we still are a company that believes in the power of the distributor salesman to make productivity, and portfolio representation happen. It is not yet ripe for purely an app to do that. Maybe in some of the urban centres, in large metros and mini metros, you can do that. But in the smaller RUrban markets, it is still a question of a distributor salesman taking a call, going there, but fully enabled with a package and I will come to that. Today we have a powerful package that helps him on call on each outlet without doing any guesswork, what to sell, when to sell, what to promote, what not to promote and what outcome to expect. This is all the power of analytics and artificial intelligence that we are able to put in. And

RUrban smart stores again I think opening up the number of visible and dedicated stores is also something that is part of this journey.

Increasing competitive intensity in RUrban. I said we take regional competition seriously and therefore there are campaigns, which are building awareness of taste and quality at a granular local level. There are digital interventions, but there are also other media interventions. There are price point strategies that are there. So we had Rs.5 pack which we had to discontinue and make it 7.

So we launched a Rs.10 pack and offering value at the Rs.7 price point as well in order to ensure that there is no serious long term consumption loss for the organization.

Accelerating our e-commerce footprint, I think this has been a great story.

We have a portfolio that is tailored to the shopper needs, a portfolio that is focused on the e-commerce and quick commerce. And one of the advantages

we are getting, sometimes what happens is what your customer does helps you to improve your own efficiencies. I think one of the advantages of quick

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commerce has been that our capability, our supply chain management has dramatically improved. We have to challenge ourselves because the consumer challenges us. Blinkit asks us a question saying I deliver in eight minutes, why should you take two days? Good question. So, Nestlé puts its hat on it, works, puts systems, puts practices and ensures that at least we get it down to one day and hopefully now we will get it down to a couple of hours.

The increasing n

ame of the game in this country is going to be enhanced

efficiency and effectiveness and the use of AI for predicting the future rather than just having brands and differentiation. And that is really the name and that is what the third part holistic supply chain approach for quick commerce is the exciting journey. And since we have a young supply chain team, they are also excited because it is using a lot of analytics data and an exploratory

approach. It is almost a moon shot in some cases in supply chain that is being taken which is starting to bear results, but more of course has to be done.

Today 8.5% contribution and growth of course 33% so the growth is good, but as a company we always balance our channels. So I do not want you to get the impression that it will be quick commerce and quick commerce all the way. We know we have quick commerce. We know we have got other traditional e-commerce. We know we got traditional trade. We know we got

modern trade. We know we got pharmacies. We know we got other outlets. We have to balance the terms of trade between all of this on the principle of

fairness, salience, and sustainability. And therefore, if you notice that Nestlé

is not in the name in terms of fracas with distributor associations or retail associations, it is because of that. It is because we balance it out and we do not go one way or the other after a short term phenomenon because we believe that going forward there will be a balancing out that will take place and none of the channels will entirely vanish or none of the channels will entirely dominate the outlet tapestry.

So, this brings us to the virtuous circle to our lives which is really the five P's purpose, people, planet, partnerships, and performance. And again I will come to the performance part of it creating value for all shareholders, the volume growth that you have seen; the organic growth which has been consistent. The reason past has not been as strong, but what I want to point out to you is that the company that has a DNA and a pedigree of strong

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growth can have a temporary bout of flu, but does not mean that it is going to be in the ICU very soon.

So there is a question of coming out of it, which is what we are seeing.

Accelerating profit from operations, I think I am very happy to see that in the last decade almost 500 basis points of operating margins have been improved as a company. If you look at it in terms of EBITDA, it is about the same. The EBITDA margins being little higher, but almost about 500 basis points there too. And about a 15.1% CAGR in terms of 2015 to 2023. So double digit on growth and double digit on profits as well. Again you will see that the nine month of course, has been a little bit impacted and that is impacted really because of the overall slowdown and the commodity inflation that has forced us to take some price increases that we would have not liked to, but which we are compelled to in order to balance the equation. Best in class return on equity, I think I say this without boasting that we are probably the highest return on equity in amongst listed companies, much higher than our competitors. This in itself is not a reason to valorize us, but it is a reason to assure yourself that the company is reasonably well managed to be able to deliver equity levels and returns which are fairly strong. Value creation journey continues. If you look at the combination of stock price appreciation, dividends put together which is the total shareholder return up by 314 % in

2015 to 2023, 17.1 % annualized return and about a 3.1 times operating cash flow that has been generated. So I feel a bit satisfied that it has been a path of progress, progress that has been fairly strong and in fact the market cap is up by 3.7 times which is 1.4 times ahead of the FMCG benchmark index at least during this period. Of course, the recent past is a different story. So, I am not try

ing to justify it, but to just tell you that the longer term has been much stronger than what the immediate short term indicates.

Partnerships I think I would like to focus on distributors, on suppliers, on farmers, on retail outlets, on direct and indirect sustainability partners and of course on the joint venture. I will take just two examples here for you.

One is this partnership you would say that we got into it. This is the first of its kind in India for Nestlé, a joint venture partnership with Dr. Reddy's. And I think it is combining the synergies of product portfolio and distribution reach.

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We are a consumer product company with a more limited health care exposure as compared to Dr. Reddy's which is a health care company. And therefore, the coming together of the portfolio in the 49- 51 combination that you see over there, the integration has been successful. I happen to be involved with the Board of that company as well. The integration has been successful. The teams are working well together. They came together only in July of last year, but I think the integration has been strong and solid. They have shown double digit growth, which is also encouraging. And there are new launches on the anvil from some of the Nestlé Health Science portfolio and some of the Dr. Reddy portfolio as well. So this offers us and you will see that one of the biggest challenges for the country is efficacious healthcare products. And that is a large opportunity. I talked there about INR 24,000 Crores, that is just a number. But it is a large opportunity. It is an opportunity that also does good for the company and does good for society. So this is something that we are quite enthused by and I would like to thank my colleagues at Dr. Reddy's for enabling the support to make this partnership work.

Logistics excellence, I think one of the things post GST, we have looked at upgrading our supply chain networks and looking at distribution centres and redefining the levels of technology and capability in the distribution centres.

We have effectively transformed about 13 distribution centres. That means, ladies and gentlemen, 26 moves because each one is a move in itself. Almost more than half of the sales have been covered. And there has been a lot of new technology, new initiatives that have been put into the supply chain space, including creating digital twins at our distribution centre in Bhiwandi, which helps us in terms of the planning mechanism and the resource allocation mechanism for the future. So, these are new developments which I am very happy to report.

People, this is a subject that is very close to my heart and I am very proud of the fact that we have nurtured an inclusive and a diverse work culture. I think diversity and inclusivity are alive and well, irrespective of what they might seem to ESG trackers, but for us, it is an important part of who we are. And encouraging gender diversity is a key part of the management philosophy of the company.

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Happy to report and you know it already that 50% of my Board consists of leading women independent directors. We have amongst the highest representation in the field force in FMCG at 21% and we have about a fourth of our white collar which consists of women. So there is a strong focus here. There is also of course the factory at Sanand, which is majority women. The factory in Odisha when it comes up will also be majority women. And making ourselves more salient, making ourselves more relevant and making ourselves more robust as far as talent is concerned is one of the important tasks that management has. In fact, if there is going to be one differentiating factor for most companies in the war of talent that will take place, it is the quality of the talent and we focus a lot on it. And yes, despite having Gen Z's, you know, Gen Z's and millennials constitute about 80% of this of

fices. So I

am the oldest guy on the block and I too will be gone soon. So therefore the average age will fall down quite dramatically. And you think that Gen Z's run away very quickly and they get bored. We have an attrition of 10% or less. So there must be some good reason why they stay where they stay. And we are not the highest paymasters, we are not the guys who give the most moolah in the system. But there is a way in which we conduct our work and a way in which we go about our job, which probably makes them stay in the company. And sustained industrial relations, happy to report that there'll be no strikes, no lockouts, no hartal, no bund of any kind in this company in the last couple of years, which I am happy because I think we live in stressful times and it is important to run operations, which are also relatively stress free.

Planet I think four elements, I will not dwell more on it because it is something that I have shared with you before, but some parts I might cover with you. Four areas where we work on climate action, sustainable packaging, caring for water, and responsible sourcing. Dairy and dairy interventions on climate change has been one of the important interventions of the company. We are one of the pioneers in the use of biodigesters on farms. In our farms in Moga almost 5,000 plus biodigesters have been installed. That makes a circular economy as far as the manure is concerned. It is used for biogas and also used for fertilizers. Also makes for a reduced carbon emission as far as the farm itself is concerned. GHG emissions down

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by 61%, this is from the period 2008, it is a 15-year reporting cycle that we have, consistent with our sustainability report.

Energy usage down by 29%, water usage down by half, generation of waste water down by 60%. And what I am proud about is that we are plastic neutral since 2020, which means that the amount of plastic that we use in our products is neutralized by the amount of plastics that we collect and recycle.

So that is a positive note as far as sustainability is concerned. Again to boost sustainability, we are looking at ways and means of how we can contribute to

the environment. And one of the projects that we worked on is a biomass facility in Moga, which you know is in Punjab and reducing the reliance on fossil fuels has been one of the key drivers of our company. We are kind of zero coal as of now and hopefully we will be HSD free as well in the foreseeable future. But what is exciting in the Moga facility is that we collect the stubble and make that into briquettes and use it for the biomass facility. So, almost 4% of stubble in Moga district is collected by the company and

made into briquettes and used in the biomass facility. So, it is a start. We do hope that this becomes an example in Punjab to be able to build larger facilities, but reduction in GHG emissions and to create an additional farmers income, because the farmer sells the stubble, it is not free. They sell the stubble . They make some money and also hopefully to whatever extent it

reduces the polluted atmosphere here even by a micron that will be a n important contribution. I think I will just share with you the method that has been used for this.

So, the attempt is to create such circular economy wherever we are. The initial experiment has been in Moga . Wherever possible a similar setup would be created. We are working in close partnership with Thermax, they are the ones who do this for us and I think a couple of plan ts have already been made by them, which are all working quite well for us in reducing our carbon footprint. Sustainable sourcing for coffee, I think this has been a highlight of the coffee plan. What I want you to note is the fact that every kilogram of coffee that we procure in a sustainable manner has got an on charge of anywhere between Rs. 3 and Rs. 4 per kilogram following the sust

ainable

practices. So when you drink a cup of NESCAFÉ, you are drinking a sustainable cup of coffee where the farmer has been rewarded. So, it is not

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that it comes to us gratis. About 55% of the coffee is procured sustainably, it takes time to convert farmers into a sustainable way because they have to trade off the price with the yield.

Now price is not an issue, but there was a time when price was an issue and they would trade off the price realization vis-a-vis the yield that they were

doing. And regenerative agricultural practices to address GHG emissions, I believe we have a short video on this as well. Again both for KITKAT and for MAGGI there are recycling plan ts that are in place that make it happen. I will share with you the MAGGI story and the NESCAFÉ story in brief.

So this is the NESCAFÉ plan run very successfully and I believe is also a very valuable contribution to the local society. It spreads by word of mouth more farmers come to us and that is how we expand the scope for sustainable coffee in this country.

Purpose, I think staying true to our purpose is clearly something that we are very, very proud of. So, this is something that we do beyond the scope of just the business activities. And I will share with you some initiatives here that we have done. There are about 14 million beneficiaries that are impacted as a result of what Nestlé does. About 13 million has been through Project Jagriti,

which is a n adolescent and young adult program me centered around nutrition, around healthy habits, about preventing earl y marriages and of really trying to ensure that people lead healthy lives. Water and sanitation, I think you all know it, that one of the major reasons for school dropouts in rural areas is

because there is no drinking water and there is no sanitation in most of the places. So therefore around our factories we have done a fair amount of work.

Livelihood, the projects Serve Safe Food which is to train street hawkers on hygienic selling and hygienic preparation of dishes that they serve consumers. And in fact , we have an established model that shows that the

income of these trained hawkers actually goes up as a result of the intervention. Almost 70,000 of them are there. Project Jigyasa, it is what started off as an ambition to inculcate science in schools. Today, we have about 20 schools where we have simple experiments in science that are being

done amongst secondary school children in order to enhance their understanding of scientific principles. Hopefully some of them will go on to

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become science students in their lives as well. Project Hilldaari, which is in seven hill stations largely, looking at plastic or waste collection, segregation. And I think that is something that we have been doing for almost 10 years now.

And so much so that the municipalities, they do not want us to walk away because they do not have any other sort of agency that can do the job for them. But it is important that as a result of this, the identity and the self -worth of the garbage segregators and their own health facilities ha ve improved as a result of our intervention. And finally, rural development , which I will share with you a short video. One of the objectives we took on as a c ompany and in

fact, as a team was what happens when a company goes directly to a village and improve some of the issues that are plaguing, education, drinking water, sanitation, rural pond, digital education, agrarian practices. So, we went just 60 kilometers to Nuh district which is amongst the least aspirational districts in this country and adopted initially one village. Today it is 14 villages and 18,000 people to see what impact happens on their lives. I believe we have a short video that gives you that detail.

So, this is not a curiosity, this is not something that has been done because somebody decided that it is a good idea. I think it all

so develops the social sensitivities of the marketers and people who work in this company because whether you like it or you do not like it, most of India lives in there. And I think it is also to develop the programme and there are a lot of youngsters who are actually excited by this and saying that we would like to be involved in this, because the Gen Z certainly has a greater social consciousness than what many of us have. We squirm and look away, but these youngsters want to be involved in it. So, this is something that we are very happy to support. And plastic waste management as I talked about, I think again there are about 1,100 waste workers that we are addressing. That lady there is with her identity card. She never had an identity card, never had a health insurance and was kind of the dregs of society that they were considered to be the ones who were the least important. Our digital, I will just come to it very quickly. In all this, the reason why results happen, the reason why strategy, execution, operations, and outcomes

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happen is because there is a data and analytic pipeline that integrates all the four. That is why it happens. So the digital transformation of this company is underway. So I will not say that it is complete. It is underway. It is in four areas, a consumer using PII data in terms of sharpening our marketing capabilities. A customer that is what I talked about in terms of different modules, whether it is Nesmitra or whether it is a project called RACE, which is really to try and prioritize you know for every salesman in this country of Nestlé to be able to prioritize the activities, the targets, the tools, the outcomes and what not to do in each of the outlets. We are able to generate this activity by outlet for the salesman, which I believe we were not able to do a couple of years ago. So today that is the part of data that we got. On value chain, we have not only what I talked about, but also digital manufacturing operations across our factories to digitally monitor and to make paperless and to make real time efficiency and effectiveness monitoring across our factories and of course, employees in terms of the everyday AI. So, this is what I have talked to you about accelerated engagement with RD - DMS, the redistributor distributor management services, integrating the sub-distributors now with the supply chain of the company. The RACE model, which is real time activity planning and execution and of course, we use it in our nutrition business in terms of training, because nutrition and milks part of the business needs a lot of scientific data and simulation. So, therefore, there is a lot of simulation that is done on the type of the portfolio, the type of the healthcare professional and the kind of issues that need to be addressed to each of them. That is really part of it. And that brings me to the AI journey of the company that started in 2019 when we set up MIDAS, which is our multi-analytic system that we put together, moved into the must sell list as far as AI was concerned, which was more a prescriptive model, we moved to in 2021 to month end forecast. It is one thing to know what is there at the beginning of the month, but one thing to know what will be at the end of the month. And for a company as wide and with a portfolio that we have got, I think the predictive models were becoming extremely important. So, the predictive part of it started. And then in 2022, the demand forecast models were put in place, category growth models were put in place and retailer segmentation, which was on a prescriptive basis on how to segment retailer types for different promotions and the race was one of the outcomes of that. Then for

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distribution planning we have the geo-hash model that we are able to optimize now resources at a sub pin code level to be able to identify which outlets, which localities, which

brand, which SKUs and which promotions are made to work there. How does it help us? It helps us to optimize on the resources because we do not land up spraying and praying and putting

budgets all across. We are able to target it much better. And then of course, AI to manage the workarounds as well.

Today we have an interesting project called MROI, which is return on investment of marketing support that will give us a simulation using AI of all that you have done in the past in terms of activities, budgets, returns and outcomes. And simulate for you if you were to do this for the future, what are you likely to generate and what could be alternate solutions. So, this gives us a more granular rather than do it and then learn. We can learn and then do it. And that is what is the advantage of this and onwards to 2025. So, therefore, AI is becoming now increasingly an important part of our journey and we will be incorporating it wherever we find the usage. Currently it is done in a very pragmatic way, in a very measured manner, but going forward there will be an acceleration to this as we see forward. So, let me conclude now and leave you with a couple of messages.

Number one is core strategies and consistent results. This company will still be focused on getting things right, penetration-led volume growth, RUrban opportunities, premiumization opportunities, up-trading opportunities, digital opportunities, channel opportunities, and geography opportunities. That is where we are and that is where we will remain consistent. Competence building in a changing context, I think increasingly we are becoming more of a complex society and the skill levels of the organization also are being increased as we move forward. That is linked to the third point which is technology plus, digital and more. But we are pragmatic. We are realistic. We know that there is an absorptive capacity. We know that AI is not AI unless change management is managed. Therefore, we do it in modules, we do it in parts and then see how the transition works before we jump into the whole part. Otherwise, we can be putting in a lot of money on AI and on digital and not having too much of return as a company. Premiumization and growing the core as key strategies, the core is still important to us, 60% of the growth

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will come from the core. So, we are not walking away from the core five or six categories for the company, but we are looking at increasing premiumization opportunities therein to increase the share of the market share and also to of course to make the portfolio more growth resilient and more profitable. Sustainable partnerships and sustainable environment, I think this is what we believe in. We believe in not because it has to be fashionable, we believe in it because we think it is an essential element of a corporate operating in an environment like us. And finally, people bias and execution focus. This company has succeeded because of its focus on people and its focus on execution.

There are other companies with also brands and infrastructure which can match us, but in terms of consistency we always come a little bit ahead because we have that little bit extra effort that we put at all levels in the organization. And that is what really makes us what we are. So that is really what I wanted to share. And in closing, of course, consistency, collaboration and commitment is what we promise. I want to take this opportunity. This is my eighth investor meet. So, aathvi baar lagatar, as they say. I want to thank you all for patiently putting up with me, listening to me. And I hope in all of this journey, I have been professionally honest with you, transparent, respectful, and trustworthy. I think those are important values that I attach to myself and I do hope that I have been able to live up to that to all of you. So thank you all very much and I think next question and answers. Thank

nk you.

Ajay Bajaj : Thank you Sir for that detailed presentation on our journey and our strategy going forward. We will take question and answers now. We will take it from both people who are present here as well as online. We will start with the people present here. Those who are online, they will be seeing instructions on display on the screen right now on how to ask the questions. So we can start here.

Mihir: Hi, Sir. Good morning. Good afternoon. Sorry. This is Mihir from Nomura.

Thank you for taking my question. So firstly, given the lack of data that we have in the recent quarters, we have seen milk and nutrition category seems to have declined probably versus one was expecting it to be quite resilient. What is ailing the category? Is it competition? Is it consumption due to high

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prices? And if you can share any steps that you are taking to tackle it, any insights will be helpful, Sir.

Suresh Narayanan : I think it is a very good question. Look, milk and nutrition as a category has been probably one of those that has been hit very strongly by inflation. And

as you know that our portfolio there, have also had the impact of price increases that clearly has restricted the volume growth. The segment is also open to competition from a lot of cooperatives and that also puts pressure in terms of the volumes and prices because we have an objective of sustainable growth with profits and not just growth without profits.

And I think because of these two reasons, there has been a short-term, we believe, impact on the business. We have also taken steps now, I think very quickly and very effectively to stem some of the nutritional requirements that the consumers were urging us for. Therefore, for example, in baby food, we have come out with no refined sugar, so cutting down the levels of sugar. Not that we were ever violative of the local laws. In fact, we were below 40 % of the maximum that was allowed. But we took this as a project that we wanted to implement. So this, together with greater focus and energy around addressing some of the portfolio issues is really where we are today. But also as a category, it is a more mature category. There is the lead time of consumers coming in and out is very short. So to that extent, it is not like a

MAGGI or not like a KITKAT or NESCAFÉ that has an extended life usage. It has got a short window. And during that short window, if you have issues like inflation and price point pressures, you can have some impact. But we are confident that this will start to come back once again.

Mihir: Thank you for that Sir. My second question is on price hikes. It appears that the price hikes in the recent past quarters have been quite modest, maybe a function of low volume growth and to avoid further pressure. If you can share, what is a quantum of price hike that is still required to protect margins or maintain margins? And how should one think about pricing growth going forward? Should one expect pricing growth momentum to increase from here on, given the benefits that we have got from the budget and maybe anniversary or one should expect pricing growth to be limited given the volume pressures may take some more time?

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Suresh Narayanan : Look, I think pricing will be a function of various categories that we are in.

The categories like for example coffee, if I told you point to point price up by 75% is very difficult despite all the project Sharks that I can do and optimization that I can do for me to absorb 75 % of a coffee price increase. So if the coffee prices are unrelenting, then there will be a little bit more of pricing. We will try and reduce it as much as possible through efficiencies. We have doubled our coffee capacities now in Nanjangud . And hopefully that will lead to better efficiencies in coffee manufacture. Some of it will flow into the value chain. But I think on coffees where you can expect

some amount of pricing pressure

to be there. Other categories by and large, the pressures would be less. They would be there. I cannot tell you that there will be no price increase, but they will be of a much lower order as compared to what they were in 2022 and 2023.

Abneesh : Hi Sir, Ab neesh here from Nuvama. Three questions from my side. First will be on the channels of distribution. You mentioned that the balance in your case is much higher. There is no fight between the different. When I see every FMCG company tries to do that and they do that through two means. One is basically SKUs different being there and less of discounting. So every company does that. How you are able to differentiate there, because when I see the noodles discounting for example, I see very high discounting on e-commerce. So clearly that is common to you and, say, other companies. So if you could talk about that. And a few specifics here is, how is the profit margin in this part of the business? Is it superior to the kirana part of the business second is in terms of mix if you can talk about or say in terms of larger packs if you can talk about. And finally, in terms of working capital, obviously, it will not be as good as the kirana, but if you could give us some sense on that that is the first question.

Suresh Narayanan : Okay, I think good question Abneesh . As far as the managing the channel itself is concerned, I think a combination of what you said, portfolio pricing, sort of curated promotions and also kind of calibrating the size of the price that we look at for each of the channels. So, we do not go unbridled and say look this month will be only quick commerce or this month will be only

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traditional. We have a certain internal kind of cap that we set for ourselves saying, not beyond this do we go. Yet of course, there is a fierce war out there. And sometimes people could use us as a loss leader. That phenomenon is not without merit in the context of the

market shares that the quick commerce wants to do. But this is the way in which we try and control. So we also try and see that the traditional trade gets packs and gets activities as a countervailing balance wherever possible. So that we see that there is no direct conflict at all points in time. In some SKUs there will be, but in many SKUs there will not be.

I think going forward I see the conflict becoming more if the price inflations really catches on. If the price inflation becomes high, then the degree of play that will be between channels will start to increase. But as of now, I think we have managed to mitigate as best as possible. Of course, there will be pockets of the country where there will be some kind of feedback saying that there is extra discounting taking place. I can assure you that most of the discounting is being done by the players themselves and not by us. We have fairly strong trading terms. As of now, the net returns are not adversarial as far as the other channels are concerned. So we are not bleeding, neither are we making more. So it is leveling off, we take an equation between salience, between the trading terms and between the sustainability that equation if it is in a particular space, we are okay with it. So but we will not allow the space to be bled in terms of the fact that we are going to give extra terms simply to get an extra pound of sale, which is going to upset the apple cart for the other channels because we still have a situation where 75% to 80% of our sales do come out of traditional trade. It is in the mega cities and metros where the equation is slightly different, but in the smaller towns, we still have a lot of traditional trade to back up.

Abneesh : Sir my second question is on the popular price point of Rs. 10. So we do see that bhujia and namkeen and biscuits seem to be growing faster than your noodles growth. We do not have data but it seems that is happeni

ng. And

second is you have vacated Rs. 10 price point in the big cities, urban areas. So would you need Rs. 10 price point to come back? And second is in cocoa where there is very high inflation, again in terms of your confectionery, the Rs.10 price point is there. So have you cut gram mage in that part?

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Suresh Narayanan : I think we have kept the value delivery relatively stable in terms of price point , Rs.10 is certainly an emerging price point for us because as you know that we had Rs.5 and Rs.12 rupee earlier which became then Rs.14 and then the Rs.15 price point. So, Rs.10 has been more put in as a value pack. In the geographies in which it has been introduced where the single packs are relatively not as salient, it is giving us good results. But unlike the bhujias who have been around for a while for Rs.10 for us Rs.10 has been a relatively recent introduction.

So it is more geographic specific and more channel specific. It is not ubiquitous as yet, because we still have a single pack at 15 bucks. So we do not want a situation where there will be significant down trading taking place at some stage.

Abneesh : Sir, last quick question, you spoke a lot on out of home. So if you can talk about the 940 Nestlé Kiosk so in this largely is this franchise route and secondly in terms of growth you did mention that this will double as a category not for you by 2030. So which segments will be benefiting more? If

you could talk more about this because I think it is very important from marketing angle, but from a sales and profits also is it significant for the company?

Suresh Narayanan : The 940 are all; we do not run any outlets ourselves. So these are franchised outlets but however the model is little bit different that there are larger franchises who will have 5 -10 of these per franchise. It will not be like one

person running one franchise, some geography there could be, but very few numbers. So, it is more people who are running larger franchises. These are all self -sustaining. So, the P&L is managed by the franchisee, but we manage the rest of the equation, which is the design, the quality, the produce, the recipes, the hygiene, all of that is managed by us. I think the channel itself has been growing quite fast. We have added in the last two, three years, we

have almost doubled the number of retail one outlets that we have added.

There is still more scope in terms of tourism sites. And because the tourism and the travel sector is doing well, we can also do well in this. It is still not a

significant because our realization is only the price to trade, because the franchisee needs the margin to make his money. I would not say it is a

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significant contributor to revenue, but it is a significant contributor to the trials and marketing activities of the company. And I think that 20 million

people coming in each year is a good number, especially of the right generation, which is Gen Z students, tourists, and those kind of things. So these are the benefits of it. But will it be a revenue driver for me? Answer is no. I do not think, let us say, sometime from now Manish will report that the retail outlets have now become like 2% or 5% of sales. That I think is a little far away.

Latika: Hi, Suresh. So my first question was around market shares and competitive dynamics, particularly in your core categories of noodles, chocolates and baby foods. If you can give us some flavour of what are the developments

there. Clearly in noodles we had come across intensified competition from regional and local players. So if you could throw some light on how market shares for your brands are trending across at least these three key categories.

Suresh Narayanan : Market shares I think noodles have been fairly stable. There can be a little bit of quarterly blips up and down but it is in the region of about 60 odd percent, which is where

it was. So it has not dramatically gone up, it has not dramatically come down. The next you asked for was for ?

Latika: Chocolates and baby foods.

Suresh Narayanan : Baby foods has been stable. The category itself again has its own dynamics. Because of inflation, it could have shrunk a bit in some quarters, but our shares continue to be strong because we have a leadership profile there. And

chocolates actually, we are of course distinct number two to Mondelez. So that equation has not changed but the share of our wafer-based chocolates, KITKAT and MUNCH have actually gone up. And in coffee, we're clearly now the market leader.

Latika: Sure. The second question was on innovation. You talked about, 60% of the growth should come for core brands. And we have clearly seen a lot of innovation in your core portfolio, right? So we have seen all the new formats on coffee that you have done. Trying to gather your thoughts on coffee that you have done trying to gather your thoughts on how do you think about

scaling our presence in some of the new subsegments. We had done breakfast

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cereals a couple of years ago. Pet care is definitely a new segment. And what do you think about inorganic growth, specific to India? Is there a mindset to explore that considering now we are seeing a lot of these, new age brands cropping up, some of the companies have acquired them, they are, kind of exploring and experimenting in these spaces?

Suresh Narayanan : Look, I think, Latika, the appetite for inorganic growth continues.

Though you may say you have not made anything happen, and unfortunately nothing has fructified so far. But I think that interest in that space continues. And that is something that we will be working on as we move forward. I

think there are opportunities in innovation as well across categories. Reason why we have focused on the core so far and not looked at adjacencies very

dramatically is because we have been trying to grapple with the forces of a consumption slowdown and huge commodity inflation. And therefore, the view that we have taken is protecting the core at this stage is extremely

important rather than getting into a lot of new things. Incidentally, the breakfast cereals category has also done quite well. It is a small business, but

I am happy to report that in small packs, which is a single serve packs, we are now number two to Kellogg's. So it is not as small as you think it is. But we do not put it on the map as yet because we have got other priorities that we need to tackle.

Latika : Okay. And the last one was, on your distribution reach, you have covered quite a ground, five-and-a-half million outlets, 3.6 million in RUrban. So, from here on, should we anticipate that you will focus more on throughput in these newly acquired outlets and probably, expand more products rather than numeric expansion? Is it more feasible from here?

Suresh Narayanan : I think it is still feasible, Latika. I think the outlet expansion, I would reckon, ballpark till about 6 million outlets is what we should be looking at in the coming years. But you are absolutely right. I think depth of penetration is going to be the name of the game. So increasing the frequency, the variety of the portfolio and the price points will be the name of the game as we go. That will give us substantially more heft to the whole strategy and that is the RUrban strategy to reach an optimal number of outlets and then to be able to

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increase the depth of penetration through portfolio, through price points and through frequency of purchase.

Arnab : Arnab from Goldman Sachs. So Suresh, in the last 7- 8 years, one consistent growth driver for you has been MAGGI , which consistently grew double digits through good and bad cycles, where there seems to have been some slowdown last year. Now, one way to look at it is probably macro has been bad, but wanted to understand if

you think there is any other issue like are other forms of snacking taking over from noodles? Are there regional competitors coming in quick commerce and those kind of areas or anything else that you can think of or the penetration is too high now, and therefore we should not expect that kind of growth going ahead. So just tell your thoughts on MAGGI 's revival from this weak growth this year.

Suresh Narayanan : I think it is all of the above as far as the MAGGI story is concerned. Yes, MAGGI continues to be a strong, robust and relevant brand. That is the truth and you see the indices moving. I think the price inflation clearly has played a role because we ourselves had to take up the price from five to seven. We could not digest that anymore. And that took a little bit of a toll in terms of the volume evolution of the brand. It was obvious, there is nothing new about it. Also, the whole snacking space has exploded. The fact is earlier it was biscuits and noodles, now it is biscuits, chips, other snack forms, liquid and solid snack forms and noodles that gets included. There have been different forms and noodles that have been introduced in the marketplace. And while we are cognizant of it and we make our own innovation platforms, but on a regional basis, if somebody were to hit first, the impact will be on MAGGI . It won't be on anything else because we are the biggest player in the market. So we are cognizant of it. We are taking steps in terms of innovation, activation, penetration, geographic strategies, state strategies, clusterization in terms of addressing this. We are not phased by it because this is the hard reality and we will not do anything foolish. Because one thing is to panic in this situation and say, look, all of this is happening. Yes, this is going to happen. The space is going to become more exciting. The space is going to become more chaotic but that is when clarity of thinking and application of mind, focus and direction is so very important in this category. And that is what we are doing. So therefore, we are turning back to growth and turning back to better days.

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Arnab : Thanks so much, Suresh. And just my second question was a slightly medium term question on milk and nutrition because not just this year, but over a period of time, volume growth has been challenging there. So what do you think needs to change over the next, let us say, four or five -year period for you to deliver volume growth in milk and nutrition from your side? And do you think something has to change in the environment for the growth to be faster there?

Suresh Narayanan : Look, I think, breast milk is the best for mothers. That is the established standard. So there is nothing against saying that. But as incomes rise and as the middle class incomes especially go up with an increasing participation of women in the workforce, and with hopefully an abatement of some of the inflation that we are seeing today, there will be a positive momentum created. Because nobody has anything against the category as such. The question is, is that when I have to balance my budgets; I do find that things are very expensive, so I cut some of them. And this could be one of the areas that could be cut. So, I see greater moderation comes in and improvement in participation, in employment, in wages, that is where the incomes are important. I think that the category will come back to volume growth. But would it be like a MAGGI or a chocolate volume growth? The answer is no, because it is a limited lifespan product for the consumer. So we have to calibrate that growth that 2% or 3% growth you get is during one -year period or a two -year period. Whereas a growth for a MAGGI comes over a much longer life cycle of the brand.

Arnab : Yeah, thanks so much.

Ajay Bajaj : We will move to now the questions from the online attendees. So over to you, moderator .

Moderator:

Thank you Sir. Before we take our question, we would request participants to please limit their questions to one per party. Online participants, if you wish to rejoin the queue, you may rejoin from the panelist platform and click the

raise hand icon. We will move to our next participant that is A wais Bakshi from Sundaram Mutual Fund. Mr. Bakshi, please go ahead with your question.

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Awais Bakshi : Hi Sir. Thank you for taking my question. I just had one question on the milk nutrition portfolio point of view. So in terms of say the competitive intensity what we have been seeing over the year, the pressure which we have seen, would that also be the case for the incumbents in the category or given our positioning at a lower end of the overall category, we are seeing a higher level of competition versus them. Any sense on this piece would be really helpful. Thank you.

Suresh Narayanan : Look, it is a good question. Look, I think one of the things is in this category is that it is a highly regulated category and it is media dark and consumer dark in that sense. So anybody who were to come into this category is going to face probably greater challenges because of the fact that you are not able to and by law you will not be allowed to say anything or do anything in this category. But that does not mean that we have to rest on our laurels. We have leadership positions there. We are both in the mid price segment and in the in the premium priced nutrition segment. The mid price segment is where the challenges are the most. In the premium end of the milks and nutrition segment, the growths are encouraging, the growths are good and also there people understand the quality of nutrition that they are buying for their child. So to that extent I think I would still put this category as a category for growth, but I would only urge a calibration on the kind of volume growths that you will get in this category. There will be value growths that will be neat and significant, but the volume growths will not be like a noodle or a chocolate or any of those categories. I hope I answered your question.

Moderator: Thank you. Mr. Hari t Kapoor, may we request you to unmute your connection and you may ask your question.

Harit Kapoor : Yes hi good evening and apologies for the earlier time. I just had one question on the margin band. So, if I look at your strategy or thought process of driving lower -packed units as well in urban, actually improving the throughput, etc. at a time also where there are inflationary challenges, albeit very, very gradually abating. Just wanted to get your sense on the margin dynamic expected over the next maybe 12 to 24 months. Should we believe that the current level of profitability is where we stabilize in a bid to improve

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the revenue growth or the volume growth? Some context on that would be great. Thank you.

Suresh Narayanan : I think good question, As you know, our operating margins, which were about 16.5% have gone up in the last 10 years to about 21- 22%. The band between 20 and 21 is where we have been operating for a reasonably long time. The company 's strategy itself is sustainable growth with sustainable profitability.

So, the objective is not to come up with a proposition of a 20 % growth and a 10% profit. I do not think that will even justify the valuation that you give us in the market. So, I would say that I am no one and we do not give forward guidance in any case as far as the results are concerned. But the current profitability levels are kind of optimally placed in order to support the growth journey of the company . That is where I would be. If inflation exacerbates, then the equation changes dramatically. One does not know. One thought that the coffee prices would stabilize and the cocoa price would stabilize and the wheat price would stabilize, but it is not happening. So therefore, I think some play will h

ave to come, but broadly speaking, where we are is where we would be. We should be unless there is a huge upheaval that takes place.

Moderator : Sir there is no response from this connection.

Ajay Bajaj : Thanks Inba. We will take one more question from people who are here. Just one question.

Questioner : So one about the sort of cocoa prices and coffee prices, which basically have moved up pretty significantly in the last few years. And that is probably one of the reasons why the growth probably is more from the pricing perspective.

So, can we say that volume is sort of under pressure much more than the other categories? And historically, we have not seen this kind of a trend. But whenever there is a deflation in this kind of commodities, what would be your pricing strategy after that?

Suresh Narayanan : As I said, it is a good question. As I said, for us, pricing is the last. For us,

astute buying, because we have economies of scale, material usage improvements through specifications and more effective or more efficient

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utilization of the assets that we have got is the primary scope that we would like to use. And pricing is a more add on or a derived component of it. I think today we have the capability to manage the four quite well. Yes, to answer your question, volumes have been dented because of the pricing that has been taken. There is no two ways about it. But I believe that if there is some

stability that comes in into the marketplace for these two commodities, then there is some hope of being able to restore the dynamics of volume -led growth back or significant volume -led growth back. Remember our volume growth has been almost 9- 9.5%.

So it has been in that 11.2 % growth, about 9 % has been volume, so 2% has been pricing. Now it is the other way around . So a lot will depend on how these commodities evolve, but I want to assure you that the model that we work with because the volume stickiness we realize, we understand, and we try and manage that as best as possible with residual pricing. But if the situation does not improve, then the whole dynamics of the market will change. We do not have a policy that every SKU of the category should make

the same margins. There is no such thing. We try and see we ladder it, but if it does not work that way and if you have to take a hit in terms of margins for a particular category, so long as we know what period of time we have to take on, we are willing to take that.

Avi Mehta : Thanks, Sir. Just I will give it, just one question then. See, in your focus, in your entire presentation, two areas that came in is one is premiumization is an important category and innovation. Now that typically means a lot of smaller bets versus one large bet or a few larger bets. A is that understanding correct?

And if it is, where are we in the journey to change the organization to handle the involved complexity that this poses?

Suresh Narayanan : Look, I think, the days of having single large bets, at least in consumer goods, are over. There was a time when you could have single large bets. Now I think there are multiple number of smaller bets, which we realize. It is unlike

the tech space where you have one big algorithm that works and that gives you a couple of billion dollars. Here, that is not the case. We have small bits

that contribute to it. I think the organization, the way it is currently structured and with the capacity, flexibilities that we have created is capable of taking

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the complexity. So, it is not that we are not capable of taking the complexity. However, we will have to manage it over a period of time. How much of complexity? So, let us say if I have innovation ideas of potentially 50- 60, I will have to prune it down to 15- 20 to be able to manage it. And within that, then to calibrate and see which are the big ticket items. So increasing complexity and use of tools to be

able to de-complexify it is going to be the

name of the game. But looking for that one large big bet, I am afraid maybe it happens, I do not know. I mean when MAGGI noodles started I do not think

anybody looked at it as a big bet, but it became a big bet, right.

But as I see it with the consumer fragmentation and with the innovative capabilities now across the industry, probably such large bets are going to be fewer and smaller bets are going to be larger. And large companies need to be able to manage the small organization thinking rather than trying to look for that big economies of scale that they are used to.

Avi Mehta : And so this number of 15, you know, whatever that number is 15 or it is 30, that is constrained based on front end, or is it more supply chain manufacturing?

Suresh Narayanan : No, it is two ways. Not really, not really supply chain end. I think supply chain end we will be able to manage it. The question is what is the kind of sustainable level of investment and support that we can provide it. Because remember that in this day and age, all brands need certain threshold levels of support in order to justify the growth versus profitability equation. So if you have too many little ones that are coming in there, you tend to dilute. So within that, you have to calibrate and say this 5, 2025, this 10, 2026, this 5, 2027, in the overarching framework that 50 to 60% of your growth will still come from the core. Because I will be foolish if I were to divert investments from the core into the small ones and allow the core to collapse because the loss I am going to have there is going to be much more significant.

Avi Mehta : Got it Sir and thanks a lot for taking our questions and helping us and interacting with us for all these years. It is

been a pleasure.

Suresh Narayanan : Thank you very much. Thank you.

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Ajay Bajaj : Thank you, S ir. Thank you all the participants, attendees. We close the session now. And for the people who are here in the room, there is some high tea snacks just outside in the cafeteria. Thank you.

Suresh Narayanan : Thank you all very much. And those online, my sincere gratitude, my apologies that all of you could not ask your questions so I think we should get to the bottom of that.